Motilal Oswal Financial Services Ltd. (MOTILALOFS)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

May 03 , 202 3

BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/ Analyst(s)

Dear Sir/ Madam,

This is with reference to our earlier letter dated April 20 , 202 3 regarding intimation of Earnings Conference Call (“Con -call”) with Investor(s)/ Analyst(s) on April 28 , 2023 to discuss financial performance for Q 4 FY 2022 -23.

In this regard, pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”) (as amended from time to time), please find enclosed herewith the transcript of the said Con-call for your reference.

The said transcript of the said Con-call is made available on the Company’s websit e i.e. https://www.motilaloswalgroup.com/Downloads/IR/1212942781MOFSL_Con -Call-Transcript_Q4FY23.pdf

Further, w e hereby confirm that no unpublished price sensitive information was shared or discussed during the said Con-call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer
Encl : As above
1

Motila l Oswal
Financia l Services

ConCal l Summar y & Earning s Release

Q4FY23 & FY23
28th April, 2023

For a deeper insight into the company's performance and the management's expectations, we present extracts from the post-results conference call. We have edited and rearranged the transcript for greater lucidit y. This presentation is available at www.motilaloswalgroup.com

Corporat e Participants

Mr Raamdeo Agrawal
Chairman

Mr Motilal Oswal
MD & CEO
Mr Navin Agarwal
Director & CEO - AMC

Mr Ajay Menon
CEO - Broking

Mr Ashish Shanker
CEO - Wealth Management

Mr Shalibhadra Shah
Chief Financial Officer

Mr Chetan Parmar
Head - Investor Relation s

This document includes forward looking statements, including discussions about the management's plans and objectives and about expecte d change s in revenue s and financia l conditions . Forward -lookin g statement s about the financia l condition, results of operations, plans and business are subject to various risks and uncertainties that could cause actual results to di ffer materially from those set forth in this document. You should not construe any of these statemen ts as assurances of financial performance or as promises of particular courses of action.

2

Moderator : Good afternoon, ladies, and gentlemen. Welcome to the Q4FY23 Earnings Conference Call for Motilal Oswal Financial Services Limited. We have with us today Mr. Raamdeo Agrawal, Chairman; Mr. Motilal Oswal, Managing Director; Navin Agarwal, Director and CEO , AMC; Mr. Ajay Menon, CEO, Broking; Mr. Ashish Shanker, CEO, Wealth Management; Mr. Shalibhadra Shah, Chief Financial Officer; Mr. Chetan Parmar, Head of Investor Relations.
As a reminder, all participant lines will be in the listen -only mode and there w ill be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now invite Mr. Navin Agarwal to make his opening remarks. Thank you, and over to you, sir.
Navin Agarwal: Good afternoon, everybody. It's my pleasure to welcome all of you to Motilal Oswal Financial Services concall for the quarter and year end ing March 2023. I'll start by highlighting a few achievements for the year. During the year, we had recorded highest ever profit a

fter tax for our capital markets business at Rs 505 crores. The asset under management for our Asset Management, Wealth Manage ment, Private Equity businesses collectively crossed Rs 1 lakh crores mark. Within that, the wealth business had the highest ever net sales at about Rs 5,810 crores. In the housing finance business, disbursements crossed Rs 1,000 crores mark during the fin ancial year.
Let me now take you through some of the highlights of operation and financial performance. Our operating profit after tax for FY23 grew by 6% YoY to R s 879 crores, and for the qu arter was at Rs 233 crores. Capital Market business profit was Rs 505 crores for FY23 and Rs 135 crores for Q4FY23 . Asset and Wealth businesses earned Rs 258 crores PAT for FY23 and Rs 66 crores for Q4FY23 . Housing finance business reported a profit after tax of R s 133 crores for FY23 and Rs 31.5 crores for Q4FY23.
Consolidated net worth of the group stood at R s 6,250 crores. Net debt was at Rs 6,630 crores. Our debt equity ratio stood at 1.6 x. And excluding the Home Finance business, the debt equity ratio stood at 1. 4x. We declared a final dividend of R s 3 per share and including the interim dividend, the total di vidend for the year stands at Rs 10 per share. Effectively, our dividend pay -out policy, including the buyback for the last couple of years stands at about 28%.
Turning now to individual businesses, starting wit h the Capital Market business. This business reported revenues of Rs 745 crores for Q4FY23 , which is up by 8% YoY and R s 2,833 crores for FY23 , which is up by 11% YoY. Profit mix stood at Rs 135 crores in Q4FY23 , led by healthy

3

volume growth of 10% QoQ and almost 2.6 times on YoY basis. Retail F&O market share improved by 116 basis points on a YoY basis.
Retail Broking business acquired 6.5 lakh clients during the year , following traction in digital channel . NSE active clients stood at 8.1 lakhs as of Mar-23, and our rank improved to 8 in terms of active clients. Our distribution AUM grew to Rs 21,300 crores, up by 17% YoY.

Distribution net sales was Rs 1,280 crores in FY23 . Given the 55 lakh client base of our group , we see improved headroom for cross -sell. Insurance premium was an area of fo cus. This business reported a Rs 120 crores premium income, which is up by 120% YoY.
Currency business market share improved by 700 bps YoY and 360 bps QoQ to 18.5% in Q4FY23 . We added over 1,100 franchisees during the y ear, taking our total franchisee count to a tad over 8,000. Our institutional equities team continues to report leading ranks in the Asiamoney Brokers Poll 2022 as well with number one rank in corporate access and number two rank in sales and execution.
Turning to t he Asset and Wealth businesses, we crossed the Rs 1 lakh crores AUM mark across these businesses. The net yield for these busin esses stood at 75 bps on this Rs 1 lakh crores AUM. The Asset Management business reported revenues of R s 131 crores fo r Q4FY23 and R s 555 crores for FY23 . The mutual fund AUM stood at just a tad under Rs 30,000 crores. We've seen turnaround in the active mutual fund scheme performances. Five out of the seven schemes are ranked in top quartile. This has led to an improveme nt in cross -sell and a decline in redemptions.
We added 91,000 new SIP clients in Q4FY23 , up by nearly 40% QoQ . SIP flows market share improved by 30 bps QoQ . Our share of alternate assets comprising of PMS, AIF stands at about 35%. As far as the private e quity business is concerned, the fee earning AUM crossed R s 10,000 crores. Revenues grew by 18% YoY to Rs 55 crores in Q4FY23 and 36% YoY to Rs 177 crores in FY23 .
Wealth Management business AUM grew by 51% YoY to Rs 52,000 crore s. We had strong net sales of Rs 5,800 crores, up by 8% YoY. Our revenues grew by 37% YoY to Rs 66 crores for Q4FY23 and by 14% YoY to Rs 223 crores for FY23 . We had a gross rela tionship man

ager
addition of 63 in the last 12 months, t aking the total RM count to 182 . We'll continue t o invest in this business by further RM additions. The overall Asset and Wealth business revenues stood at R s 252 crores in Q4FY23 and Rs 955 crores for FY23. Our profit stood at Rs 66 crores for Q4FY23 and Rs 258 crores for FY23 .

Turning to the Housing Fi nance business, we r eported a full year profit of Rs 133 crores, up by 44% YoY and R s 31.5 crores for Q4FY23 Our NII grew by 9% YoY. NIM expanded by 37 bps YoY to 7.7%. Disbursements grew by 57% YoY to over Rs 1,000 crores in FY23 . We believe that the runw ay for growth in disbursements in this business is meaningful. Our yield on advances stood at 13.9% for the full year. Cost of funds were down 24 bps to 8%, a nd as a result, the spread expanded by 21 bps to 5.9%.
Our collection efficiency continued to see improvement, coupled with declining bounce rates. Our gross NPAs at the end of the year stood at 1.1%, led by 101% collection efficiency in the fourth quarter. We increased our rates by 50 bps effective 1st of April 2023 and have cumulatively raised our ra tes by 100 bps till date. The net gearing for the business still is quite low at 2.2 times and our Tier 1 capital adequacy for this business remains robust at 50%.
Turning to our fund -based activities. We have total investments, including unrealized gains of Rs 4,630 crores as of the end of the year. Within this, the total equity investments, in cluding alternate funds is at Rs 4,280 crores and cumulative X IRR since we started making these investments stand at above 16%.
To sum up, we have delivered a reason able performance in FY23 despite market headwinds. The Retail Booking business continued to consolidate its market position by adding 1,100 plus franchise and improving its market share through the digital initiatives and also benefiting from market expans ion, particularly on the F&O side and industry consolidation that is underway. We continue to focus on our strategy to diversify our businesses towards more linear sources of revenues. Asset and Wealth businesses crossed Rs 1 lakh crores AUM. Asset Managem ent business saw improvement in performance. Our Wealth Management business is on its way to achieve scale as we have strengthened our leadership team and continued investments in Relationship Managers. Our PE business has successfully achieved fund raise of its largest ever equity growth fund. Our Housing finance business has witnessed turnaround by improving disbursements and profitability parameters and is now geared up for sustainable growth. W e believe that each of these businesses have meaningful head room to grow in the coming years . Thank you, and we are now open to Q&A.
Moderator: Thank you. We have a question from the line of Vivek Ramakrishnan from DSP Mutual Fund.
Vivek Ramakrishnan: In the broking business, which is the large st business , on marg in funding side , are you seeing margin pressures because we've seen that interest income has grown far lower than the interest expense? And do you think that in this business, given the fact that there was some volatility in the markets, will find difficul ty in growing the lending book? So, this is question

number one. And question number two, I'm just trying to reconcile in the housing finance business, the AUM doesn't seem to have grown so much though the disbursements seem to have grown. Is it more back ended? Are higher interest rates causing any slowdown in

growth? And how do you see this business going forward? That’s it from my side. Thanks.
Shalibhadra Shah : Hi, Vivek. On your first question on the broking business, the overall margin funding book, i f you see YoY, this book has grown almost 50% for us. And second ly, in terms of the overall NIM , the borrowings are dependent on short -term sources in case of margin funding, given the very nature of this lending.

So, the i nterest rates have got repriced, the i mpact of that is almost 100 bps on the NIM in the current financial year, but we have seen higher growth in the book to compensate for that. So, overall, net -to-net, the NII is up 25% on this book.
On the housing finance side, we disbursed more than Rs 1,000 crores in FY23 and Rs 360 crores in Q4FY23 . Overall there is a prepayment rate of about 18-19% of the AUM and one of the major reasons for that was also the CLSS subsidy, which cam e to us in this financial year.
Moderator: Our next question comes from the line of Vinod Chandra Agarwal, an Individual investor. Please go ahead.
Vinod Agarwal: Yes, thanks for the opportunity . I have few questions about brokerage busin ess. In the last concall you said our cost of ac quisition of client is around Rs 2,500 per client. And I think we have added around 6.5 lakh clients. So, just want to know where to find this Rs 160 crores in the Annual Report.
Shalibhadra Shah: So you’re talking about the acquisition cost, which is incurred? So that line item comes under the other expenses under marketing and brand promotion costs in the Annual Report.
Vinod Agarwal: Okay, and will you be able to provide any rough bifurcation of how much you spend on brokerage reversal or like direct acquisition cost kind of?
Shalibhadra S hah: So, whatever the cost for lead generations are fully classified under that head along with the other marketing costs. So, overall run rate of this cost h as been to the tune of around Rs 4 crores a month in this financial year.
Vinod Agarwal: We have a round 8 lakhs active clients. And we acquired around 6.5 lakhs clients in the current year itself and last year, we acquired 8.8 lakhs clients. Generally, what I feel is that, whenever a person opens an account, at least he will trade once or twice. So, we acquired 6.5 lakh

clients and our active client base is around 8 lakhs, so does that mean only 2 lakh clients who were previously acquired were active ?
Shalibhadra Shah: Activation ratio has been 26% for the new clients that we have acquired, and the ove rall activation ratio stands around 23%. Overall ac tivation ratio has actually been in line with how industry has performed. Lot of broking houses have seen substantial reduction in active clients. And if you look at our numbers, relatively, we have been b etter in terms of the overall reductions.
Moderator: Our next question is from the line of Pujan Shah from Congruence Advisers. Please go ahead.
Pujan Shah: The first question is on the home finance business . We have diversified the borrowing profile which led to reduction in cost by 20 bps. What is the estimation of the reductio n of the cost for FY 24 specifically, because the yield is becoming stable and now I think the interest rate will also start declining which is what the market is estimating? So, are we estimating the spread to widen up due to the reduction of cost or we will have some improvement in yield as well?
Shalibhadra Shah: As far as the overall cost of funds f or FY 23 is concerned, the cost is lower because of two reasons, one is we have seen improvement in NHB borrowing mix in our overall source of funds. And secondly, the overall impact of the MCLR re -pricing has also averaged out and bulk of that would come in FY24 . Opening cost of fund is around 8.25% for FY 24 and we expect the cost of fun d to marginally rise from here for the balance MCLR impacts. However, we have also improved our lending rates by 100 bps in two tranches, starting January 1 and April 1 of the current year. So we believe we will be able to mainta in the overall NIM and spre ad in the business.
Pujan Shah: So if we are increasing the yield in the home finance side, just wanted to know what are your competitive advantages given the yield are so high in this business ? What is the average ticket size?
Shalibhadra Shah:

The averag e ticket size is Rs 10 lakhs. As far as the competitive advantages are concerned, so first is certainly our rates are very compet itive in the market, given our ability to raise low -cost resources. Secondly, we have a very low disbursement TAT and third is our brand name. Given our brand presence a cross so many cities as a group, we have an edge over others.
Pujan Shah: What will be the cost -to-incom e trajectory for FY24 and FY 25, because there is some bit of increase being seen in FY23 ? So what are you eyei ng on for that?

Shalibhadra Shah: Cost -to-income would marginally be higher, given that we are actually investing in talent in this business. Even in the current financial year, we added employees, and this would continue over next couple of years where we would keep investing in the talent in this business. So, to that extent, cost to revenue ratio will rise . However, given the overall

improvement in the growth, the NIM would continue to be stable.
Moderator: Thank you. Our next question comes from the lin e of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.
Vivek Ramakrishnan: On the broking business, where will the growth come from? I asked about the net interest margin, but you've grown your book significantly, the margins you said have come dow n, but how does the scale -up happen from here on? Thank you.
Shalibhadra Shah: On the broking business side, the overall NII is up 24% YoY and apart from brokerage, we are also strengthening other revenue pie s as well like distribution revenues . We will see a meaningful improvement in our distribution revenues, our lending book revenues, and advisory -related revenues in this business apart from the overall brokerage growth.
Derivative volumes have been growing very strong if you see YoY. We are able to impr ove our derivative market share by 116 bps YoY in this business. So, we see this whole traction despite the market cycles being down or up. We see a good amount of derivative pie getting more linear in terms of our revenue growth.
Moderator: Thank you. Our next question comes from the line of Kajal from ICICI Securities.
Kajal G: We have seen such a sharp surge on Qo Q basis on the F&O volume, but the overall brokerage revenue has been sequentially lower. So is it the cash substitution which F&O has done or what will be broad breakup of cash and F&O in this brokerage revenue? That's one. Second, I wanted to understand if you can give more clarity on th e MTM PAT, how much has come from each asset class?
And third, if we can also get something like what we have seen with Angel , which has given some very good disclosures in this quarter , like how much revenue a customer has given in the first 12 months after acquisition . So, if he gives 100 in year one, what is the year two revenue of that customer? Maybe somethi ng like that, if we can get. Those are the three questions. Thank you.

Shalibhadra Shah : Coming to the first question , cash volumes were down almost 17% on QoQ basis and that is one of the reason w hy the overall brokerage revenues were down almost 6% on a QoQ basis. Secondly, there's a lot of focus on quarter four on the distribution business and on the lending business and that is another reason for decline in brokerage revenue.
Coming to the mark -to-market question, on our opening investment book , return is almost 3%. So while the quarter was flat, still our book has deliv ered opening 3% mark -to-market gain. And what you see is also net of expenses , interest expense on our real estate investments and that is the reason you have seen, net profit of that boo k at Rs 50 crores.
Coming to third question, there are multiple channels in our business and definitely we can separately put out that data, if you require that detail .
Kajal G: What is the overall brokerage share between cash and F&O broadly?
Ajay Menon

: In terms of brokerage, share of cash market is 32% and F&O will b e around 55% . If you look at overall market itself in this last quarter, it was comparatively down and the overall volumes in the cas h market wa s down. What we try is that w e are able to main tain the revenue to the extent possible that comes from the F&O side as compar ed to the cash side. And to that extent, we have been able to maintain the ratios. Also, the distribution revenues have gone up comparatively very well in the last quarter across different products, including insurance.
Kajal G: Sir, for the second question, what are these Rs 38 cr of expenses?
Shalibhadra Shah: That includes mainly the interest costs on the real estate de veloper, NCDs that we actually bear out on our balance shee t and then gradually down -sell it to our wealth clients. So what you see is while we have the interest costs on that, but bulk of the gains comes when these NCDs are actually realized as redemption premium. So, to that extent, you'll see a bump -up of the i nterest costs which will come in our prop treasury book.
Moderator: Our next question is from Ansuman Deb from ICICI Securities. Please go ahead.
Ansuman Deb: Good afternoon a nd thanks for the opportunity. My question was regarding outlook on broking busin ess. We did a good improvement this year except quarter four , so what is the outlook in terms of broking share? And secondly, there is a dip in the PMS AUM in the wealth management. So if you, can you give some clarity on that?

Ajay Menon: I'll take the fi rst one. As far as the broking business is concerned, as you must have seen in the last year, across brokers, the active clients have come down in a big way. We are very clearly focusing on the quality client acquisition and that benefi tted us in terms of overall market share growth in F&O. And we see that this trend can improve even going further, although the focus is on quality accounts and the overall ARPU of the customers.
At the same time, the MTF book is increasing in a good way, and we can build the overall AUM based o n the MTF book also. On the distribution side of the business, there's huge scope to grow there as well . Last year we had seen some good traction i n the distri bution business. So, overall we feel that we will be able to build traction. But as you all know, the market scenarios can always have its own end bits. So, to that extent, we'll be always careful

on how to build the business going forward.

Ansuman Deb: Yes, and one follow -up on that, when the markets are not doing so well, are yo u seeing relatively better traction in distribution and lending business , which can lead to a stable performance irrespective of cycle? So has there been a dichotomy between how the broking revenues have spanned out and how this distribution and lending st reams have performed?

Ajay Menon: So, as far as the market dynamics are concerned, the good thing is that because of the options market growing in such a big way, there is some amount of stability in the business numbers . To that extent , the brokerage is r elatively stable even in a downturn market. In the margin funding book, we surely see lot of scope because of the regulation, we're seeing that the things are becoming easier to fund on the MTF side. D istribution, anyhow, penetration has been comparatively lower, and we see the potential to grow the distribution book independent of the broking. However, we have seen YoY growth in distribution business. And we see no reason why the growth cannot keep on improving at least over the next two, three years.

Ansu man Deb: And on the PMS side ?

Ashish Shanker : If you look at the AUM for PMS and AIF in wealth , because we count both together, it's gone up from R s 8,400 crores to Rs 8,600 crores. Also, if you see on the alternative sp ace, the AUM has gone up from Rs 3,700 crores to Rs 4,400 crores

. So, overall, the AUM has grown in these three categories.

Ansuman Deb: Right, so any specific information on PMS?

Ashish Shanker : AIF AUM has gone up, but PMS has been down.

Moderator Our next question comes from the line of Sahej Mittal from HDFC Securities. Please go ahead.

Sahej Mittal: Hi, good aftern oon. What's your outlook for FY 24 now, given that the cash volumes are already down 20% versus the kind of growth which we had seen in the derivative segmen t? So, do you think that in FY 24, there'll be some respite in the cash segment and what is your outlook for the derivative segment?

Raamdeo Agrawal: The way markets are, with my experience, the cash volume is typically for much smaller companies, medium and small cap. When those companies will start doing well, then the economy is in second or third year of expansion. So, now this year, 2023 -24 is the second year of expansion. My sense is that, as head -on effect, all the medium and small -cap companies will start seeing the b enefit of the recovery of the economy a nd hence the earnings profile will build up for the smaller companies . A lot of ideas are coming on the desk. I think now the mood will be there to do a lot of cash trading because these companies will not be typicall y listed in the options and futures. My sense is that the second half or this year itself, the cash volume should pick up, basic ally led by mid and small caps .

Sahej Mittal: And sustainability of derivative volumes?

Shalibhadra Shah: Yes, that is sustained . Overall F&O market volumes have doubled , because more the volatility, more the growth in the F&O volumes. That's what is the case. So, first half of the year, we are projecting that F&O volume will still continue to keep growing.

Sahej Mittal: Second is, in the asset management business, if you could split out the net sales across segments, mutual funds, PMS and AIF for quarter four ?

Navin Agarwal : Net sales in mutual fund was positive Rs 5.2 billion. And overall on alternate side there was Rs 2.2 billion of outflows.

Sahej Mittal: And within Rs 2.2 billion, AIF would be positi ve, so PMS would be more than Rs 2.2 billion of outflows .

Navin Agarwal : Yes, that's right.

Sahej Mittal: And the outlook on the wealth management business, given that we've been inv esting quite heavily in the wealth management business.

Ashish Shanker : The size of opportunity is large for wealth management, and we continue to invest in three areas. Basically, we continue to invest in hiring good wealth managers, in growing our client franchise and in products and platforms. So, these are the three basic g rowth drivers. We believe that the growth can continue into the future as well.

Sahej Mittal: Any targeted operating margins for this business?

Ashish Shanker : Currently, we continue to invest in this business so margins could be probably at the same level going forward , and then they would improve as the mix of the vintage of RM's improve . As we continue to invest in talent, the RM's in the zero to one category tend to go up. And as the RM vintage matures, you will start seeing margins improvement.

Moderator: Our next question comes from the line of Dhruvish Pujara from Premji Invest. Please go ahead.

Dhruvish Pujara: Hi. So, thanks for the op portunity . So I have two questions, first o n the NSE client base which has gone down to 8 lakhs from 9 lakh sequentially. So what explains that? And how do you see this strategy going forward in the next two years in terms of client acquisitions on the broking side? And the second question is on th e float income. If I understand it correctly, the

FY22 float income was Rs 129 crores. So, what that number would be in F Y23 and how do you see that number moving forward with the regulations coming in place? And also if you can qualitatively explain the m oving parts of the float income pie.
Ajay M

enon: As far as the active client is concerned, surely you have seen across the industry, there is a fall in the active client base in a very big way. Compared to that, the fall at our end is comparatively lower. But to that extent, we are only looking at onboarding more and more quality account. So we feel that this active client ratio will only improve in our case as we look forward to onboarding more and more clients which are from a higher -margin base.
We have seen in the last two -three years the client base has increased in a very big way across the industry. So there can be consolidation in this number, if you see the trend in the market and the overall market scenario. But we are very clearly focused on acqui ring quality accounts.
Shalibhadra Shah: Yes, on the second que stion, the float income for FY23 is approximately Rs 150 crores. And in terms of the new regulation around ASBA . At this juncture the ASBA mechanism is actually optional in nature, and it will be difficult to comment at this juncture until the broad contours is published . Further given that we have larger amount of our customers in mass affluent
12
segment, the impact of that would be minimal on us and even the UPI block size is pretty less at Rs 5 lakh. So, the mass affluent clients typically don’t get fit into this account.
Secondly, in terms of the circular which had come on 29th March and even on 25th April regarding overall upstreaming of the client funds, so there would be a mar ginal impact o f approximately Rs 5 crores per annum, because upstreaming of the bank guarantees on client funds is not permitted. As we have a very strong capitalized balance sheet , we see this impact to be very minimal on us at this juncture.
Dhruvish Pujara: So do we expect this Rs 150 crores broadly to stay as it is in FY24 apart from the Rs 5 crores which you mentioned, or do you see that marginally going down, if not going up?
Shalibhadra Shah: It may marginally go up from here because the FD rates are going up.
Mod erator: Our next question comes from the line of Deepak Sonawane from Haitong Securities.
Deepak Sonawane Thank you for the opportunity. I have only one question that is on broking industry. Especially for us, if you see that over the last four, five quar ters or even if you compare FY23 versus FY22, we have seen a very sharp drop in our gross yield , right, for core broking grossing. Cash segment at least has been holding up really well , but for F&O, we have seen a very sharp drop in gross yield . That could be materially impacted by very high growth in volumes. But I just wanted to understand whether there is a voluntary drop in yields, because of competitive pressure. So, can you just comment on this?
Shalibhadra Shah: So on the yields actually if you see, t he drop is only on the options side of the business. So for us, the other segments have not seen any drop in the yields over many quarters. In options , we have one of the highest ARPUs in the industry. W e’ve seen some bit of reduction because one is market volumes are growing. But we are also improving our market share. So there is moderation in the overall option yields which has happened. It’s more across the industry, given the low rates which is there, whereas still we have one of the highest revenues per order in the industry.
Deepak Sonawane: Can you tell us how much yield moderation has happened over the last one year.
Shalibhadra Shah: Overall, there would be moderation of almost one-third. I can’t specifically call -out that number, but that’s the br oad number.
13
Moderator: Our next question comes from the line of Vinod Chandra Agarwal, an Individual Investor. Please go ahead.
Vinod Agarwal: I was trying to understand over client activation. So in that regard, sir, you said like we have 55 lakhs of total clients, 35 lakh broking clients. So can you help me understand that where is this

gap of 20 lakhs clients?
Shalibhadra Shah: Yes, so those 20 lakh customers are customers of our asset management business predominantly on our mutual funds and alternate a ssets.
Vinod Agarwal: Okay, and 8 lakh active client sits within the 35 lak h clients, right ?
Shalibhadra Shah: Yes, that’s right.
Vinod Agarwal: Only brokerage or distribution is also considered as an active client? I mean, some companies are in the capita l market directly, but they might be doing the investment in the mutual funds and other distribution products.
Shalibhadra Shah: So this 8 -lakh number is actually the NSE active clients, it only pertains to the brokerage business. On the distribution busi ness, the overall penetration is 16% cross -sell. So on this 35 -lakh client base, we have actually cross -sold to 16% of the total customers, at least, one distribution product.
Vinod Agarwal: So, does it mean like o n overall, if we consider mix of both of t hem and consider, what could

be the number? I mean, 15% if w e take, then only, it is around 4 lakh, 5 lakh clients additionally? Is that the right number?

Ajay Menon There'll be an overlap on those customers who are doing, broking customers will also be doing the distribution business. So it will not be exactly the additional customers to that extent. It'd be some 10% that might be separate who have not done broking.

Navin Agarwal: Yes, and like the broking business, there if the customer does not trade in a year, it is inactive, right? In the wealth management business or in the asset management business, if you're earning trail income or annuity income, they don't have to trade. So, actually 100% of AMC clients and 100% of wealth clients and 100% of privat e equity clients and real -estate clients and all those distribution clients are active, because the firm's earning revenues every single

day. So I mean, you have the actual broking numbers, all other clients of all of those businesses are actually active c lients.

Vinod Agarwal: Our advisor would have talked to them who are inactive. What reply our advisors get from clients, like they're not interested or they have found a low cost broker, I'm just trying to understand th e effectiveness of our advisors .

Navi n Agarwal: It could be a combination of all that you mentioned, and it could be also related to the circumstances of the client themselves. So we don't have really a breakdown of the various reasons why a client is inactive. All I can tell y ou is, we are trying to improve the activation ratio. There is a budget and resource allocation to improve the activation of the client across all the businesses and to increase the cross -sell as well.

Vinod Agarwal: How many numbers of clients are currently using MTF a nd what is the median t icket size?

Shalibhadra Shah: There are almost 8,000 customers and the size will be Rs 50 lakh - Rs 1 crore.

Vinod Agarwal: So, that seems like most of them are HNI clients. On this real estate fund side, we were about to launch this fund. So what is the status on that ?

Shalibhadra Shah: Yes, we would be launching our 6th real estate fund in the course of this financial year. We've already got the SEBI permissions to float this fund and the team is working on the broad contours of that .

Vinod Agarwal: And this real estate fund is mostly like a debt product, or it is equity product?

Shalibhadra Shah: It is used by developers for both land stage and finance tran sactions.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from participants, I now hand the conference over to Mr. Shalibhadra Shah for closing comments.

Shalibhadra Shah: On behalf of Motilal Oswal Financial Services, I wo uld like to thank every participant to attend this conference call for Q4 FY23. In case of any further queries, please do get in touch with me or our Investors Relations team . Thank you and have a

good day.

Call: Aug 2023

August 02 , 202 3

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/ Analyst(s)

Dear Sir/ Madam,

This is with reference to our earlier letter dated July 21, 202 3 regarding intimation of Earnings Conference Call (“Con -call”) with Investor(s)/ Analyst(s) on July 28, 2023 to discuss financial performance for Q 1 FY 202 3-24.

In this regard, pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”) (as amended from time to time), please find enclosed herewith the transcript of the said Con-call for your reference.

The said transcript of the said Con-call is made available on the Company’s websit e i.e. https://www.motilaloswalgroup.com/Downloads/IR/1611626449MOFSL_ConCall_Transcript_Q 1FY24.pdf .

Further, w e hereby confirm that no unpublished price sensitive information was shared or discussed during the said Con-call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer
Encl .: As above
Motila l Oswal
Financia l Services

Con-Call Summar y & Earning s Release

Q1FY24
28th July, 2023

For a deeper insight into the company's performance and the management's expectations, we present extracts from the post -results conference call. We have edited and rearranged the transcript for greater lucidit y. This presentation is available at www.motilaloswalgroup.com

Corporat e Participants

Mr Raamdeo Agrawal
Chairman

Mr Motilal Oswal
Managing Director
Mr Navin Agarwal
Director & CEO - AMC

Mr Ajay Menon
CEO - Broking

Mr Ashish Shanker
CEO - Wealth Management

Mr Shalibhadra Shah
Chief Financial Officer

Mr Chetan Parmar
Head - Investor Relations

Mrs. Carol - Moderator: -

■ Good afternoon, ladies and gentlemen. I'm Carol, the moderator for this conference. Welcome to the Q1FY24 Earnings Conference Call for Motilal Oswal Financial Services Limited. We have with us today, Mr. Raamdeo Agrawal, Chairman; Mr. Motilal Oswal, Managing Director; Mr. Navin Agarwal, Director and CEO, AMC; Mr. Ajay Menon, CEO, Broking; Mr. Ashish Shanker, CEO, Wealth Management; Mr. Shalibhadra Shah, Chief Financial Officer; and Mr. Chetan Parmar, Head, Investo r Relations .

■ As a reminder, all participant lines w ill be in the listen only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

■ I would now like to invite Mr. Navin Agarwal to make his opening remarks. Thank you, and over to you, Mr. Agarwal.

Mr. Navin Agarwal - Director & CEO - AMC:

■ Good afternoon, everybody, and welcome to the Q1FY24 Earnings Call of Motilal Oswal Financial Services. I'll start by taking you through the highlights of the operation and the financial performance

■ Our co nsolidated revenues stood at Rs. 12.6 billion during the quarter, up by 32% year -on-year and up by 11% sequential ly. Our consolidated operating profit after t ax during the quarter was at Rs. 2.4 billion, up by 28% year -on-year and up by 3% quarter -on-quarter. We reported one of the highest co nsolidated quarterly PAT at Rs. 5.27 billion, which including the OCI profit was at Rs. 6.72 billion.

■ As we've discussed in the past, the large part of the net worth, which is allocated to fund - based activities as per the Ind AS needs to be mark -to-market on a quarterly basis a nd this is usually lumpy and not accruing equally in each of the quarters. I'll talk a little bit more about this later in the call.

Capital Market Business

■ Our core businesses were quite robust this quarter. We reported the highest ever quarterly capital markets business profit of Rs. 1.55 billion during the quarter, driven by growth in our retail cash ADTO market share by 46 basis points year -on-year and 110 basis points on a quarter -on-quarter basis to 6.2%. Retail F&O premium market share stood at 7.2%. You may be aware that this disclosure by the exchanges started in the last quarter. And so we now report in our presentation, both the F&O premium market sh are as well as the F&O ADTO market share. So the premium market share stands at 7.2% and the F&O ADTO market share for retail business stands at 4.3%. Th e F&O ADTO market share is also up by 111 basis points year -on-year and 44 basis points quarter -on-quar ter, resulting in an overall average daily turnover increase of 171% year -on-year and a very strong 28% on a quarter -on-quarter basis .

■ NSE active clients for us stood at 761,000 numbers as of June of '23, and our market share has been stable at 2.5%. We a cquired an additional 100,000 clients during the first quarter

■ The distribution AUM within the Retail Broking & Distri bution business increased to Rs. 223 billion, up by 20% year -on-year and our incremental distribution net sales were at Rs. 3.2 billion during the quarter here. Again, we have made additional disclosures in our presentation. I'll cover that later in the con call.

■ Our currency market share improved meaningfully by over 4 00 bps quarter -on-quarter to 22.7%. Our institutional equity business ADTO also grew by 67% year -on-year, 62% quarter -on-quarter. And the investment banking business saw 6 successful completion of transactions aggregating Rs. 37 billion, and we continue to have a strong pipeline of ECM mandates to be executed in the rest of the year.

Asset & Wealth Management Business

■ Turning to the Asset & Wealth bus

inesses. The cumulative profits of the Asset & Wealth business (AMC, Wealth and Private Equity) stood at Rs. 641 million during the first quarter

■ The Asset Management business, AUM crossed Rs. 500 billion. We closed the quarter at Rs. 515 billion across our mutual funds, PMS and AIF assets. This number was up 19% year -on-year, mainly led by the mark -to-market gains and 13% quarter -on-quarter. Our re venues for the quarter stood at Rs. 1.38 billion, which is up by 5% quarter -on-quar ter. Mutual fund AUM stood at Rs. 335 billion, and we are hopeful of growing this mutual fund AUM led by strong performances and turnaround in our active mutual fund schemes .

■ This quarter, while our net sales continue to be negative on the back of redemptions, I'm happy to report that our gross sales for active mutual funds were up by 90% year -on-year. This is also reflected in the SIPs. New SIPs during the quarter were 130, 000, up by 170% year -on-year and 42% quarter -on-quarter and we also saw an improvement in our SIP flow market share.

■ Our Wealth Management business AUM grew very sharply by 90% year -on-year, 28% quarter -on-quarter at Rs. 664 billion. This also includes ce rtain DP assets, and some lumpy additions is causing this 93% year -on-year growth. Our Private Equity business fee earning AUM touched nearly Rs. 10,000 crores across 3 growth capital funds and 4 real estate funds.

■ In the first quarter, our PE& RE r evenue s grew by 22% year -on-year to Rs. 388 million. We are happy to announce the launch of our sixth real estate fund during the quarter with a target to raise about Rs. 20 billion as compared to the fifth series real estate fund that raised Rs. 12 billion. So this is a substantial ramp up and should add to our AUM during the course of the coming quarters.

■ Our fund based p rofit, including OCI stood at Rs. 4.3 billion during the first quarter. And as a result of the strong market and the mark -to-market, our consolidated net worth rose to Rs. 69.3 billion at the end of the quarter. Our debt equity stood at 1.5x.

■ In terms of an additional slide that we have added to our presentation this quarter, we have reported our n et worth since FY '15 and the Rs. 69.3 billion marks a compounded growth of 23% during this 8 -year plus period. After a 28% average dividend payout and after all the buybacks that we've done, on the back of the twin model of strong operating business return on equity, combined with the 17% post -tax XIRR on our fund -based investments. Our operating profit after tax contributed to 70% of this net worth augmentation over the last 8 years, and the ba lance 30% was contributed by our fund -based investments.

■ Turning to a few more insights on our Wealth Management business. In our Private Wealth business, we have clearly laid down our strategy to strengthen our relationship manager base in FY '21 and we had guided for a 300-member relationship manager base by March 2026. We are tracking well on that plan and have added a net 74 relationship managers over the last couple of years to reach a total RM count of 197, which is up by 60% during this time period by the end of this quarter.

■ Further, we've strengthened our regional leadership positions across key geographies in West and South India and have also on boarded Ultra -HNI client vertical head last year. These investments in relationship manager and stren gthening the leadership is expected to continue in the coming quarters as well and will have a short -term impact on our profit margins for the Wealth Management business.

■ However, we believe once the vintage of RMs improve, the operating margin should mov e back to the 45% to 50% range. Another disclosure that we made during the current quarter in our investor presentation is the disclosure on revenues and profits from businesses catering to Wealth clients hitherto we've been reporting our Private We

alth bu siness separately.

■ The Private Wealth entity offers products and services across platforms and asset classes to 5,650 families. There are another 8,000 HNI families house in our Broking and Distribution entity service to a dedicated private client group, which offers not just broking products, but some of the financial products curated by the wealth busi ness and has a DP balance of Rs. 45,000 crores.

■ This group supplements the Private Wealth Business and jointly covers a wide spectrum of clients from mass affluent to HNI to Ultra HNI families.

Home Finance Business

■ Turning to our Home Finance business. We've strengthened our senior management team through key hiring in leadership positions. Sukesh Bhowal has joined as the Chief Executive Officer of the company and brings in 27 years of rich experience in the mortgage industry. In the previous stint , he has been associated with Citibank for over a decade and DCB again for over a decade, where he headed the Mortgages, Micro -Mortgages, Construction Finance and Gold Loans segments.

■ Shobhit Doru has been appointed as the Chief Operating Officer. Shobhit has 25 years of experience across Product, Strategy and Analytics for over a decade at Bajaj Finance. Rajesh Maiya has come in as the Chief Business Officer. Rajesh brings over 25 year s of experience in Sales & Distribution, Channel Management and Customer Service. He served in organizations like Nestle and ICICI Bank for a large part of his career and spend the most recent years as the National Sales Manager at Aavas Finance.

■ With sen ior management team onboarded, our next priority is to strengthen our sales force in the next 6 to 9 months, and all of this should help us drive growth in the AUM from the next financial year.

■ To sum up, we have delivered strong performance in the first quarter. Our Capital Markets business has demonstrated remarkable performance, reporting all -time high profits and strengthening our retail market position in cash as well as F&O segment with shares of 6.2% and 7.2%.

■ Our Asset & We alth business AUM has c rossed Rs. 1.25 lakh crores. Asset Management business has seen improvement in performances across multiple products and is seeing traction in gross sales. Wealth Management business continues to strongly march towards the 300 RM base besides strengthening leadership.

■ Recent appointments in the Home Finance business should drive the second phase of AUM growth for the Home Finance business. With the strengthening of each of our businesses and the tailwind provided by rising savings and financialization of those savings, we hope to continue compounding our net worth on a bigger scale at similar rates as we have reported in the past.

■ We've also filed with the exchanges an expression of interest from our 2 co -founders, Mr. Motilal Oswal and Mr. Raamdeo Agrawal, both promoters of the company, co -founders of the group along with their family members, each of them will be donating 5% of the equity shares of the company, aggregating to 10% of the outstanding shares of the company towards charitable purposes, either in a single contribution or through a staggered approach within a period of 10 years. Mr. Agrawal can elaborate on this during the course of the Q&A. Over to you, operator, for the Q&A.

■ Mrs. Carol - Moderator: -

■ Thank you very much. Ladies and gentlemen, we will now begin the question and answer session…

■ Mr. Vinod Chandra Agarwal – Participant :

■ First of all, congratulations for a good a nd a very good set of numbers a nd would like to thank you for giving me the opportunity . By listening is that the promoters are giving 10% to the charity cause, that's really a great novel cause. For that also, I would like to say thank you. I don't know what matter, but the cause is good. So that really makes a believe that the promoter's honesty and re

sponsibil ity towards the society. So again, thank you for taking that decision and going towards that a nd one request I would like to make, which like in our Annual General Meeting, I did send an email to represent myself as a speaker well before on the time, but I didn't get a response, and I couldn't be a speaker. So if you can just make our investor relationship officials a little bit more, I would say, responsive, that will be good. It's not as a complaint, but just a request.

■ Mr. Shalibhadra Shah – CFO:

■ So we had actually given opportunity to all the investors who had come in the queue. However, in case if, unfortunately, we would have missed, then we will certainly take care of that.

■ Mr. Vinod Chandra Agarwal – Participant :

■ I wanted some understanding in the Home Finance business. I'm an individual investor, so my questions would not be related to the analysis, but kind of understanding of the busines s. The main concern is over return on equity on our Home Finan ce business. If you look at the ROE , even tho ugh it has been more than 5 -7 years, our return on equity of Home Finance business is the lowest amongst the all other business.

■ All other businesses are doing well, even our fund -based investment is doing a 17% XIRR , but Home Finance businesses just last year has done with only 13%, that too taking a 2.3x leverage, so that is something of concern that why are we doing this business instead of looking for any other opportunity where we can put this money? If you can elaborate.

■ Another thought is that why we are not going with some higher leverage if we want to increase our ROE. Another thought which I was having in mind is that even though our real estate fund, who is giving a 20% IRR and our Home Finance business is giving just a 13% ROE. So just a though t if something we can do there. If you can just explain, that's like what is our target to reach this ROE in the Home Finance business and why we are investing in the Home Finance business even though we have some other avenues where the return on equity i s high?

■ Mr. Shalibhadra Shah – CFO:

■ With respect to Home Finance business, we are into actually lendi ng into affordable home segment and this business certainly is being build brick by brick. If you actually look at our total loan book, then we are at 3 ,770 crores of book. We have been adding a lot of talent in this bus iness over the last few years a nd the idea is that we would be improving more talent on the sales side to actually improve the throughput of the disbursements of this business.

■ So last fi nancial year, we did Rs. 1,000 crores of disbursement s. The idea is to grow the book and as our book growth improves in this business, the overall leverage will improve and would translate into a better return on equity to the shareholders. Currently, our return on assets stands at 3%. The idea is to improve the overall ROA to 3.5% and also, at the same time, have a strong asset quality of the business, which will help us to improve the overall ROA and ROE in the business.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Ansuman Deb from ICICI Securities.

■ Mr. Ansuman Deb – Participant :

■ My first question is on the Capital Markets segment. Obviously , we have done good, but what I wanted to understand was that is it as an ex of investment banking, the core retail business? How is profitability shaping up in terms of the business, in terms of whether we are kind of decreasing the yields for the market share because we have don e very good in the market share gain perspective? So that's the first question.

■ The second question pertains to the Asset Management business. You said that the net flows remain negative, but we have shown very good growth on the gross side. So any initia l trends on the distribution side in terms of the flow share over there, our discussio

ns with the
distributors and the reflection of improving fund performance? If you can give some color on that.

■ Mr. Shalibhadra Shah – CFO:

■ So overall, on the Capit al Markets side of the business , as far as our Retail Broking business is concerned, that has grown in terms of profitability by 19% on a Y -o-Y basis. Even on a quarter -on-quarter basis, if you look at our Retail Broking business , while it is looking flattish but overall it has increased , since Q 4 includes also the impact of the insurance revenue. So in that, if you actually look at it sequentially, even the retail broking part is up 20%.

■ In terms of the yield, cash yields have been actually stable and in fac t, improved in Q1 of this year. So apart from volume growth in the market, our market share has improved as well as the yields have also marginally improved. As far as the F&O yields are concerned, certainly, the yields are marginally down. So year -on-year , the yield has been coming down, but volume has been more than compensating for the yield loss. Again, in this quarter, the mix of the brokerage towards cash has improved. The overall mix of our yield is also better on Q-o-Q and Y-o-Y as well.

■ Mr. Navin Agarwal - Director & CEO - AMC :

■ Turning to your second question on the traction with distribution on the back of the turnaround in the Asset Management business performance, I'm happy to share that across 6 channels that we track, the banks, we've seen onboarding of some of our performing products by the largest of the banks in India. The same has been the case with the Wealth platforms in terms of our new founders, AIF, PMS.

■ In fact, in our presentation, we've highlighted that very early into the launch of this product in the first quarter itself, it crossed Rs. 500 crores of AUM for that product. So we're seeing traction on both the alternate side as well as the mutual fund s ide. During the quarter, we also launched an NFO of the Mic rocap Fund, which raised over Rs. 100 crores. This is an innovative first -of-its-kind passive product that we see headroom to grow.

■ Turning to the retail channels. We've also seen onboarding by so me of the large national distributors of our performing products. IFAs, we've seen a very strong uptick as well. The digital channels, again, we have seen very strong traction in the last quarter a nd lastly, in terms of the direct flows also, we've seen an uptick. I've also shared the SIP numbers, which are up almost 2.7x on a year -on-year basis. So at least the gross flow traction is strong. We are hoping to convert this into a stronger net flow traction also.

■ This quarter, I must highlight that on the ba ck of the turnaround in the performances, we saw some of the long -standing institutional investors in the mutual fund see some part redemption to take some profits partly also because of the market scaling to a new high which is what is muting the AUM grow th. That is now stopped, and we are hoping that the second quarter should see stronger traction as far as the net flows are also concerned, while you will continue to see uptick in the gross flows of our Asset Management Company.

■ Mr. Ansuman Deb – Partici pant :

■ Great. One last question is on the Housing Finance side. So we have a new team over there. and as you said, we want to kind of capitalize on that going ahead. So any kind of target in terms of AUM growth or the ROA trajectory for the next 2 years wo uld be helpful, considering that in this quarter, we have not seen a meaningful growth but an increase in provisioning. So any color on that?

■ Mr. Navi n Agarwal - Director & CEO - AMC :

■ As I covered in my opening remarks, the purpose of hiring veterans with over 2 decades of experience in prestigious organizations like Citibank, Bajaj Finance, Aavas, DCB is to ramp this AUM up to the second phase of growth. We are hoping to increase the si ze

of the sales team
from 7 00 to nearly 1,000 over the next 2 to 3 quarters. While keeping the branch network the same. So you will see some benefit of cost to income as the control functions across collections, operations, credit may not need a proportion ate enhancement.

■ So increasing the sales team with the same branch network and the same control functions, we are hoping that in the coming quarters, you should see a meaningful quarter -on-quarter disbursement traction. Let's say, definitely, the fourth q uarter, the exiting quarter of this year should see pretty good numbers according to us. But we are not giving any guidance hoping that when we report the full year numbers, we'll most likely present to you a 3 - to 5-year plan for this business as well in terms of AUM, ROA, ROE targets.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Bhuvnesh Garg from Investec Capital.

■ Mr. Bhuvnesh Garg – Participant :

■ Sir, just I wanted some color on our Wealth business and our HNI business. If you can just explain that between our Wealth Management and Broking and Distribution , so how is our customer divided ? what profile of customer is considered under Wealth Management? What profile of customers comes under Broking? a nd how are the products offer different between two divisions? a nd why do we have two separate divisions and not one combined division?

■ Mr. Navin Agarwal - Director & CEO - AMC :

■ I think the point of acquisition of the customer is really different. The Broking and Distribution customer s may have predominantly been a broking -first customer and over a period of time have seen cross -sales of mutual funds, AIF, PMS, real estate funds, debt product, etc. In the case of the Wealth Management business, necessarily the first point of contact ma y not be the Broking business in all likelihood, it may be a financial product. Also the cutoff, so you may see a much smaller starting cutoff of AUM as far as the Broking business is concerned or it may even be 0, you may just start with broking and bring your DP balances to the firm. On the other hand, there will be a cutoff as far as the Wealth Managem ent business of a minimum of Rs. 2.5 crores.

■ Mr. Bhuvnesh Garg – Participant :

■ Got it. S ir, the difference in products offer between Wealth Management and Broking?

■ Mr. Navi n Agarwal - Director & CEO - AMC :

■ The Wealth Management team is obviously more sophisticated to be able to handle financial planning, estate planning, many other services. Some of them may not be offered, a subset of those services may be offered by the Private Client Group within the Retail Broking & Distribution business. However, our endeavor is like we are growing the relationship manager base in the Private Wealth Management business we spoke about, tr ebling that by March '26. We're looking at equally strong increase in the relationship manager base of the Distribution business and also to increase the coverage of products that the Private Client Group offers based on the curation by the Private Wealth business.

■ Mr. Bhuvnesh Garg – Participant :

■ Okay, sir. And sir, what's the definition of HNI clients in terms of Net Worth ?

■ Mr. Navin Agarwal - Director & CEO - AMC :

■ As I said, the onbo arding has to be a minimum of Rs. 2.5 crores of AUM for the Private Wealth business. We don't have any such definition I mentioned to you earlier for the Private Client

Group because they could be a broking -first customer.

■ Mr. Bhuvnesh Garg – Participant :

■ Fine and sir, just in terms of financials. So we are now on tr ail model on most of the products. So in that scenario, have we adjusted the compensation for RMs accordingly or RMs are still -- their compensation is still what it used to be ?

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ So right that most of th e products now are on a tr ail basis b

ut we consider the Broking revenues accruing from Private Wealth custome rs under transactional revenues a nd there are certain oth er products like bonds, etc. , which also help us accrue transaction revenues .

■ Second question was the RM compensation. The RM compensation continues to remain same.

■ Mr. Bhuvnesh Garg – Participant :

■ Okay. So in that case, so do we expect that higher cost to income since our now revenue would accrue later on, but our RM compensation would all be upfron t. So in fact, how do you see our cost ratios moving?

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ So I think whatever we've seen over the last couple of months, the productivity numbers are moving as per earlier numbers itself because there is still brok ing, which is part of transactional revenues and there are other revenues like bonds, etc., which kind of compensate.

■ Mr. Bhuvnesh Garg – Participant :

■ Got it a nd sir, if you can share some data on AUM client attrition and employee attrition in our Wealth business. How it has been for the last couple of years?

■ Mr. Shalibhadra Shah – CFO:

■ Yes, we can share that separately with you.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Supratim Datta from Ambit Capital.

■ Mr. Supratim Datta – Participant :

■ So I have a follow on from previous question. So on the wealth side, you have grown around 35%. Just wanted to understand that what would be your customer mix here when I'm saying customer mix, I wanted to understand what would be the ultra -high net worth customer proportion versus the high net worth customer proportion and how are you planning to go beyond the Tier 2, Tier 3 strategy on wealth side? If you could give some color on that, that would be very helpful.

■ The second question was on the investment front in the wealth business. So you have indicated that you have onboarded 74 RMs. How are you planning to continue this investment going forward? So how much more investment needs to get into the business means to get to a stable basis, if you could give some color on that would be also very helpful.

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ Yes. So on your first question, in terms of mix of clients. Currently, about 10% of our clients would be ultra -high net wort h family office type of clients, otherwise, bulk of our clients would fall in the HNI category. I'm defining the ultra -high net w orth family office clients is Rs. 100 crores+ AUM with us, b ut in terms of assets under management, the ultra -HNI segment will comprise about 37% of o ur assets currently.

■ Your question on RM addition, I think we had mentioned earlier that we are committed to ensuring that we reach the number of 300 by 2026, b ut at the current rate of growth, my sense is that we will reach it much earlier.

■ Mr. Supratim Datta – Participant :

■ And if I could just add one follow -up question to that. So typically, how long does an RM take to full maturity?

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ Typically, our RMs breakeven between the second and the third year . The way it works is that first year, the RM productivity is normally 1 to 1.5x of their cost. Sec ond year, it moves to 2, 2.5x a nd by the third, fourth year, it moves to greater than 3x, and that's when the RM breaks even and becomes profitable for the c ompany.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Pujan Shah from Congruence Advisers.

■ Mr. Pujan Shah – Participant :

■ First question from my side will be if you look at the home finance side, on the NPA and GNPA have also been driving from FY '20 to FY '23 basis, if we look at the specific target, we have been focusing AUM ticket size ha s been specifically for Rs. 5 lakhs to Rs. 15 lakhs , the ticket size. Now in that segment, I not able to unders tand why the spread, the NIM , cost to inco

me
has been increasing even in this specifically the banking cycle?

■ My second question would be on the diversified liability mix. If you look at the FY '20 mix, it would be more of the NCD and then we have started to mainly focus on term specific. So NCDs has been reduced from that part. So can you just explain how that's possible?

■ Mr. Shalibhadra Shah – CFO:

■ So answering your second question first, actually, on the overall liability mix, we have now NHB refinan ce which is almost 21% of our liability mix, which is a low -cost finance, and that is one of the reasons where that has taken the seat of NCDs. So NCD are generally 3 -year tenure and NHB refinance comes with 8 years to 10 years' tenure. So we have actually replaced a longer -term tenure liability mix at a lower cost to spend. That is the reason for reduction in the NCDs.

■ In terms of the overall spreads, the spreads have been healthy for us. The total spread of Q1 stands at 6.1% and is marginally up Y -o-Y. In terms of the cost to income, as highlighted earlier in the call, actually, we have been adding a lot of senior talent for our next phase of growth. Also, we are investing in the manpower a nd especially on the sales side. So that is one of the reasons our cost -to-income would marginally go up in the current financial year and in the next financial year, b ut you would also see the throughput of the run rate of the disbursements improving, which would t hen bring down the overall opex. Our current ROA is at 3%, and we expect to maintain above that.

■ Mr. Pujan Shah – Participant :

■ Okay, sir a nd I just wanted to add a question on specific as we are hiring to senior guys out there in home finance, s o what was the lag we found in our core business a nd these are the persons who can add on to this value and can change the trajectory of this business. So what are the l ags we have found out in the initial phase and then how we are visioning to change all this? What is the first focus for this specific things?

■ Mr. Navin Agarwal - Director & CEO - AMC :

■ So as you know that this business was being driven by Mr. Oswal as an interim arrangement until we strengthened our digital platform, our underwriting processes, put the collection in order. I think all of that is behind a nd I think from setting the house in order, getting the credit rating upgrade, bringing down the cost of funds, improving the efficiency, all that is done. I think in the next phase of growth; we are looking at growing the AUM meaningfully with the kind of distribution state presence that we have. I think w e are embarking on that journey a nd as may be aware, as co -founders we have professional CEOs and management teams for all the 7 businesses that we are in and the co -founders do not directly run any of these businesses. There's a lot more bandwidth that is required for the capital allocation strategy, busin ess reviews of the firm across these businesses and so well then goes back to his original role.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Divyesh Mehta from Dinero Cap. Sir please go ahead.

■ Mr. Divyesh Mehta – Participant :

■ I had one question, simple question. So I was very excited to understand the scheme, which was launched recently by Motilal Oswal, Microcap 250 Index Fund, sir. So it's a kind of a unique fund, which is not there in the industry right now. And what I want to und erstand is like what was the thought process in launching such kind of scheme? And is there any pipeline of such kind of scheme going forward in the future where we think that we can improve our AUM and we can improve SIP also through the scheme.

■ Mr. Navi n Agarwal - Director & CEO - AMC :

■ As you know, we started our journey in passive with international products. We were the first license of NASDAQ well over a decade back. We were also the first license of S&

amp;P 500, and we
followed that up with our emerging market, IFA, other interesting fund launches after the RBI embargo on further investments overseas and we had maxed out our limit.

■ Our next focus was to build an equally strong domestic franchise. I'm happy to tell you that for a lot of our products, we'v e been the first to launch those products in the industry, and we are the leaders. Aside of the mega products like the NIFTY 50 where we don't have a standing, I think through innovation, through being first to market, to filling the product gaps, our idea is to keep launching more products, offer best -in-class tracking errors and basically provide more financial solutions to the retail investor base.

■ I think Microcap is one more such initiative. We also have the largest mid -cap fund and a small cap fund i s already in place. So if you see, we are now -- also our focus is the NSE 500 fund also. So I mean we are stranding the entire spectrum, and we have a pipeline of funds that we filed with the regulator, SEBI, and hoping to get approvals. As and when we ge t those approvals, we will see us launching more and more of these products in the coming years as we believe that the runway for passive asset management is also extremely exciting.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Kartikeya Mohata from B&K Securities.

■ Mr. Kartikeya Mohata – Participant:

■ This is Swarnabha Mukherjee. I had 2 -3 questions. I just wanted to understand, first of all, on the Wealth Management business, the disclos ures that you have made. So on the Wealth Managem ent side of the business, I was looking at the mix of transactions scheme what I say is that the share of recurring revenue has come down in the mix. So is this a function of just that given how the market activity level has increased and hence, you are se eing more transactional revenue flowing through that? Or is there anything else to read into that? That would be the first question.

■ Secondly, in terms of the disclosure on AUM per family and revenue per family. What I see is that the jump in the AUM per family has been much more pronounced than the revenue per family. So is that the new customers are coming in at a lower yield? Or how -- if you could explain that? So that's the question on the wealth side. I have a couple of other questions, but I'll ask them after your response.

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ Yes. So on the first question, actually, the transaction revenue going up is not a function of the recurring revenue going down, whereas we've had broking revenues move up sharply in the Wealth Management business, which is counted under the transaction revenue head. Secondly, till April 30, upfront revenues were still there on many products. It is from May 1 that the upfront revenues have gone away. So you see that smoothening probabl y from the next quarter between transaction revenues as well as recurring revenues.

■ On the second question, on the AUM front, as explained earlier, there was a sharp addition in terms of AUM and a large part of it also came through DP assets. which we hav e classified -- if you look at the presentation, we've classified our AUM between custody assets and revenue earning assets. So if you look at just the revenue earning assets, our yields are more or less constant.

■ Mr. Kartikeya Mohata – Participant:

■ Okay. Got it. In terms of the number of live SIPs, that you have mentioned, that number seems to be fairly steady in between FY '22 -'23 and also in the current quarter. So how should we look at it? Is this a function of us not really going aggressive on th is because we see other players maybe not in your direct customer segment, but maybe on a slightly lower scale, they are seeing very strong growth. So just wanted to understand how to read this?

■ Mr. Navin Agarwal - Director & CEO - AMC :

■ If you look at the SIP flows, we were at Rs. 339 crores for the first quarter of last year and this quarter, the number is Rs. 532 crores. Now a lot of the increase is because of some headroom that has ope ned up in the passive business. So the passive business, SIPs have grown even faster. However, even on the active side SIPs in terms of the quarterly flows have gone up from about Rs. 280 crores to over Rs. 330 crores. So that's a growth of nearly 20% on a year - on-year basis.

■ Mr. Kartikeya Mohata – Participant:

■ Okay. Understood. Lastly on the broking piece, I just wanted to understand how you are seeing the dynamics playing out on the retail b roking part. So discount brokers vis -a-vis the traditional players. How is the market share moving? What are you r views? What kind of fees that you are planning to press?

■ I mean, from your presentation, one thing that you have highlighted, I think the sizable share of HNI clients in your broking and distribution PBT. So I just wanted to understand how is our focus on much more granular side of the business a nd whether we are actually trying to focus more on the HNI bit and big focusing from the retail side of the business?

■ Mr. Ajay Menon - CEO - Broking:

■ We have been looking at the overall broking business always from a quality perspective and our acquisitions are also based on getting more quality clients on our retail channels . So if you look at the number of clients, comparatively will be lower, but we look at margin clients and where we are able to get the better ARPU in our favor.

■ Along with that, the focus has been very clearly on getting the make of broking and distribution together. So the distribution AUM is also growing at the same time to build on the overall broking business. So our focus has always been in building t he channel based on quality where we have a good franchise network, who is getting us quality clients, then our PCG channel, which is doing very well with the HNI kind of clients coming in along with the distribution base.

■ Finally, on the technology -drive n digital clients also, we try to see how we can get the quality of the clients up and we get more and more margin clients who can do much better business on overall scale.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Abhijeet Sakhare from Kotak Securities.

■ Mr. Abhijeet Sakhare – Participant :

■ The first one is just a clarification in terms of like we have some broking activity that happens on th e wealth side of the business a nd then there is the broking activity, which is the other vertical. So I was just wondering if -- I mean, both of the broking activities happen through the same legal entity?

■ What are the regulations behind it in terms of having broken between wealth and the usual broking business, whether it's under the same vertical at the back end and from a reporting point of view it’s reported differently in the presentation?

■ Mr. Ajay Menon - CEO - Broking:

■ Broking business happens in a single entity, which is the b roking ent ity even for the wealth clients a nd there is an element of revenue sharing between the wealth and the b roking for the business and the reporting.

■ Mr. Abhijeet Sakha re – Participant :

■ So in terms of reporting the way you categorize is basically depending on how the client is acquired and the nature of the client. Is that understanding right?

■ Mr. Ajay Menon - CEO - Broking:

■ Yes, that's right.

■ Mr. Abhijeet Sakhare – Participant :

■ Okay. Sir, second one, just another clarification on the wealth business. In terms of AUM mix, there is the others, which is what I wanted to understand, if you just elaborate what are the products there?

■ Mr. Shalibhadra Shah – CFO:

■ Yes, that product is actually comprised of fixed income and structured products as a part of the overall mix.

■ Mr. Abhijee

t Sakhare – Participant :

■ Okay. All right. And the overall yields on the recurri ng business would be around 75 -80 basis points, right, roug hly.

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ Yes, the recurring yield is around 75 -80 basis points .

■ Mrs. Carol - Moderator :

■ The next question is from the line of Rishikesh Oza from RoboCapital.

■ Mr. Rishikesh Oza – Participant :

■ Could you please also comment on the demerger of our wealth business? What exactly is the thought process there? Why are we demerging that business?

■ Mr. Shalibhadra Shah – CFO:

■ Yes. So actually, this whole internal restructuring is across two businesses, which is brokin g & distribution and wealth business. So currently, broking & distribution is in the parent entity. By virtue of the regulatory framework, we cannot have housing finance and NBFC businesses below broking business . So that is the reason where actually we ar e bringing down the broking business from the parent to subsidiary company.

■ So broking will continue as a subsidiar y of the listed parent company a nd at the same time, we have Wealth Management business which is actually moving up from the subsidiary to the parent company because at the parent company level, we will continue to have an operating business in the form of Wealth Management business, whi ch is done today in a separate subsidiary. So the swap of business, is pursuant to the regulatory framework of SEBI.

■ Mr. Rishikesh Oza – Participant :

■ So this is more of a regulatory framework?

■ Mr. Shalibhadra Shah – CFO:

■ Yes.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Bhuvnesh Garg from Investec Capital.

■ Mr. Bhuvnesh Garg – Participant :

■ Just have a question on RM productivity. You mentioned that a RM t ake 2 to 3 years to break even a nd I'm looking at our presentation. So are nearly 35% of RM are more than 3 years to intake. So in that case how do you see your profitability moving? And what are the hoops we have to retain RM?

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ So typically, what happens is that as the RM vintage grows profitability in the business grows. So as long as we continue to invest, the margins will be on the lower side. But the moment the vintage of the RMs in the business become much bigger. The 3 -year plus profitab ility increases. And like we had indicated earlier, the margin should revert back to close to 40%.

■ Mr. Bhuvnesh Garg – Participant :

■ And what are the steps we are taking to increase the vintage of RM? So if I look at historically, say, in FY '20, we had around 130 RM. Now in FY '23, we have around 190 RM. So we haven't added that many RM, but our 3 plus RM share is around 1/3. I just want to understand that.

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ Total RM count as of quarter end is 197. So effectiv ely, in the last 18 months or so, we've added gross close to 100 RMs.

■ Mr. Bhuvnesh Garg – Participant :

■ And any steps we are taking to increase RM retention, any particular strategy we have in mind?

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ So it's a mix of things th at we do on the trai ning front a nd as RM vintage increases, what happens is the proportion of recurring revenues also increased for the RM which becomes an exit barrier for the RM a nd in fact, we've had a very, very negligible attrition i n the 3 -plus year bucket.

■ Mrs. Carol - Moderator :

■ The next question is from the line of Sanjay Ladha from Bastion Research.

■ Mr. Sanjay Ladha – Participant :

■ So sir, I have a couple of questions. First one is, so we have seen increase in market share in cash and F&O business. While on the NSE active client share, we have seen maintained market share on the big growth of -- on NSE -active client, right? So how should you look at the client addition from both

in terms of industry and our company? And also go ing forward, how should we look at cash and F&O market share improving from hereon. What will be our strategy to improve our growth and market share on that front?

■ Mr. Ajay Menon - CEO - Broking:

■ So as you have seen that the market share on the overall tur nover has improved, whereas on the client side is flat. So as we discussed earlier also, we are very clearly focusing on the more margin clients who are giving us quality business rather than a number of clients where you see the transaction is very less. So our focus is on more high -yielding HNI clients and quality of clients who can give us business on a sustained basis and where we can upsell and cross - sell more products.

■ So at the end of the day, the market share and the higher ARPU is what we are very closely tracking . To that extent, we have made our client acquisition much more based on the quality parameters of margin and ARPU. We may not be very much growing on the total number of client based market share, but if you see the cash market share and the F&O market share, we have been consistently growing a nd in the last quarter, the cash market share has grown much more looking at the market scenarios and where the rally has happened on the mid -cap and the small caps. So to that extent, we are very cl early aligned towards the growth.

■ Mr. Sanjay Ladha – Participant :

■ Sir, another question would be, as we are focusing more on affordable housing business, how is the competition intensity we are seeing more in terms of other players and banks as how you s ee the housing finance business going forward ? and we have seen the growth of home finance company is affected a lot due to the competition from bank. So going forward, over a 3- to 5-year time horizon, how is this industry shape on? a nd how is the competition you guys are seeing on that side?

■ Mr. Shalibhadra Shah – CFO:

■ Yes. So actually, affordable housing is still a very underpenetrated market and with a ctually a ticket size between Rs. 10 to Rs. 50 lakhs , and this business is carried out largely through Tier 2, Tier 3 cities and in below basically and the underwriting happens largely on an income assets basis. So overall, we see a lot of potential for this business to grow in terms of the competition. A lot of players are regional players. And ho wever, the size of the market is really large.

■ We believe it is not that intense and gives us a sizable opportunity given our brand and our ability to raise resources and t he ability to grow the business a nd again, this is into self - employed segment where banks are shying away from this segment and where we are not seeing competition. So that gives us an opportunity to grow this business.

■ Mrs. Carol - Moderator :

■ We take the next question from the line of Vivek from DSP Mutual Fund.

■ Mr. Vivek – Participant :

■ First, to start with, let us also say our appreciation for the promoter’s business towards charity. So the questions I have are on the NPA increase in the home finance business, which increased to 1.9% from 1.1%. Is it because of restructured book or higher interest rates?
■ You've also mentioned that construction finance is now 15% of the book, you're going to strengthen further. So I wanted to know what is the cap that you' ll have on co nstruction finance? a nd the last question that I have is on the non -HFC book, which is a retail LAS book , that seems to have increased. I did a calculation on th e number seems to be close to Rs. 5,700 crores. I wanted to know whether it's right and where you would cap this number?

■ Mr. Shalibhadra Shah – CFO:

■ So to the first question on the gross NPA slippage during this quarter. So actually, the slippages are in our restructured book predominantly. In Q 1, there is a slowdown in collections as compared to Q4 of last year. Typically, in t

his segment, the clients have other expenses in
quarter 1. So that is why we see a marginal fall in the collection efficiency and resultant increase in the headline numbers. However, the overall restructured book is n ow quite seasoned, we believe a nd even the Stage 2 on the book now is close to 1%. So we believe that in the coming period, the overall efficiency will improve and bring down the headline numbers.

■ Now coming to the question on the non-HFC side of the business. Average book is at Rs. 5,300 crores , this is basically in line with our growth in our overall volumes and the number of clients that we have funded. So we have almost around 9,800 customers who have availed for this

LAS funding. If you look at the overall leverage from the balance sheet, the leverage stands at 1.5x, and the intent here is that for X housing finance, this lever would be within 2x number. So to that extent, we will be capping the overall LAS funding business in this. And I think you asked one more question. Could you repeat you r second question?

■ Mr. Vivek – Participant :

■ Yes. Okay. So it was on construction finance. You said you're going to cap it at 15 %, I mean it's currently 15%. And in the presentation you had mentioned you're going to strengthen that part of the book. So a re you going to increase it beyond 15%?

■ Mr. Shalibhadra Shah – CFO:

■ So actually, construction finance, we have capped the maximum limit of 20% on the book a nd currently, we are at 15% so we would be largely trying to maintain it within this range of 15% to 20% sort of a number and not take it beyond that.

■ However, again, it's a very synergistic opportunity that we have because we have a very strong performance done by our rea l estate fund management team a nd this book is also underwritten with the experience of that team. So that gives us that opportunity to build a very good quality book on our balance sheet, which we will be keeping in the limits which are specified.

■ Mrs. Carol - Moderator :

■ Ladies and gentlemen, that was the last question for to day. I would now like to hand the conference over to Shalibhadra Shah for closing comments.

■ Mr. Shalibhadra Shah – CFO:

■ On behalf of Motilal Oswal Financial Services, I would like to thank every participant for attending the Q1 FY '24 con call. In case of any further queries, please do get in touch with us on our Investor Relations desk. Th ank you, and have a great day.

Call: Nov 2023

November 08 , 202 3

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/ Analyst(s)

Dear Sir/ Madam,

This is with reference to our earlier letter dated October 26 , 202 3 regarding I ntimation of Earnings Conference Call (“Con -call”) with Investor(s)/ Analyst(s) on November 02 , 2023 to discuss financial performance for Q 2 FY 202 3-24.

In this regard, pursuant to Regulation 30 of the SEBI (Listing Obl igations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”) (as amended from time to time), please find enclosed herewith the transcript of the said Con-call for your reference.

The afore said transcript of the said Con-call is made available on the Company’s website i.e. https://www.motilaloswalgroup.com/Downloads/IR/42769266Motilal -Oswal --Q2FY24 -Con-Call-Transcript.pd f.

Further, w e hereby confirm that no Unpublished Price Sensitive I nformation was shared or discussed during the said Con-call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer
Encl .: As above
Motila l Oswal
Financia l Services

Con-Call Summar y & Earning s Release

Q2FY24
02nd November , 2023

For a deeper insight into the company's performance and the management's expectations, we present extracts from the post -results conference call. We have edited and rearranged the transcript for greater lucidit y. This presentation is available at www.motilaloswalgroup.com

Corporat e Participants

Mr Raamdeo Agrawal
Chairman

Mr Motilal Oswal
Managing Director & CEO
Mr Navin Agarwal
Director & CEO - AMC

Mr Ajay Menon
CEO - Broking

Mr Ashish Shanker
CEO - Wealth Management

Mr Sukesh Bhowal
CEO - Housing Finance

Mr Shalibhadra Shah
Chief Financial Officer

Mr Chetan Parmar
Head - Investor Relations

■ Mrs. Michelle - Moderator:

■ Good afternoon, ladies and gentlemen. I'm Michelle, the moderator for this conference. Welcome to the Q2FY24 Earnings Conference Call for Motilal Oswal Financial Services Limited. We have with us today, Mr. Raamdeo Agrawal, Chairman; Mr. Motilal Oswal, Managing Director; Mr. Navin Agarwal, Director and CEO, AMC, Mr. Ajay Menon, CEO, Broking; Mr. Ashish Shanker, CEO, Wealth Management; Mr. Sukesh Bhowal, CEO, Housing Finance ; Mr. Shalibhadra Shah, Chief Financial Officer; Mr. Chetan Parmar, Head Investor Relations.

■ As a reminder, all participant lines w ill be in the listen only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. S hould you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

■ I would now like to invite Mr. Navin Agarwal to make his opening remark s. Thank you, and over to you, Mr. Agarwal.

■ Mr. Navin Agarwal - Director & CEO - AMC:
■ Good afternoon, friends. It is my pleasure to welcome all of you again to the Q2FY24 conference call. I want to take this opportunity to wish all of you a very happy upcoming Diwali season and a fabulous New Year. Let me now take you through the key highlights of our performance.

■ We reported an overall half yearly profit, including OCI of Rs. 12.27 billion, which is up by 130% YoY. Our consolidated revenues for the second quarter stood at Rs. 14.16 billion, up by 30% YoY. Consolidated operating profit after tax during the second quarter was at Rs. 2.88 billion, up by 26% YoY. Net worth stood at Rs. 74.6 billion, up by 25% YoY. And our fund -based investment book stood at R s. 54.7 billion with XIRR of 17.5% since inception .

Capital Market Business

■ Turning to our segmental performance, starting with the capital markets. We have the highest ever quarterly capital market business prof it after tax at INR1.8 billion in the quarter, up by 33%, led by continued traction and improvement in our market share across the cash and the Future and Options segment.

■ Our retail cash, ADTO market share grew by 121 bps YoY, and nearly 90 bps QoQ to 7. 1% now. Our retail F&O premium market share stood at 7.5%, up by 30 bps QoQ . Retail F&O, ADTO market share grew by 74 basis points YoY, and by 26 basis points QoQ to 4.6%. And our overall ADTO grew by 137% YoY and 27% QoQ .

■ NSE active clients stood at 7.98 lakh as of September 2023 , and the market share was 2.4%. We acquired 191,000 odd clients during the second quarter. Our distribution AUM grew by 24% Y -o-Y to nearly Rs. 25,000 crores a nd our distribution net sales were about R s. 6.19 billion during the quarter.

■ Our Investment Banking business has completed 8 deals during the first half of the year.

Asset & Wealth Management Business

■ Turning to Asset & Wealth business, our profit after tax was flat at Rs. 682 million, mainly due to low AIF upfront income because of changing AIF regulations in April '23 and also increase in employee cost on account of continued RM hiring in the wealth management business.

■ Our asset management business across mutual funds, PMS and AIF stood at Rs. 551 billion, up by 18% YoY. Our revenues for the quarter stood at Rs. 1.5 billion, up by 5% YoY. Mutual fund AUM stood at Rs. 358 billion. Strong performance across our active mutual fund schemes resulted in 110% Y -o-Y growth in our gross sales. We added 210,000 new SIPs dur ing the second quarter. This was up nearly 3x YoY and by over 60% QoQ . And our SIP flow market share improved by about 0.5% on a YoY basis.

■ Wealth Management AUM grew by 91% YoY to Rs. 734 billion as on September. Strong net sales of R s. 23 billion in the second quarter was up by 66% YoY. Our Wealth business revenues grew by 11% YoY to Rs. 571 million.

■ Private

equity fee earning AUM stood at about R s. 98 billion across our private equity growth and real estate funds.

■ In second quarter, revenues grew by 18% YoY at Rs. 461 million. We are pleased to share also the launch of our sixth real estate fund, adding to our diverse investment product suite.

Home Finance Business

■ Turning to the Home Finance business. Our focus continues to be to meaningfully ramp up our sales force and also simultaneously improve the productivity of the sales force. During the second quarter, we've expanded our sales team by onboarding 187 net sales RM, taking the total count to 629. We would like to grow this RM count to 1,000 from 629 by March '24, in another 5 months ' time . Our efforts to boost productivity has started yielding results. 80% of our log -ins are now approved within a span of 2 days. Additionally, our log -in to sanction ratio has improved to 42% in second quarter compared to 36% in the first quarter.

■ Moreover, we've taken significant steps to ramp up our sales distribution framework. This includes setting up of a dedicated team catering to small and large distributors, our direct sales ensuring more efficient approach to our overall sales process.

■ The housing finance business profit stood at R s. 328 million in the second quarter, and disbursements during the quarter were at Rs. 2 billion, up by 112% QoQ . Our objective is, as we grow the sales team m eaningfully to 1,000 count by March '24 on a QoQ basis, this Rs. 2 billion disbursement number in the coming quarters should meaningfully ramp up.

■ Our AUM stood at R s. 37.2 billion and with the growth in disbursement after staying flat for a few years, we hope to grow the AUMs also strongly.

Industry Opportunities

■ I'll spend the last few minutes on how we look at the larger opportunity for the Motilal Oswal Financial Services firm, what choices we are making to tap this opportunity and the milestones we are setting for ourselves for the foreseeable future. The big picture, as we see, it is very exciting for the overall financial services business and specifically for each of our businesses.

■ Over the last 25 years, India generated gross savings of about $ 13 trillion. As per a study done by us, we expect this to rise meaningfully to over $100 trillion in the next 25 years, led by various factors, including an ascend in India's rank to top 3 with a GDP of nearly 10x of the current size. We expect this to thr ow up exponential opportunities for our capital market, asset and wealth businesses, in fact each of our businesses.

■ By the context, retail participation has increased immensely over the last decade with a strong addition in demat accounts, which have gro wn nearly 3x in the last 3 years itself. This has led to a strong growth in retail broking ADTO, which has grown by nearly 12x in the last 3 years.

■ Motilal Oswal with its digital strategy provides the best of both the worlds to its customers. During this 3-year period of strong 12x growth in the market ADTO, we have, in fact, been able to grow our market share by 1/3 from 3.6% 3 years ago in September '20 to 4.6% now in September '23. Our retail market -- cash market share during this time period has gone up from 5.4% to 7.1%.

■ In FY23 , Motilal Oswal has ranked among the top 3 in terms of gross brokerage revenue after Zerodha and Angel. Our focus remains with all the initiatives that we are taking to further improve our market share in this fast growing m arket. With over 2,500 experienced advisers on our own roles who apart from broking offer a bouquet of financial services solutions, our distribution AUM has also grown strongly at a 30% CAGR in the last 3 years from Rs. 11,000 crores in September '20 to o ver R s. 25,000 crores in September '23.

■ On a large client base of over 4 million clients, the current cross -sell ratio stands at under 6% and is a focus area for us.

We are in the process of strengthening our team meaningfully here to, with an objective o f ramping up the AUM from the Rs. 25,000 crores number in the coming years.

■ The persistent efforts of the India n distribution community and AMFI , we have witnessed strong growth in industry SIP flows and mutual fund AUM too. In the last 7 years, the month ly SIP flows have grown at a compounded 23% per annum and at a record high of Rs. 16,300 crores in the last month of September compared to a mere Rs. 3,000 crores 7 years back. We believe our asset management business is well positioned to tap into this opportunity.

■ Our QGLP investment philosophy with clear focus on high -quality, high -growth investments has been reoriented to deliver sus tainable performance from highest performances earlier. This has resulted in improved fund performance across the board, in turn driving the strong flows and market share in both the mutual fund and the alternate side.

■ The net sales of our mutual fund business turned positive backed by top quartile performances across the schemes like mid -cap, large and mid -cap, balanced ad vantage fund. Our market share for the month of September for our large and mid -cap fund was at nearly 4% and for a mid -cap fund was nearly 8%. The overall market share of the firm stands at a tad under 1%. As you may have seen through the presentation, we look to at least double this market share in the coming quarters.

■ This will be supported by a strong recovery in our flagship scheme, Flexi Cap, on a 1 -year basis now is generating positive alpha. Also in our SIP side, we have seen our market share grow from 0.9% to 1.4%, and thereto, the drive is to take this market share up meaningfully higher.

■ On the Alternate side, 16 out of the 19 products that we manage for clients have outperformed the benchmark. And here again, our aim is to get back to the leade rship position in the Alternate space. Our volumes for AIF has picked up in the second quarter post the regulatory changes where there was a ban on upfront revenue in the first quarter. Our thematic fund founder strategy was launched just 2 quarters ago ha s already garnered an AUM of over Rs. 1,000 crores and has been onboarded by various retail and wealth platforms.

■ Further, we've seen onboarding by the top 3 retail banks of India for our AMC products in the recent past and hoping to meaningfully ramp up our AUMs in the coming quarters with these banks.

■ Turning to our private wealth business, we have clearly laid down our strategy to strengthen the relationship manager base in FY '21 to reach 300 RMs by March '26. We are on course for that plan and have a dded 39 RMs over the last 6 months to reach an RM count of 221 as of Septe mber '23. This number was 128 three years back. Investment in RM has brought down our operating profit margins of 25% compared to the historical trend. We expect to recoup these margins in the coming years as we newly onboarded RMs turn are profitable.

■ The net worth of the Motilal Oswal Financial Services firm has grown at a 23% compoun ded rate over the last 8 years a nd this is after an average dividend payout during this 8 -year period of 26%. O ur focus to increase the net worth compounding led by the turnaround in the asset management business performance, the home finance business performance, the private wealth improvement in margins and the investment banking business performa nce, coupled with the improving IRR that we hope to achieve in our investment book through the reallocation that we've proposed make us very excited about continued growth in net worth at a similar, if not higher pace than the 23% compounding in the last 8 years. We remain excited overall about all our businesses, and we are now open for Q&A. Thank you.

■ Mrs. Michelle - Moderator: -

■ Thank you very much. Ladies and gentlemen, we will now begin the question and a

nswer
session. The first question is from the l ine of Namit Arora from Indgrowth Capital.

■ Mr. Namit Arora – Participant:

■ Thank you for a very detailed presentation and the very helpful detailed remarks. So I had 2 questions. One was around private wealth, which is the sunrise sector. So we are given to understand that there's a very attractive private wealth opportunity even in Tier 2, Tier 3, Tier 4 towns in India. So would be grateful for your thoughts on your strategy, if that's a priority for you, Tier 2, Tier 3, Tier 4? What's your strategy in pr ivate wealth to capture that opportunity?

■ And sir, my second question was around the broking business. Would be grateful for your thoughts on t he discount broking opportunity, a nd given that your institution has had a very razor -sharp focus on equity over many decades, if there is a plan to leverage that and the way you intend to approach the broking opportunity, if at all, discount broking is of interest?

■ Mr. Ashish Shanker - CEO - Wealth Management:

■ As Navin mentioned in his opening remarks, we are addin g bench strength in terms of RMs in the private wealth business. Now these RMs are also being added in Tier 2 towns. Like you rightly mentioned, there is a lot of liquidity events and we alth creation happening in towns outside of the major metros. So we've added Mysore this year. We've added offices in 3 other locations in Gujarat. We will be adding offices in UP very soon . Similarly, we will be adding an office in Indore. We are looking to onboard somebody in Raipur. So whilst we're adding bench strength, some of that bench strength is being added in Tier 2 towns. So we are cognizant of the opportunity, and we'll be looking to capitalize on it.

■ Mr. Shalibhadra Shah – CFO:

■ To answer on the discount question, so our strength is on advisory side of the business, we have built the business for advising to our customers and we're one of the largest number of advis ors in our retail broking business.

■ So we don't have any plans to go because discount way, because there's a lot of focus to improve our distribution and overall NII along with the brokerage revenues, where advis ors would not only do broking, but even do cross -selling of all the third -party distribution products, where we are actually ramping with a lot of team. So there is n o plan of us to go on the discount side of the broking.

■ Mrs. Michelle - Moderator:

■ We'll take the next question from the line of Vivek Ramakrishnan from DSP Asset Managers.

■ Mr. Vivek Ramakrishnan – Participant:

■ This is Vivek Ramakrishnan. I had a couple of questions. First, on your housing finance business. Where you're hiring, but the AUM if you see QoQ has been pretty stable. In fact, if you take it from the March qua rter, it seems to be lower only, a nd you can see that. So how does the cost -to-income and when does the business become a greater scale? And any commentary on the GNPA and NPA numbers? That will be question number one, on the housing finance.

■ I'll also ask a question on the other business. In the capital market business, we see that your interest income has gone up a lot. Is it because of growth in loan size, because if we subtract it from the total loan size, if you see, there seems to be a big la rge portfolio. So could you tell us any color on ho w big it's going to get. And I mean, where do you expect that end?

■ Mr. Shalibhadra Shah – CFO:

■ So on the housing finance side, so overall, as we said at the start of the call, so actually, the idea is to ramp up our sales engine. And actu ally, in quarter 2, we've added 187 sales RM, and there's a strong plan to add RMs, which would improve our thro ughput of disbursements. So far, if you see overall QoQ , our disbursements have gone up from almost Rs. 93 crores in Q1 to Rs. 197 crores in Q2. So there is certainly improvement in our monthly run rat

e of
disbursements.

■ The corresponding AUM would also t end to grow up in line with that. On the cost -to-income side, it would marginally go up, given that we are in hiring phase and investment mode in this business. However, if you see our other revenues have also started increasing, which would more than comp ensate this proportion once our investment completes in the next few months. So to that extent, you will see the overall ROA getting stabilized

■ Coming to the asset quality on a QoQ basis, there is improvement in the overall collection efficiency. Quarter 1 starts at a lower efficiency and quarter 2, we have catched up with the efficiencies and the asset quality is very stable, and we expect to maintain the gross NPA levels below 2% and net NPA levels below 1.5%. That is on the overall housing side.

■ And c oming to the question on the NII on our capital market side of the business. So there is certainly, a ramp -up of our lending book that has happened on a YoY basis and which has led to improvement in the NII and the overall activity improving at the overall active client's level as well.

■ The plan is to keep this overall; as our equity has also been growing, if you see Yo Y at 25%, on YoY basis and even 23% CAGR o ver the last 8 years. So that gives us a headroom to actually leverage and take the opportunity of those HNI clients where we can lend this money a nd that's one of the reasons where we are focused to ramp up this number. So we would be maintaining this overall leverage within the overall 2x ex -housing covered. So accordingly, we'll be growing with th at number in mind.

■ Mr. Vivek Ramakrishnan – Participant:

■ So just on the home finance, your AUM has not increased despite the fact that you think the disbursements have increased. Is it that the runoffs and disbursements are just matched with each other? Or are you seeing some business transfer out? So when do yo u see the jump in AUM, I mean, you're hiring people. So I mean, like I don't know whether you give guidance, but if you look at March '24, where would you see the AUM housing finance business?

■ Mr. Shalibhadra Shah – CFO:

■ So firstly, I think March '22 to March '23, if you see last financial year, the AUM has grown by 10%. Coming to the current financial year, so we have a component of almost 14% of the construction finance book on our portfolio. And in quarter 2 of this year, there is more prepayments of that part of the loan because of t he faster inventory sell down a nd to that extent, there is almost Rs. 50 crores of higher prepayment happen ed on the construction finance side of the book. That is one of the reason. However, retail book has actually grow n on a QoQ basis.

■ Mr. Vivek Ramakrishnan – Participant:

■ Well, that's great. And wish you all the best, and festive season greetings to you all.

■ Mrs. Michelle - Moderator: -

■ We'll take the next question from the line of Namit Arora from Indgrowth Capital.

■ Mr. Namit Arora – Participant:

■ I had just 1 more question. This was to Sukesh. Given that Sukesh and Shobhit and Rajesh and the team are building the business probably as a sort of fresh charter, new charter. I'm interested in Sukesh's thoughts on positioning in terms of your focus, let's say, ticket sizes, products, geographies, given that housing finance is a very large opportunity. So some thoughts on strategy and how you're prioritizing your time management bandwidth and capital giv en that it's also a very competitive space?

■ Mr. Sukesh Bhowal - CEO - Housing Finance:

■ Thanks, Namit. The strategy right now is to improve our sales and distribution bandwidth and, we have right now an average sales FOS of only about 500, which is very sm all compared to the competitors, and we are focusing on ramping that up to reach a level of 1,000 FOS by the end of the year. And currently, the strategy is to ramp up this FOS

only in the existing branches,
which is about 111 branches that's spread across the country.

■ The focus remains on the affordable housing space at the moment because that's where the larger opportunity is existing. The focus of all the major banks is on the salary segment, where the yiel ds and the NIMs are much lesser, s o our focus r emains on the affordable segment where the NIMs are higher and the opportunity is much larger and the competition is also less intense. So we expect to thrive in that segment for the moment and grow our disbursement run rate to a much higher level in line with the growth in our team size. That's the short -term and near -term plan as of now.

■ Mrs. Michelle - Moderator: -

■ We'll take the next question from the line of Kajal Gandhi from ICICI Securities.

■ Mrs. Kajal Gandhi – Participant:

■ Congratulations on a good set of numbers. Sir, a couple of things. So right now, we are seeing ASBA earlier was planned on only UPI platform, and now is expected to be in a different fashion. So you see any impact there? And my second question on recently, SEBI has spoken about exchanges pass back, which is getting passed on to the brokers. So what is the amount that we get as a pass back? And what can be the impact of this in future?

■ Mr. Ajay Menon - CEO - Broking:

■ So coming to the first point , I think th e implementation is going to be very slow, and it is not going to be compulsory to start off with a nd with the RBI implications on UPI, I think the impact will be comparatively very low as far as what we feel a nd for the clients which we are managing, I do n't think we'll have a big impact on that.

■ Coming to the discount on the transaction charges. I think it's still a discussion thing which we see the SEBI has to come back on. But if you look at our overall number of orders, that will be comparatively lowe r for us because we are looking at much high -value clients. So the impact on that will be much lower compared to the discount brokers to that extent.

■ Mrs. Kajal Gandhi – Participant:

■ And sir, how does this pass back work for broker generally? It is basic ally a number of orders, value?

■ Mr. Ajay Menon - CEO - Broking:

■ So basically, what happens is that there is a slab system from the exchanges. So the client is charged at the highest slab, whereas the broker gets charged at the lowest slab, the moment he crosses the x -volume. So the difference is to the credit of the broker. So typically, for discount brokers, this number becomes very high. So they are getting the benefit of it from being charged at the lowest slab, whereas they charge a client at the high est slab.

■ Mrs. Michelle - Moderator: -

■ The next question is from the line of Hitesh Gulati from Haitong Securities.

■ Mr. Hitesh Gulati - Participant :

■ Sir, my question is on the capital market segment. So if you look at the operating expenses here, especia lly employee expenses and commission expenses for the quarter, they are up by more than 30%, almost in line with brokerage revenue, which is also up by 30%. So can you throw some light on what we are exactly trying to do here because we are adding a lot of employees in this segment and commission expenses maybe linked to brokerage revenue. The second question, sir, is on the interest income, again, our interest income is up by 90%. So is this mainly due to the margin funding book accretion. And if you can t hrow some light on this as well?

■ Mr. Shalibhadra Shah – CFO:

■ So addressing to your first question, so actually, revenues in the business have actually grown by 41% on a YoY basis, while broking revenue has grown by 32%. and with this revenue increase of 41%, the people cost has actually grown by 39% in our business.

■ Now this 39% growth also includes upfronting of the provision for our variable payouts, which we have actually embedded in quarter 1 and quar

ter 2 of this financial year given the strong performance of this year. So that is also one of the reasons where you would see a bit of a higher proportion of the people costs coming in because of the higher revenues on our investment banking business as well as institutional equity revenues on the broking side.

■ Also, we continue to invest in talent especially on distribution side of the business and on our PGC channel because of which we have been adding more senior talent also overall on a last 12-month basis. That is also one of the reasons for our increase.

■ But overall, operating leverage -wise, it is up by almost 300 bps on a Yo Y business. So if you look at our capital markets segment, if you calculate the operati ng leverage, on the net revenu e basis, that is up by 300 bps Yo Y. So despite investing, we are continuing to improve our operating leverage as well.

■ Coming to the intere st point, interest income is up 90% mainly due to increase in the NIMs, so we have pa ssed on impact of our interest increase in the last 2 quarters, we have been passing on that impact. And in Q2, we have actually improved our NIM by almost 65 to 70 bps on our interest lending book.

■ The lending book comprised of certainly the margin trade financing book, basically, where there is increase in the growth of this book. The book has almost doubled , given that earlier we were doing IPO financing and that opportunity is not there now.

■ So given our strong balance sheet and net worth growth, agai n, this gives us an opportunity to leverage, and that is one of the reasons why we have increased our lending to HNI clients, especially on our private client group channel and the franchise channel, that is resulting in increasing in our interest income.

■ Mrs. Michelle - Moderator:

■ We'll take the next question from the line of Vignesh Iyer from Sequent Investments.

■ Mr. Vignesh Iyer – Participant:

■ Two questions from my side. First is on the Home F inance side of the business. Just wanted to know, we seem to be stabilizing in this year, but the sector we cater to, affordable housing is showing lot of traction. So what kind of AUM can we expect from FY '25 onwards? The second question is on the balance sheet which shows cash of around INR13,500 crores rough ly. Can you tell me how much of that cash actually belongs to the company? And what is the cash that belongs to our customers?

■ Mr. Sukesh Bhowal - CEO - Housing Finance:

■ Yes. Thanks, Vignesh, for your question. As we mentioned earlier, we are ramping up o ur sales force from around 500 at the start of the year to end at 1,000 by the end of the year a nd despite the fact that we've added a lot of people, we have been able to maintain our productivity.

■ And we are, of course, in Q2 itself, we have seen our dis bursement grow in line with the added investment. And with the further maturing of our sales team, we expect the productivity to further improve. So our disbursement run rate on the retail side should continue to grow in line with the addition of sales cap acity, and we expect the AUM to grow accordingly on the retail side for the next year.

■ Mr. Shalibhadra Shah – CFO:

■ Coming to the question on the cash and cash equivalents. So as the overall consolidated balance sheet level, Rs. 2,900 crores of cash and cash equivalent pertains to our own surplus cash on the balance sheet. Rest belongs to our basically creditors and the business.

■ Mr. Vignesh Iyer – Participant:

■ Okay. Sir, but if you could just give a ballpark number of what AUM growth is possible, like 20%, 25% AUM growth possible in FY '25?

■ Mr. Sukesh Bhowal - CEO - Housing Finance:

■ While we are not giving a guidance right now, but with the expected growth in our disbursement numbers, we expect a healthy trajectory of growth of AUM in the next year.

■ Mrs. Michelle - Moderator:

■ The next question

is from the line of Namit Arora from Indgrowth Capital.

■ Mr. Namit Arora – Participant:

■ My question was to Navin ji, on MO AMC. Would be grateful for your thoughts on efforts to enhance market share besides the growth of the market itself and your thoughts on how you are focused on trying to enhance market share for MO AMC?

■ And secondly, your thoughts on the entire ac tive versus passive debate? And does the AMC have a strategy to capitalize on that opportunity as well in a fashion in a more aggressive manner, active versus passive as well as ETFs and other products?

■ Mr. Navin Agarwal - Director & CEO - AMC:

■ Yes. So as far as our mutual funds are concerned, I highlighted to you that our market share in 2 of the MF categories where the funds have been doing well for a while, has already touched a 4% for the large and mid -cap category, 8% for the mid -cap categor y. This compares with an overall market share of 0.9% in terms of the share of AUM in the total outstanding equity AUM.

■ I also highlighted that we have been on -boarded by the top 3 scale banks in the last few months that is in process wh ere the entire ban king channel P an-India starts selling these products. Even the larger category, which is a balanced advantage fund category, our fund is among the highest ranked funds in 1, 2, 3 -year time period there. So that's a large category as well.

■ And finally, I h ighlighted that our flagship Flexi Cap Fund, which was market leader in that category at one point in time, has also on a 1 -year basis, now started delivering alpha and is in the top quartile of performance. So it is a very broad -based recovery combined wi th onboarding by both the retail channels, national distributors and IFAs as well as by the banks and wealth channels.

■ And so that is reflected in improvement in gross flows reflected in the first quarter of positive net sales. We think that we have a lon g way to go as far as the ramping up of the market share here. Also, I highlighted that bulk of our Alternate asset products, such as the founder strategy, value migration strategy, the mid -to mega strategy, business opportunity strategy, the India growth funds. I mean across the board, each of the products are performing top quartile, and we are seeing very strong distribution onboarding there too.

■ In fact, for the month of September and October, even in the alternate space, we have seen very strong posit ive net sales when there is a slowdown in the overall market. So the investment philosophy has been pivoted to more sus tainable performance than the max performances, which I highlighted earlier . This is reflected in the performance of most of the mutual f und in Alternate products. This is a lso reflected in the onboarding of the products by the various distribution channels.

■ As I said to you, sales team size right now is almost 4x of what this team size was when the AUM was similar 4 years back. So we have meaningfully invested in the sales and distribution infrastructur e. Also we've opened a lot newer branches. The digital channels are contributing a lot more this time around as well.

■ So just by way of context in the last cycle, you saw the AMC growth from Rs. 1,000 crores AUM to INR50 ,000 crores led by sustained 5 -6 years of performance. We are hoping that this Rs. 55,000 crores amount that we reported for the end of September, is the beginning of this journey of the second phase of growth for the AMC.

■ Turning to the passive business, there too, we have a leadership position in the international funds with we being the first to launch in NASDAQ and S&P 500 fund. We've followed that up with a few other interesting international products, but after the RBI embargo on incremental investments, we are nearly capped out as far as that part of the passive business is concerned. And over the course of the last 7 quarters that this embar

go has b een in place, we have launched a lot of interesting domestic passive funds, including factor funds, sectoral funds and so on.

■ We are not really getting into the debate of active versus passive. We believe that there is a lot of headroom to grow both given just how under -penetrated Indian financial savings are in the overall wealth of the Indian family. So equities are currently less than 5% of the wealth in households, and this has a lot of headroom to grow.

■ So we are well positioned, whether it's mutual fund or Alternates, whether it is active or passive, with strong performances across the board with much larger sales and distribution infrastructure and onboarding by the distribution partners. And we'll see how this shapes up, but the headroom to grow is very meaningful.

■ Mr. Namit Arora – Participant:

■ Got it. Thank you for your very detailed and candid thoughts. This is most helpful and all the very best to the entire team.

■ Mrs. Michelle - Moderator:

■ Ladies and gentlemen, as there are no further questi ons, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

■ Mr. Shalibhadra Shah – CFO:

On behalf of Motilal Oswal Financial Services Group, I would like to thank every participant for attending the Q2 FY '24 con call. In case of any further queries, please do get in touch with us on our investor relations desk. Thank you, and have a good day.

■ Mrs. Michelle - Moderator:

■ Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Motilal Oswal Financial Services, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

May 06, 2024

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/ Analyst(s)

Dear Sir/ Madam,

This is with reference to our earlier letter dated April 19, 2024 regarding I ntimation of Earnings Conference Call ("Con -call") with Investor(s)/ Analyst(s) on April 26 , 2024 to discuss financial performance for Q 4 FY 202 3-24.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") (as amended from time to time), please find enclosed herewith the transcript of the said Con-call for your reference.

The afore said transcript of the said Con-call is made available on the Company's W ebsite i.e. https://www.motilaloswalgroup.com/Downloads/IR/77897500Motilal -Oswal --Q4FY24 -Con-Call-Transcript.pdf .

Further, w e hereby confirm that no Unpublished P rice Sensitive I nformation was shared or discussed during the said Con-call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer
Encl .: As above

Q4FY24 Earnings Call – Motilal Oswal Financial Services

– Mr. Rayo - Moderator:

– Good evening, ladies and gentlemen. I am Rayo, the moderator for this conference. Welcome to the Q4FY24 and FY24 Earnings Conference Call for Motilal Oswal Financial Services Limited.

We have with us today, Mr. Raamdeo Agrawal – Chairman; Mr. Motilal Oswal – Managing Director; Mr. Navin Agarwal – Managing Director; Mr. Ajay Menon – CEO, Broking & Distribution; Mr. Ashish Shanker – CEO, Wealth Management; Mr. Sukesh Bhowal – CEO, Housing Finance; Mr. Shalibhadra Shah – Chief Financial Officer; a nd Mr. Chetan Parmar – Head (Investor Relations).

– A short disclaimer before we start this call. This call will contain some forward -looking statements that are completely based upon the beliefs, opinions, and expectations of the company as of today. These statements are not a guarantee of future performance and will involve unforeseen risks and uncertainties.

– As a reminder, all participant lines w ill be in listen -only mode a nd there will be an opportunity for you to ask questions after the presentation co ncludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

– I would now like to invite Mr. Navin Agarwal to make his open ing remarks. Thank you, and over to you, Mr. Agarwal.

– Mr. Navin Agarwal - Director & CEO - AMC:

– Good evening, everyone . It is my pleasure to welcome all of you once again to the Motilal Oswal Financial Services Earnings Call for the quarter and the year ending March 2024. Let me start by providing you with a very quick snapshot of the quarter and the year ending March 2024

Key Financial and Operational Highlights

– The c onsolidated PAT including other comprehensive income (OCI) for FY24, stood at Rs. 2,626 crores and for Q4FY24 , it stood at Rs. 625 crores. The consolidated ROE was 35%.

– The consolidated operating revenue for FY24 was at Rs. 5,075 crores, up 33% YoY and for the Q4FY24 , it was at Rs. 1,569 crores, up 60% YoY and 29% QoQ .

– Our consolidated operating profit after tax for Q4FY24 grew to Rs. 495 crores, up 66% YoY and 30% QoQ , and the operating profit after tax for the FY24 grew to Rs. 1,535 crores, up 38% YoY. Our Operating Return on Equity (RoE) was 25% and consolidated RoE was 35%.

– We delivered the highest ever quarter

ly and yearly Capital Market business profit after tax
of Rs. 251 crores, up 68% YoY and 23% QoQ , and Rs. 803 crores, up 47% YoY.

– The Asset and Wealth business reported a strong growth in profit after tax in Q4FY24 at Rs. 210 crores, up 79% YoY and 46% QoQ , and for FY24 , it was Rs. 607 crores, up 34% YoY.

– Housing Finance profit after tax stood at Rs. 31 crores for Q4FY24 and Rs. 129 crores for FY24 .

– Our net worth at the end of the year was Rs. 8,732 crores , up 40% YoY. Our 10 -year net worth has compounded at 22% per annum.

– In light of the strong performance for the last five years and the encouraging outlook for our businesses, the Board has announced the first ever , since listing in 2007 , bonus issue of three equity shares for every share held.

– Based on the feedback received from investors and analysts over the last several quarters, we have made some changes in our segmental reporting.

– Firstly , the operating profit line of Capital Market and Asset & Wealth Management Segment had a capital charge.

– Basically, the operating businesses have distributed all the capital to the Treasury Investments segment, as the group follows the double engine mode l, where the operating business is the first engin e and the treasury investment is the second engine. The operating business profits post -payout s are deployed in treasury investment.

– So far, operating businesses were operating with zero net worth , and their working capital requirement was charged full borrowing cost s without credit for their past accumulated profits. In the new scheme of things, the accumulated profits post -payouts of the respective businesses are treated as their net worth. Any su rpluses from the operating businesses can be lent to the treasury at the actual cost of borrowing s, which is known as the capital charge . This capital charge is the income for operating business es and expenses for the treasury segment .

– This appropriately reflects the capital deployed in each of our businesses and the RoE for these businesses.

– The second change pertains to the grouping of the two HNI businesses, which are the Private Client Group (PCG) and the Private Wealth Management (PWM) . In the previous quarter, we were presenting both of these businesses separately. Our private wealth business caters to HNI and Ultra HNI clients.

– We have the PCG segment within our broking and distribution busines s, which also caters to HNI clients. Like the PWM business, which has 251 RMs, we have another 330 RMs in the PCG segment . The PCG segment also offered wealth solutions such as mutual funds, AIF, PMS , etc. besides offering broking services. Given the identical HNI client base of both of these businesses, we have reclassified the PCG segment under the wealth vertical for reporting purpose in the presentation.

Industry Opportunities

– Let me now quickly run you through the industry landscape and som e of the key trends that we see.

– The increased retail participation in Indian Capital Markets has been remarkable , with Demat accounts experiencing a three -fold growth in the last three years. This surge has translated into a robust growth in broking volumes, which have expanded almost 13x during this time period. The addition of 3 .69 crores Demat accounts this year on a base of 15 crores Demat accounts signal a significant runway for sustained growt h, with projections indicating a trajectory of at least 20% for the medium term.

– Likewise, the mutual fund industry has witnessed substantial growth driven by persistent efforts from the distribution community and AMFI. Monthly SIP flows have surged by a remarkable 24% compounded per annum for the last seven year s, reaching a record Rs. 19,271 crores in the recent months from Rs. 4,335 crores seven years ago. This momentu m, combined with active equity mutual fund

base of approximately Rs. 24 lakh crores as o f
March '24 , underscores the potential for sustained growth particularly for equity -focused Asset Management companies like ours .

Segmental Performance

– Turning to our segmental performance for the quarter.

– Capital Market Business

– Our capital market businesses, which comprise the retail broking, institutional broking , and investment banking busi nesses. The revenue for this business grew to Rs. 982 crores , up 68% YoY in the Q4FY24 , and was Rs. 3,235 crores for FY24 , up 37% YoY. Profit for this b usiness in Q4FY24 was Rs. 251 crores, up 68% YoY, and for FY24 , it was Rs. 803 crores, up 47% YoY.

– The overall ADTO grew by 122% YoY to 7.2 lakh crores in Q4FY24 . Our retail cash market share in the Q4FY24 grew to 8.2%, up 307 b ps YoY, up 68 b ps QoQ . Our retail F&O premium market share in the Q4FY24 grew to 8.7% , up 214 bps YoY and up 55 bps QoQ . The trend of increasing market share across both of these segments continue s, like we have seen in the last several years.

– The NSE active clients grew to 8.8 lakhs at the end of this year. We acquired 1.8 lakh clients in Q4FY24 and 6.2 lakh clients in FY24 .

– Our distribution AUM grew by 27% YoY to Rs. 27,000 crores. Our distribution net sales for Q4FY24 grew to Rs. 1,336 crores , up 169% YoY and for FY24 , it grew to Rs. 3,046 crores , up 138% YoY. Our focus is on ramping up the distribution team 's strength to improve our currently low cross -sell ratio of 6%. We are aiming to grow this distribution team 3x in three years' time.

– Our net interest income for Q4FY24 was Rs. 200 crores, up 67% YoY and for FY24 , it was Rs. 662 crores, up 42% YoY.

– The Investment Banking business executed 17 deals worth Rs. 19,100 crores during FY24 . Revenue stood at Rs. 104 crores , up nearly 3x on a YoY basis. The pipeline of signed mandates provides a strong visibility of growth for the next year as well.

– The overall Capital Market profit before tax margin improved to 48% from 45% last year.

Asset & Wealth Management Business

– Turning to the Asset an d Wealth Businesses, the revenues for Q4FY24 was Rs. 589 crores, up 58% YoY and at Rs. 1,774 crores for FY24 , up 31% YoY. The profit for Q4FY24 was Rs. 210 crores, up 79% YoY, and for FY24 was Rs. 607 crores, up 34% YoY.

– Our Asset Management business AUM across Mutual Funds, PM S, AIF grew by 57% YoY to Rs. 71,810 crores. Our revenues w ere Rs. 784 crores, up 25% YoY for FY24 and for Q4FY24 were Rs. 258 crores, up 72% YoY.

– Over 95% of all our strategies based on AUM are out performing the benchmark quite strongly, and this turnaround in performance has led to a visible improvement in gross sales. Gross sales of Rs. 17,400 crores in FY24, up 116% YoY, and exit quarter gross sales of Rs. 6,100 crores . Our target is to double the gross sales in the next financial year, led by the strong traction that we are witnessing in our existing product as well as a slew of new products that we propose to launch in the next financial year .

– Our Mutual Fund AUM gre w 65% to Rs. 48,800 crores. Alternate s AUM grew 41% to nearly Rs. 23,000 crores. AIF AUM surpassed the Rs. 10,000 crore s mark. We added 10 lakh new SIPs during FY24 .

– The SIP flows grew very strongly from Rs. 507 crores in Q4FY23 to Rs. 967 crores in the Q4FY24 . We expect a similar traction over the coming quarters as well. Our overall SIP AUM was Rs. 11,900 crores.

– The Private Equity business fee-earning AUM stood at over Rs. 10,000 crores across our equity growth cap ital funds as well as real estate funds. Revenue for this business was at Rs. 217 crores for FY24 , up 18% YoY and was Rs. 83 crores for Q4FY24 , up 39% YoY.

– We have launched the sixth series of real estate fund in FY24 . We have already done the first close an d we are looking at a final close of Rs. 2,000 crores d

uring the course of FY25 . Our
fifth series of equity growth capital fund is expected to be launched in the second half of FY25 . We raised Rs. 4,500 crores in our fourth series and are looking at a substantially bigger sum for the fifth series equity growth cap ital fund.

– Our Wealth and PCG AUM stood at Rs. 1.23 lakh crores , up 78% YoY. Revenue for FY24 was Rs. 772 crores, up 41% YoY and for Q4FY 24, it was Rs. 248 crores, up 53% YoY.

– We added 110 RMs during Q4FY24 and a total of 177 RMs during FY24 . Our incremental RM growth will be more measured and strategic. Incrementally, the focus will also be on improving RM productivity and margin s.

Home Finance Business

– Turning to our Housing Finance business, we reported a profit of Rs. 31 crores for the Q4FY24 and Rs. 129 crores for FY24 . Our AUM stood at Rs. 4,07 4 crores, up 6% YoY.

– Disbursements grew sharply to Rs. 480 crores in the Q4FY24 , up 94% QoQ and 33% YoY, and Rs. 1,01 8 crores for FY24 .

– Our net interest income stood at Rs. 312 crores for FY24 and Rs. 78 crores for Q4FY24 , while NIM for FY24 stood at 7.6%. Our yield on advances stood at 14.2%, up 30 basis points YoY, and our spreads were maintained at 5.9%.

– The Gross NPA and Net NPA was 0.9% and 0.4% , respectively , as on Mar’24 . Gearing stood at 2x. Capital Adequacy was at 51% and Return on Assets at 3.2%. We have doubled our salesforce during FY24 to 925 RMs and are looking to double this count once again in the coming financial year. With a new and a strong leadership team in place, we believe that we are geared to doub le our disbursement in the FY25 compared to FY24.

– To sum up, our Capital Market business has demonstrated remarkable performance, reporting all time high quarterly and yearly profits and market shares both in the cash and the futures and option (F&O) segment at 8.2 % and 8.7% respectively. Our Asset and Wealth management business touched an AUM of Rs. 1.95 lakh crores. The Asset Management business , in particular , has seen strong improvement in performances, leading to gross sales of Rs. 17,000 crores, and we are looking to meaningfully scale up the AUM.

– Wealth management is progressing towards scalability with strengthened leadership and ongoing investments in RMs. HF C business sales force is being strengthened and productivity is being optimized to d rive doubling of disbursements next year. Overall, we are very excited about the growth prospects offered by each of our core businesses in the next three years.

With this, we are open for Q&A. Thank you.

– Mr. Rayo - Moderator: -

– Thank you very much. We w ill now begin the question -and-answer session. First question is from Abhishek Nagaraj from Alts Wealth Private Limited. Please go ahead.

– Mr. Abhishek Nagaraj – Participant:

– I have a question related to the wealth management business. Wanted to understand the average number of families per RM is kind of lesser than our competitors, but our AUM per RM is higher. Is there something that we fundamentally do differently or target a different segment which is why the RM is able to handle a higher AUM?

– Mr. Ashish Shanker - CEO - Wealth Management :

– So, what we have done is over the last two years, we have capacitated the business and there has been a lot of hiring and capacitized in the RM strength. So, the newer RMs take a little time to scale up their AUMs. So, that is one of the reasons why you see the average, the number of families being lesser. About 60% of our RMs are less than two years vintage at the moment in the wealth management business.

– Mr. Abhishek Nagaraj – Participant:

– Is that typically because of the higher hiring that has happened off late or is it because of higher churn? And the other question I had was, what is the typical time taken by an RM to become stable in terms of the full capacity that he can handle

in the number of families?

– Mr. Ashish Shanker - CEO - Wealth Management:

– So, it takes roughly between three to four years for the RM s to get fully capacitized in terms of the number of families that they manage.

– Mr. Abhishek Nagaraj – Participant:

– The other question I had was on the cost per RM. You know, it typically increases over time. I understand the RM pool right now is 60% of them are less than two years, but over time, the cost increases as well. So, how are we thinking about maintaining the same gros s margin? Is it through wallet share increase or increasing the capacity of an RM? And any strategy around that to maintain the yield?

– Mr. Ashish Shanker - CEO - Wealth Management:

– Yes, so typically what happens is, as the vintage of the RM grows, the num ber of families that he or she manages or the AUM they manage it also grows, and that also results in increased productivity. So, in the first year, typically, an RM delivers 1x, 1.5x productivity. It goes up to 3.5x, 4x by the third to fourth year. So, th at typically results in increased margins. So, whenever you hire aggressively, the margins tend to be a little subdued, and as productivity kicks in, the margins tend to improve.

– Mr. Abhishek Nagaraj – Participant:

– One last question was on, you know, the re is a high increase in the number of RMs that we hired last quarter. Is there something in the business that you are seeing which is why you want to get this capacity in house, or it is more of in the longer term, you would want to have a more stable bas e with a higher vintage RM, so productivity increases over time?

– Mr. Ashish Shanker - CEO - Wealth Management:

– Like Navin mentioned, the size of opportunity in the wealth management business as well as the PCG business is extremely big. And we are not only increasing the number of RMs, but we were also increasing the number of locations. So, from here on, the hiring will be more measured, and the focus will be more on productivity and margins.

– Mr. Rayo - Moderator: -

– Thank you. The next question is fr om Avinash Singh from Emkay Global. Please go ahead.

– Mr. Avinash Singh – Participant:

– Two questions. The first one is again on wealth management. Now that you have started to present your wealth management and PCG together, now looking ahead in terms of a strategy, is there some sort of a focus on cliental segment where in terms of your investable wealth for family in your preferred pick, like, going more towards slightly lower say, a 5crores, 2 -5 crores band or like expecting with the few HNI family? So, if you can sort of explain here that with this kind of PCG and putting sort of focus getting together, what sort of a family or what sort of clients' base in terms of the average AUM that we would be targeting and how sort of you is thinking to keep these two businesses together? Because I mean a UHNI versus a PCG will be slightly different strategy. That's the first.

– And second, on the broking side, I am cognizant of the fact that you have a relatively lower sort of a dependency on derivatives. However, if at all the derivative volumes were to sort of a moderate or even temporary, they were to decline, what sort of cost composition in the broking side you have variable and fixing nature and how that will affect profitability, if there is any sort of a con cern around F&O volume moderation?

– Mr. Ashish Shanker - CEO - Wealth Management:

– So, typically the PCG and the wealth management busines ses would operate in two segments, the HNI and the Ultra HNI segment, of Rs. 5 to Rs. 25 crores and Rs. 25 crores plus. So, the wealth management business operates in both segments. PCG operates in the Rs. 5 crore s to Rs. 25 crore s segment. What happens is that, predominantly the majority of the customers on the PCG side get onboarded with broking as a produ ct and then we look

at
upselling through distribution products, whereas in wealth managemen t, most of the clients would get onboarded through wealth mandates and they would be offered broking as well.

– Mr. Ajay Menon - CEO - Broking & Distribution :

– We are a full -service broker with good cash market business based on our research and advisory capacity and we charge the full brokerage on the cash market. So, the component of cash market brokerage is well aligned as compared to the revenue. Hence , it is almost 50-50% in that ratio. To that extent, if there are any changes in the derivatives guidelines which may come out, we are really very well aligned to manage our business based on our advisory and research capabilities based on the business requirements.

– Mr. Navin Agarwal – Managing Director:

– And also, as far as flexibility is concerned, as you know, we are the largest franchise network , and we have the highest revenue salience of the franchise business , which is an entirely variable cost model and so to that extent any volatility in the market will have a lot lower impact , because even during the upsid e, the operating leverage , as far as the franchise side of the business is concerned , is a lot lower.

– Mr. Rayo - Moderator: -

Thank you. Next question is from Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

– Mr. Vivek Ramakrishnan – Participant:

– My questions all are around the broking book. In terms of the loan book, how stable is this book? If the market has some disruptions or the perceived returns come down, will this book decrease in size? And so that's part A. Part B is what are the yields that you get on this book? Because that will also affect the rate of return, especially because interes t rates are very high. And the last part of it is, how do you manage ALM in this book given the fact that it probably is a short tenure book, and you are borrowing long -term here and there?

– Mr. Shalibhadra Shah – CFO:

– Hi, Vivek. The lending book in our b roking business is predominately margin trade finance (MTF) book that is typically associated to the cash market segmen t, which has been growing in line with growth in cash volumes. Our franchise and HNI clients , who basically tap to this lending , have led to a sharp growth in lending book . We have seen very strong growth over the last four years in this book.

– We believe that with the strong structural tailwind s, this book will continue to grow. If you look at th e industry, MTF book has been continuously growing across all players, and for us there has been a very substantial growth given that we have a strong balance sheet with a very strong growth in the net worth, which has happened over the last few years. By virtue of th is, the overall leverage continues to be within the comfortable range of 1.6x .

– As far as ALM is concerned , the book is lent for a short -term position . Given the regulatory framework, t he borrowing can be accessed only through the short -term route through commercial papers or short -term bank borrowing. You are not permitted to raise non - convertible debentures, long -term borrowings against this book. So, predominantly this will be a function of short -term borrowings

– To summarize , asset is short -term, and the borrowings are also short -term. Further, we have very strong liquidity facilities available on tap. We have Rs. 2,500 crores to Rs. 3,000 crores of banking lines outstanding backed by very strong treasury book on our balance shee t, which gives us that ability to borrow on -tap this money. So, to that extent, we are very well aligned to use liquidity out of those limit s to meet any short -term or cyclical obligations .

– As far as the yields are concerned, overall NIMs on this book stands at almost 6% for this book. Our cost of fund is 8 .75% and yield on the book stands anywhere around 14% to 15% on an ave

rage basis.

– Mr. Vivek Ramakrishnan – Participant:

– If you can follow up, you know, you are in the market for a public issue. So, where does the long -term debt go into?

– Mr. Shalibhadra Shah – CFO:

– So, the long -term debt would go into our working capital in the exchanges because as we have seen strong growth in our cash volumes by 133% YoY in FY24. This has led to increase in our working capital in the form of Bank Guarantee backed by Fixed Deposits placed with the exchange s. As our volumes go es up, the base minimum capital that we place to operate at 65 % - 70% capacity, also goes up. We have also highlighted in our prospectus, how the

working capital has been for the last one year and what we are projecting the increase over next few quarters.

– Mr. Vivek Ramakrishnan – Participant:

– Just one question on the Housing Finance Business that seems to be doing really well. You have invested a lot in the business and turned it around. Again, like the wealth business, is the pace of expansion going to slow down and most sweating of assets? How does it look like in the next year or two? That's my last question.

– Mr. Sukesh Bhowal - CEO - Housing Finance :

– We are primarily in the affordable housing space and in terms of market share, the market opportunity is very huge and our market share is very small . We expect the affordable space to keep growing at a decent pace. And so, in terms of prospects for the industry, we see it very positively in the space that we are in.

– Mr. Vivek Ramakrishnan – Participant:

– I meant more from your cost income perspective actually in terms of sweating the expansion expanded. It's like about 45% right now. S o, how is it going to trend?

– Mr. Shalibhadra Shah – CFO:

– As highlighted at the start of the call, we have doubled the sales RM in FY24 and we are investing heavily on sales RM over the last three quarters . We further expect to double the sales RM count i n FY25. So, cost-to-income would remain elevated to that extent. This will improve gradually as through put of disbursements increases. We exited the year with strong disbursements of Rs. 480 crores in Q4FY24 and in FY25 we are targeting to double the disbursemen ts that we did in FY24. From FY26 onwards, we would see some respite to the cost-to-income ratio, which would start coming down.

– Mr. Rayo - Moderator: -

– Thank you. Next question is from Rohan Advant from Prad Capi tal. Please go ahead.

– Mr. Rohan Advant - Participant :

– Sir, my question is that as you stated the PCG segment has moved from Capital Markets to Asset and Wealth management. So, can you quantify the amount of PCG revenue that has moved and now it's considered under the Asset and Wealth management and break it down further into broking and non -broking, if possible?

– Mr. Shalibhadra Shah – CFO:

– Total revenu e that has been moved into the Asset and Wealth segment is Rs. 438 crores, which belongs to the PCG segment. The total profit of PCG segment for FY24 that has moved to Asset and Wealth segment is Rs. 184 crores.

– Mr. Rohan Advant - Participant:

– And out of this Rs. 438 crores, what would be the booking revenue?

– Mr. Shalibhadra Shah – CFO:

– Broking revenue is Rs. 260 crores .

– Mr. Rohan Advant - Participant:

So, that was Rs. 260 and the balance was distribution -led, which was classified under Capital Markets and now whether it is broking, or distribution led, it comes into Asset and Wealth manageme nt as long as it pertains to the PCG segment. Is that understanding, correct?

– Mr. Shalibhadra Shah – CFO:

– That's right. There is also NII component in that because we have HNI client segment where we also have lending to the PCG client. It's a combination of distribution and NII.

– Mr. Rohan Advant - Participant:

– So, all form of revenue from the PCG segment comes under Asse

t and Wealth management
now.

– Mr. Shalibhadra Shah - CFO:

– That's right

– Mr. Rayo - Moderator: -

– Thank you. Next question is from Sanil Desai from ICICI Securities. Please go ahead.

– Mr. Sanil Desai - Participant :

– Sir, I have two questions. The first one would be that we have seen that on the broking front, a lot of volumes have increased, right? And we have seen so me other brokers also raising money because of the capital requirement. So, how are we doing on that front, and do we have still enough working capital available for enough growth or how are we looking on that front?

– Mr. Shalibhadra Shah - CFO:

– We don't have any such immediate plans to raise capital for this business. We have very strong net worth , which has grown at 40% YoY as of Mar 24 . Given the sizable growth in operating profit and our treasury profit, we have strong enough internal accruals to take care of this.

– Mr. Sanil Desai - Participant:

– And can you give a breakup of your F&O ADTO and cash ADTO for the quarter gone by?

– Mr. Shalibhadra Shah - CFO:

– F&O ADTO is Rs. 6,000 crores on a premium basis and cash ADTO is Rs. 5,000 crores.

– Mr. Rayo - Moderator:

– Thank you. Next question is from Abhijeet Sakhare from Kotak Securities. Please go ahead.

– Mr. Abhijeet Sakhare – Participant:

– I had couple of questions on the broking business to start with. One is that the revenue share with sub -brokers is it the same between let's say what he brings in through the broking side as against the distribution business?

– Mr. Ajay Menon - CEO - Broking & Distribution :

– The r evenue share for broking is different compared to the distribution . The broking sharing is much more in our favor, whereas for the distribution part, the sharing will be much higher in the range of 80% -85%.

– Mr. Abhijeet Sakhare – Participant:

– And the 8 to 9 lakh active clients that we have, is it possible to give some indication of what would be, let's say, the monthly active of these? And then the second part is that, also some color on how does the overall customer base look like between people who are only doing cash equities versus only F&O and those doing both on a monthly basis? Just some qualitative or quantitative color would be helpful.

– Mr. Ajay Menon - CEO - Broking & Distribution:

– The monthly run rate will be around 3,50,000 -4,00,000 customers in the overall numbers . Generally , we don’t disclose the split bet ween the cash and the F&O in the public domain .

– Mr. Rayo - Moderator:

– Thank you. The next question is from Abhishek Nagaraj from Alts Wealth Private Limited. Please go ahead.

– Mr. Abhishek Nagaraj – Participant:

– In my earlier questions you mentioned that looking to also enter into more locations. I am assuming this is a tier two, tier three city. One, correct me if I am wrong, and two, in terms of productivity there, are you seeing any differences or any product d ifferentiation that you would want to get into? And the second question is, how is the management thinking about entering into the affluent and the mass affluent segment some of our competitors have tried to do those through digital modes ?

– Mr. Navin Agarwal – Managing Director:

– Firstly, there is huge hiring of RMs in the last three years . We believe productivity improvement of those RMs will be a big focus area for us. Obviously, there will be an expansion into newer market s, particularly tier 2 and tier 3, but as far as the offering is concerned, there would not be any differentiation in that offering because client requirements are similar for a Tier I market versus Tier II market. We are presently very under -indexed or not present in the UHNI segment and that is a separate capability that we are building through the appointment of the CIO recently and the advisory capabilities are gett

ing created to cater to the UHNI segment . Using digital for the mass -affluent segment is not something that is on the card as far as the wealth management business for us is concerned.

– Mr. Abhishek Nagaraj – Participant:

– The other question I have was on considering we have multiple businesses housed in the same entity, any thoughts of the management that you woul d want to probably in the near future look at demerging and probably unlocking certain value amongst these businesses? Though I understand there is synergies in between, but is that on cards?

– Mr. Navin Agarwal – Managing Director:

– We have highlighted our position on this before, that we believe there are very strong synergies, the common brand as well as the potential cross -sell opportunities within the Group . So, as of now we have no such plan.

– Mr. Rayo - Moderator:

– Thank you. Next question is from Abhijeet Sakhare from Kotak Securities. Please go ahead.

– Mr. Abhijeet Sakhare – Participant:

– I just wanted the split of the overall wealth AUM across the three categories that you mentioned, Ultra HNI, HNI and PCG.

– Mr. Ashish Shanker - CEO - Wealth Manag ement:

– Out of the total AUM between Wealth and PCG, Wealth AUM is Rs. 1 lakh crore and within Rs. 1 lakh crores, about 46% is UHNI AUM.

– Mr. Abhijeet Sakhare – Participant:

– And roughly when I look at the ARR, TBR split for this business division, it's roughly 50/50. Do you have like number in mind, let's say, over the next two to three years, how would you want the mix to look like?

– Mr. Ashish Shanker - CEO - Wealth Management:

– I think the ARRs will inch up in a more progressive manner, whereas the transaction income is more dependent on the kind of products and preferences that customers have, but over

time the ARR AUMs will keep inching up. Our broking product is doing extremely well, which gets classified in transaction revenue.

– Mr. Abhijeet Sakhare – Participant:

– And the TBR for us, it's all largely broking, is it? Or there's some indication or private market transactions as well?

– Mr. Ashish Shanker - CEO - Wealth Management:

– So, it's a mix of broking, private market transactio ns, bonds, and certain Cat II AIF, which give the portion of the revenue up front.

– Mr. Rayo - Moderator:

– Thank you. Next question is from Sagar Kapadia who is an individual investor. Please go ahead.

– Mr. Sagar Kapadia – Participant:

– Sir, I have two questions from my side. One is in FY24, what is your broking revenue? And please provide me a split of this annual broking revenue between the institution side and the retail HNI side and then further provide me a split of the retail HNI, the cash side and F&O side?

– Mr. Shalibhadra Shah – CFO:

– Our broking revenue for FY24 stood at Rs.1,995 crores and we have not been putting out retail and institution mix separately.

– Mr. Sagar Kapadia – Participant:

– And if you give a, segregate the cash and F&O?

– Mr. Shalibhadra Shah – CFO:

– So, as stated earlier in the call, our cash mix is around 50%.

– Mr. Sagar Kapadia – Participant:

– And sir, another question. In last quarter presentation, you had given that very good example of the Private Equity, which many of them are closing down next year that fund raised is Rs. 100. If the IRR is 20% cumulatively for 8 years, then the cumulative returns are 330 and the company makes 20% carry on the sale. So, carry income is 66. Now please explain to me how do you report it? I mean, out of the Rs. 66, when the fund actually closes down, at that time how much percentage is reported in the P&L?

– Mr. Shalibhadra Shah – CFO:

– It will be shown separately. So, there is an operating profit line item and we also include an operating profit line item including this carry income as a separate line item to depict that the normal ru

n rate versus the annual run rate that we record from the carry is separately reported.

– Mr. Sagar Kapadia – Participant:

– But when the fund closes down, then also it will be at that year out of the Rs. 66, how much percentage is recognized in the P&L and actually the fund will exit, I think, then you will be showing it in the P&L, right?

– Mr. Navin Agarwal – Managing Director:

– Yes, Rs. 66 is what is recognized over a period, so all of this doesn't happen in a single year. The exits happen, let's say, in the year s 8, 9, and 10. Initially you are just returning principal and then returning the hurdle rate of return. Only post -hurdle payout, we start earning carry. That carry typically happe ns in the last three years of the fund. Could be any mix depending on the exits that we make.

– Mr. Sagar Kapadia – Participant:

– So, in the operating profit income, you will report it separately as this is the carry income in the operating profit , correct?

– Mr. Shalibhadra Shah – CFO:

– Yes, that's right.

– Mr. Rayo - Moderator:

– Thank you very much. That was the last question in queue. I would now like to hand the conference over to Mr. Shalibhadra Shah for closi ng comments.

– Mr. Shalibhadra Shah – CFO:

– On behalf of Motilal Oswal Financial Services, I would like to thank each and every investor and participant for attending this Q4FY24 and FY24 results Concall. If you do have any further queries, please let me kn ow or our investor relations desk. Thank you, and have a good evening.

– Mr. Rayo - Moderator:

– Thank you very much. On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Aug 2024

August 01, 2024

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated July 18, 2024 regarding I ntimation of Earnings Conference Call ("Con -Call") with Investor(s)/Analyst(s) on July 26, 2024 to discuss financial performance for Q 1 FY 202 4-25.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosu re Requirements) Regulations, 2015 ("Listing Regulations") (as amended from time to time), ple ase find enclosed herewith the T ranscript of the said Con-Call for your reference.

The afore said T ranscript of the said Con-Call is made available on the Company's W ebsite i.e. https://www.motilaloswalgroup.com/Downirvirdir/573003992Motilal -Oswal --Q1FY25 -Con-Call-Transcript.pdf .

Further, we hereby confirm that no Unpublished P rice Sensitive I nformation was shared or discussed during the said Con-Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer
Encl .: As above

Q1FY25 Earnings Call – Motilal Oswal Financial Services Ltd.

■ Moderator:

Good afternoon, ladies and gentlemen. I am Sejal, the moderator for this conference. Welcome to the Q1FY 25 Earnings Conference Call for Motilal Oswal Financial Services Limited. We have with us today, Mr. Raamdeo Agrawal, Chairman; Mr. Motilal Oswal, Managing Director and CEO, Mr. Navin Agarwal, Group Managing Director; Mr. Ajay Menon, CEO, Wealth Management; M r. Prateek Agrawal, MD and CEO, Asset Management; Mr. Ashish Shanker, CEO of Private Wealth Management; Mr. Sukesh Bhowal, CEO, Housing Finance; Mr. Shalibhadra Shah, Chief Financial Officer; Mr. Chetan Parmar, Head Investor Relations.

■ A short disclaimer before we start this call. This call will contain some forward -looking statements which are completely based upon the beliefs, opinions, and expectations of the Company as of today. These statements are not a guarantee of future performance and will involv e unforeseen risks and uncertainties.

■ As a reminder, all participant lines w ill be in the listen only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, p lease signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

■ I would now like to invite Mr. Navin Agarwal to make his opening remarks. Thank you, and over to you, Mr. Agarwal.

■ Mr. Navin Agarwal – Group Managing Director :

■ Good morning, everybody and welcome to the Motilal Oswal Financial Services earnings call for the Q1FY25 . I'll take you through the company's performance and start by talking about the need for transitioning our broking and distribution business into the wealth management business and the rationale for the same.

■ Today's investors are more informed and seek more than just transactional services. They demand personalized investment advice that considers their long -term fin ancial goals. This shift in investor and consumer behavior, signifies a move towards a deeper engagement in financial planning, which include diverse asset classes and effective risk management is paramount for the clients. The focus is shifting from near investment transactions to comprehensive wealth management that includes retirement planning, tax optimization and many other services.

■ Moreover, today's investors and consumers are driven by a sense of

purpose and a
desire for meaningful engagement with their financial advisers. They expect personalized purpose -driven advice that helps them navigate their financial journey with confidence and clarity. This evolving expectation underscores the necessity for a more comprehensive approach to wealth managemen t.

■ As we transition from Broking and D istribution business to Wealth Management business, our strategic objectives are clear. First, we aim to enhance client

relationships, building deeper, more meaningful connections that position us as trusted advis ors in their financial journey. Second, we will offer comprehensive financial solutions that extend beyond broking aligning with our clients' aspirations for wealth creation and reservation.

■ Our Wealth M anagement business is well geared to tap growing needs o f custom ers with a robust network of 2,0 00 internal relationship managers, over 8,800 external wealth managers, and a geographical presence that encompasses over 98% of the country's PIN codes. We offer bespoke research, integrated wealth platform called RISE through a super app, open architecture distribution model, a large base of high net worth clients, clients having more than 1 crores DP balance constitute 75% of the total DP balances of the group.

■ The transition to Wealth Management is not just a cha nge in nomenclature, but a strategic evolution for us. It reflects our dedication to providing holistic advice, and this transition will enable us to better serve our customers and help them achieve their financial aspirations with confidence.

■ Let me now take you through the key highlights of the operational and financial performance

Key Financial and Operational Highlights

■ Our consolidated profit after tax, including other comprehensive income (OCI), was Rs. 1,021 crore for the quarter, up by 52% YoY.

■ Our consolidated o perating net revenue stood at Rs. 1,133 crores, up by 32% YoY.

■ The return on equity (ROE) stood at 44%.

■ Our consolidated operating profit after tax stood at R s. 431 crores for the quarter, up by 41% YoY.

■ Our Assets under advice (AUA) crossed Rs. 5 lakh crores mark at the end of June '24

■ Our Wealth Management busin ess profit after tax stood at Rs. 177 crores, up by 69% YoY.

■ Our Asset & Private W ealth business profit after tax stood at Rs. 157 crores, up by 30% YoY.

■ Capital Markets business profit stood at R s. 57 crores, Housing finance at Rs. 28 crores.

■ We had a robust net worth of Rs. 9,784 crores as of 30th June, up by 41% YoY.

■ We are happy to report that ICRA has upgraded our rating outlook to AA positive.

Segmental Performance

■ Turning to our segmental performance.

Wealth Management Business

■ Our Wealth Management b usiness, which is hitherto our Broking & D istribution business. Net revenues for this business stood at Rs. 530 crores, up by 42% YoY. Profit after tax stood at Rs. 177 crores, up by 69% YoY. We offer a very strong blend of over 2,000 internal relationship managers and over 8,800 external wealth managers.

■ Our assets under advice in this business grew to Rs. 265,000 crores, up by 105% YoY. Our distribution AUM grew by 42% YoY to Rs. 26,171 crores. Distribution net sales stood at Rs. 1,449 crores for the quarter. Our cash market share in the first quarter increase by 186 basis points YoY to 8.0%. Our Futures & Opt ions premium market share grew by 225 basis points YoY to 9.5%. We acquired around 150,000 clients in the first quarter. And we covered 2,500 + business location that encompass 98% of PIN codes of the country.

Capital Market Business

■ In t he Capital M arke t business which comprises of institutional equities and investment banking business, our net revenue in the first quarter stood at Rs. 134 crores and profit after tax s tood at Rs. 57 crores. In our investment banking business,

we successfully completed 7 deals with an issue size of nearly Rs. 5,400 crores and we were ranked number one in the QIP league table for Q1FY25 .

Asset & Private Wealth Management Business

■ In the Asset & Private W ealth business, which comprises of asset management, private equity and private wealth busines ses, our net revenue stood at Rs. 385 crores, up by 32% YoY, and profit after tax stood at Rs. 157 crores, up by 30% YoY.

■ The Asset M anagement business AUM across mutual funds, PMS and AIF grew to Rs. 87,580 crores as of June 30, 2024 , up by 70% YoY. Net revenues for the first quarter stood at Rs. 164 crores, up by 46% YoY due to a mix change in favor of mutual fund assets.

■ Strong performances across mutual funds, PMS and AIF schemes resulted in gross sales of Rs. 8,840 crores for the first quarter, which is up by 4x YoY. Net flows, which were negative Rs. 1,020 crores in the first quarter of la st year, turned to a positive Rs. 5,021 crores in the first quarter of this year.

■ Mutual fund AUM grew to Rs. 60,50 8 crores, up by 81% YoY. Alternate AUM grew to Rs. 27,072 crores, up by 50% YoY. AIF AUM crossed Rs. 12,000 crores mark.

■ We added 5.7 lakh new SIPs in Q1FY25 , and our SIP flows for the first quarter stood at Rs. 1,198 crores and the SIP AUM stood at Rs. 14,60 6 crores.

■ Our Private E quity business fee earning AUM was Rs. 10,640 crores across growth capital and real estate funds. Net revenues stood at Rs. 36 crores.

■ Private wealth AUM was at Rs. 138,8 63 crores, up by 65% YoY. Net revenues stood at Rs. 186 crores, up by 27% YoY. The RM count grew to 576 numbers, up by 37% YoY, which has led to increase in operating expenses. 26% of our RM have a vintage of more than 3 years .

Home Finance Business

■ Turning to the Home Finance business. Profits for Q1FY25 stood at Rs. 28 crores. AUM was at Rs. 4,122 crores, up 9% YoY. Disbursements were at Rs. 252 crores for the quarter, up by 171% YoY. Net interest income stood at Rs. 83 crores, up 9%. Yield on advances stood at 14 .0%, cost of funds at 8.4% and spreads at 5.6%.

■ The sales RM strength was at 951, up by 117% YoY, resulting in higher cost -to-income ratio. Our gross and net NPAs stood at 1.17% and 0.63%, respectively. Net gearing was at 2x, capital adequacy at 46.5%, return on assets at 2.6% in the first quart er.

Treasury Investments

■ Our total equity investments, including alternate funds grew 47% YoY to Rs. 7,016 crores, and our cumulative XIRR (since inception) on these investments stood at 19.6%.

■ To sum up, the 10 -year track record of the group has been an operating profit growth of 34%, which we are quite optimistic about in the years to come. Our dividend payout has been about 20% of the operating profit average over the last decade, and we will continue to maintain this payout subject to working capita l and business growth needs.

■ We can now open the floor for Q&A. Thank you.

■ Moderator:

■ Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mahek from Emkay Global.

■ Mr. Mahek – Participant:

■ I have a couple of questions. First one is around the wealth management business. So distribution i ncome has seen a sequential dip, can you explain that? Secondly , the net interest income at Rs. 185 crores is largely flat on a Qo Q basis. So is it something l ike the lending yields have dropped in or something like that? And third is just a clarification that the capital markets business now consists of IB and IE business. That's all, these are my 3 questions.

■ Mr. Shalibhadra Shah - CFO :

■ So answering the first question on the distribution revenues. Sequentially, in Q4 os previous year, distribution business included insurance income of almost about R s. 30 crores, which is higher than the normal other quarter run rate. So to that extent, yo u

will see the fall on a sequential basis on a QoQ basis. However, YoY basis, insurance distribution revenues have also grown.

■ Second is as far as the NII is concerned, sequentially, we had kept the lending exposures lower because of the large event of th e election results. Further lending book growth started from the month of June 2024 only. These resulted in largely flattish NII on sequential basis.

■ As far as the third question is concerned on the Capital Market segment, that includes our now institution equities and investment banking business.

■ Mr. Mahek – Participant:

■ Yes. So I just wanted to confirm that like any kind of commentary on the yields in the distribution business? Like are they flat or are they consistent?

■ Mr. Shalibhadra Shah - CFO:

■ Distribution yields are flat on a YoY and Qo Q basis.

■ Moderator:

■ Thank you. The next question is from the line of Pravin Desai, who is an individual investor. Please go ahead.

■ Mr. Pravin Desai – Participant:

Congratulation for the good results. As we have asked in the last meeting for the bonus, you gave a very good bonus to all the shareholders and make them happy. So we are very happy with the company and the Board and our hearty congratulation to Raamdeoji, Motilalji and the committee member. We wish the company will progress in such way as it is progressing since inception.

■ Mr. Shalibhadra Shah – CFO :

■ Thank You.

■ Moderator:

■ Thank you. The next question is from the line of Uday Pai from Investec. Please go ahead.

■ Mr. Uday Pai – Participant:

■ So I had a couple of questions. Firstly, can you help us with the 1 + DPD number in the housing finance business? Secondly, on the brokerage side, what is the regulation that you impact on the derivatives segment? And how do you foresee the impact of it on our business? And lastly, what is the net new money in the private wealth management business for this quarter?

■ Mr. Shalibhadra Shah – CFO:

■ So the first answer is for 1+ DPD Housing Finance business is 5.7%. I'll answer the third one as well. Net Flows in the P rivate Wealth M anagement business is Rs. 5,175 crores.

■ Mr. Ajay Menon - CEO - Wealth Management:

■ So on the F&O side, we are reviewing and analyzing the SEBI discussion paper , they have still not confirmed how the contract size and all will work. As of now, the transaction charges impact is not much on overall revenue. T he impact is around Rs. 40 crores on an annualized basis. So on the overall scheme of things, it will not be a big shift.

■ That will also be automatically at the end of the day passed on to the customer. So , we don't see much impact compared to what we are seeing on t he overall derivatives industry perspective. A lso our cash market share is comparatively much higher compared to what the industry average is. So to that extent, the impact will be very miniscule. That is what our estimate is.

■ Moderator:

■ Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

■ Mr. Sanjaya Satapathy - Participant :

■ The first question that you have used the word transformation in your communication quite a lot. Can you just clarify that, what really major changes that you're planning to do?

■ Mr. Navin Agarwal – Group Managing Director:

■ Yes. So basically, we have been talking about the cross -sell ratio in the past. But given our experience in our own Private W ealth business, we have cross -sold a variety of products depending on the financial goals of the customers. The idea is to now have a dedic ated team work on that client base to provide more holistic solutions that the group has al ready been offering across the Private W ealth b usiness now to the Broking and D istribution clients also.

■ Mr. Sanjaya Satapathy - Participant:

■ Understood. Bu

t is there any digital plan there, Where the company is still to catch up a lot?

■ Mr. Navin Agarwal – Group Managing Director:

■ RISE super app that we spoke about is that digital proposition encompassing all our offerings to these clients because of the sheer number of the clients in this business are much higher. And apart from that, if you're referring to benchmarking to the pure

discount brokers on the digital side, I can let Ajay take that benchmarking or comparison of our app versus some of those.

■ Mr. Ajay Menon - CEO - Wealth Management:

■ So at our end, on the overall digital side, we are having a lot of initiatives being star ted off now and the RISE launch is perfectly aligned to see that how we can look at the clients overall AUM to be built t hrough the digital mode. So whether on the distribution side, the RISE app will help us in achieving a lot of our numbers in terms of how we want to penetrate the SIP flows, the mutual fund flows and the other third - party products. So to that extent, I think digitally, we are very well aligned with our customers, that is how we are trying to take it up further also with all these new initiatives.

■ Mr. Sanjaya Satapathy - Participant:

■ Basically, my question also was in the sense that there was something about some client they're retargeting disclosed some RBI actions from time to time. So is there any way to quantify your digital spend to say that, okay, we are spending so much more, and that is why we will be able to do a better job or something which can help us quantify it?

■ Mr. Ajay Menon - CEO - Wealth Management:

■ So overall, on the digital side, we are spending in a big way , around Rs. 150 crores annually. We have spent on the overall business model from a tech to the digital side to build the overall back -end and the front end systems and these are continuously being built up on. We are also building a lot of things on the security side of the business as well as on the infra structure . That has been taken care as for the size of the business, which is going to grow going forward also.

■ At the same time, we are also investing in a big way on the artificial intelligence (AI) which we want to build upon. So holistically, we are well aligned to what the overall requirements will be there from a digital perspective, and we will be more than ready to take care of the overall requirements as far as the regulators are concerned and a lso from a customer perspective.

■ Mr. Sanjaya Satapathy - Participant:

■ Why is there a decline in your wealth part of the profit, and there were some one -off items with which you had mentioned regarding some maturity of AIF. Can you please make us understand a little better than that what has happened to that side of the business profit this quarter?

■ Mr. Shalibhadra Shah – CFO :

■ So, as far as our A sset & Private W ealth business is concerned, where basically, what we are talking of is the booking of the share of profit which is basically the carry income that we charge in Q4, which is an annual event on our alternate side of the

assets, which we have highligh ted in our IR deck also , revenues included that share of profit fee income because of which sequentially QoQ , the revenues are lower.

■ Mr. Sanjaya Satapathy - Participant:

■ Understood. My question is that I'm talking about the operational side, will the retail, that side of the business where the market having gone to a new high, the profit there had consequentially declined.

■ Mr. Shalibhadra Shah – CFO :

■ Yes. So sequential decline is due to two reasons. One is on account of the distribution business, which I explained earlier in the call, insurance revenues were higher in Q4, which is generally a Q4 is a bump up of the insurance income. And secondly, also, overall, volumes were lower on a QoQ basis across the industry, the b

rokerage
revenues have been lowered and sequentially, that is the reason where sequential revenue profits are almost flattish, marginally lower.

■ Mr. Sanjaya Satapathy - Participant:

■ We are seeing that your AUM has gone up terribly and the profit relating to that, is there some kind of fluctuation because of the product launches and the different cost and then subsequently it normalize as the margin improves.

■ Mr. Shalibhadra Shah – CFO:

■ Actually if you see, revenues and profits have actually gone in line with that. So if you look at our profit on a YoY basis, profit is up 40%. And if you look at the wealth business, AUM grew by 100% and the profits a lso surged by 70% on a YoY basis.

■ Moderator:

■ Thank you. The next question is from the line of Ishan Batra from Complete Circle Wealth Management. Please go ahead.

■ Mr. Ishan Batra – Participant:

■ Congratulations sir on a beautiful quarter. I have some questions regarding AI, in the past answer you mentioned how you're going to be using AI. So my first question is whether it's going to be developed in -house or you're outsourcing the development of the program? And then my next question is with is reference to algorithmic and high - frequency trading? whether do you have a plan to allow it to investors for the same or whether you have a fu rther plan of action with this size of trading?

■ Mr. Ajay Menon - CEO - Wealth Management:

■ So on the artificial intelligence side, we are having our team alre ady in place, and we have hired a senior resource, who will be joining us next month to enhance the overall scope on the artificial intelligence. W e'll be building it up in -house, and also may have

some tie -ups with some vendors but majorly it will be in -house developed, the overall artificial intelligence.

■ Coming to the second question, we already have some tie -ups for the algo's trade and high -frequency trades for our customers and we are also building it up more aggressively going forward. So we are coming up with some strategies for our retail clients, which can be used for trading on the digital side and the option side.

■ Mr. Ishan Batra – Participant:

■ Okay understood. So with reference to you have an in -house team for AI, may I ask why did we not choose hiring outside because certain platforms, both by OpenAI, Amazon and Microsoft. They have performed far better and have been very popularly used by other brokerage houses for their own algo and for their own AI -based trading models?

■ Mr. Ajay Menon - CEO - Wealth Management:

■ So from an algos perspective , we are havi ng third -party vendors, but AI which we are talking about is more to just look at from an overall business analytics perspective, how we can improve the productivity of our internal team, h ow we can look at customer touch points much better and much more proactive is where we are trying to build it out in -house. From a trading perspective and the algo perspective, we have ties with the third -party vendors.

■ Moderator:

■ Thank you. The next question is from the line of Aditya from SOWIL Limited. Please go ahead.

■ Mr. Aditya – Participant:

■ So my question is on the F&O lot sizes. And you did mention that the increases taxes for the F&O segment will not have a material effect. But what about the total transation charges, do you think you can depart on those charges which is on the brokerage front?

■ Mr. Ajay Menon - CEO - Wealt h Management:

■ So if I look at the overall transaction charges, which is going to impact because of the new regulation coming up October 1. As previously discussed, it's an impact of Rs. 10 crores a quarter for us, which is comparatively very small on the overall revenue. We will review it and analyze how to recover it from a customer. At the end of the day, if the volumes increase, that will be much more beneficial at

the end of the day.

■ So it's a calibrated effort which w e'll take up. Regarding the lot size, we are awaiting SEBI's clarification, how it will come and what will be the whole impact. But we have seen earlier cases that such things have a short -term impact, but in the longer term, the customers get aligned to the overall strategy and then the things are able to work out.

■ But then this is something which only time can tell. As previously stated , our proposition of the cash market revenue and the overall net new revenue is well aligned to take care of these changes, if any.

■ Moderator:

■ Thank you. The next question is from the line of Akshata from Financial Express. Please go ahead.

■ Mrs. Akshata – Participant:

■ Actually, you clarified this. Sir, I wanted to ask about the STT. So how much impact would you see on an annualized basis, what is the number that you mentioned?

■ Mr. Ajay Menon - CEO - Wealth Management:

■ So it is about the transaction charges that we mentioned in the number. So on an annualized basis, that impact is Rs. 40 crores.

■ Mrs. Akshata – Participant:

■ Sir, apart from that, I wanted to ask about STT charges that have increased. Do you think that will impact F&O volumes in any way now that investors are attached to it?

■ Mr. Ajay Menon - CEO - Wealth Management:

So in fact, that has been the case even in the past. If you look at continuously the STT rates have gone up, but I think volumes have only grown in the market. So we don't see this to be any material impact on the volumes.

■ Moderator:

■ Thank you very much. Th at was the last question. I would now like to hand the conference over to Mr. Shalibhadra Shah for closing comments.

■ Mr. Shalibhadra Shah – CFO:

■ On behalf of Motilal Oswal Financial Services, I would like to thank every parti cipant for attending the Q1 FY 25 con call. In case of any further queries, please do get in touch with our Investor Relations desk. Thank you, and have a good day

■ Moderator:

■ Thank you very much. On behalf of Motilal Oswal Financial Services, that conclu des this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2024

November 05, 2024

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated October 21, 2024 regarding Intimation of Earnings Conference Call ("Con -Call") with Investor(s)/Analyst(s) on October 29, 2024 to discuss financial performance for Q2 FY 2024 -25.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") (as amended from time to time), please find enclosed herewith the Transcript of the said Con -Call for your reference .

The aforesaid Transcript of the said Con -Call is made available on the Company's Website i.e https://www.motilaloswalgroup.com/ Downirvirdir/766963002Q2FY25.pd f

Further, we hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the said Con -Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Off icer

Q2FY25 Earnings Call Transcript of " Motilal Oswal Financial Services Limited".

This document is a transcription of the conference call conducted on 29th Oct 2024. Click here to listen to the original audio.

Moderator:

Good afternoon, ladies and gentlemen. I am Sejal, the moderator for this conference. Welcome to the Q2FY25 Earnings Conference Call for Motilal Oswal Financial Services Limited. We have with us today,

■ Mr. Raamdeo Agrawal, Non-Executive Chairman
■ Mr. Motilal Oswal, Manag ing Director and CEO
■ Mr. Navin Agarwal, Group Managing Director
■ Mr. Ajay Menon, CEO, Wealth Management
■ Mr. Prateek Agrawal, MD and CEO, Asset Management
■ Mr. Ashish Shanker, CEO of Private Wealth Management
■ Mr. Sukesh Bhowal, CEO, Housing Finance
■ Mr. Shalib hadra Shah, Chief Financial Officer
■ Mr. Manish Kayal , Head Investor Relations

A short disclaimer before we start this call. This call will contain some forward -looking statements which are completely based upon the beliefs, opinions, and expectations of the Company as of today. These statements are not a guarantee of future performance and will involve unforeseen risks and uncertainties.

I would now like to invite Mr. Navin Agarwal to make his opening remarks. Thank you, and over to you, Mr. Agarwal.

Mr. Navin Agarwal – Group Managing Director :

Good afternoon, everyone, and welcome to the Motilal Oswal Financial Services earnings call for the Q2 & H1FY25. At the outset, I want to wish you all a very, very happy Diwali and a fabulous coming New Year.

Let me start, as usual, by providing you a very quick snapshot of the quarter ending Sep'24, at a group level and then highlighting segmental performances, concluding with a broader outlook as we see for our overall businesses.

Key Financial and Operation al Highlights

■ Consolidated PAT including Other Comprehensive Income (OCI) for Q2FY25 at Rs. 1,24 2 cr, up 12 3% YoY and deliver ing RoE of 46%.
■ Consolidated operating net revenue for Q2FY25 Rs. 1,36 6 cr, up 4 6% YoY
■ Consolidated operating PAT for Q2FY25 Rs. 5 41 cr, up 53% YoY
■ Assets under Advice (AUA) crossed Rs. 5.7 lakh crore mark, up 82% YoY.
■ Robust Net worth of Rs. 11,07 0 cr as of September 30, 2024 , up 48% YoY
■ Crisil and IndiaRating has also upgraded our rating outlook from AA Stable to AA Positive during the quarter. ICRA upgraded in Q1.

Segmental Performance

Wealth Management Business

Wealth Management business, erstwhile known as Broking and Distribution busine

ss. This
business comprises of retail broking, distribution and NII income.

■ Net Revenue for Wealth Management for Q2FY25 at Rs.63 4 cr, up 53% YoY.
■ PAT for Q2FY25 at Rs. 22 5 cr, up 7 1% YoY
■ Strong blend of 2,100+ internal Relationship Managers and 9,400+ External Wealth Managers
■ Extensive Geographic reach of 2,500+ business location servicing clients in 98% of the PIN codes
■ Acquired ~2.0 Lakh clients in Q2FY25.
■ Our retail cash broking volumes (ADTO), has grown by 90% on Yo Y basis & 7% on Qo Q basis to Rs 4,461 cr during Q2FY25.
■ Cash volume market share for Q2FY25 at 7.9%, up 85 bps Yo Y.
■ F&O Premium market share for Q2FY25 at 9%, up 150 bps YoY.
■ As we've been highlighting, the market shares across the cash and the F&O business in each of the last 3 years have seen very strong upt ick.
■ Total Assets under advice grew to ~Rs. 2,94, 000 cr, u p 88% YoY.
■ Distribution AUM grew by 43% YoY to ~Rs. 29,4 00 cr as of September 30, 2024.
■ Distribution Net flows grew to ~Rs. 2, 400 cr in Q2FY25 , once again, substantially higher compared to last year .
■ Distribution revenue grew by 136% on Yo Y basis to Rs 9 8 cr
■ Across the board, whether it's the market share, volumes, revenues, we've seen very strong uptick in all the metrics.

Asset & Private Wealth Management Business

Asset and Private Wealth business comprises of asset management, private e quity and the private wealth business.

■ The net revenues for these businesses at Rs. 490 cr, up 52% YoY . Profit after tax stood at Rs. 213 cr, up 63% YoY.

■ Starting with the Asset Management business, the AUM for this business crossed Rs. 1 lakh crores in July of 2024. We've ended September 2024 at an AUM of Rs. 1,10,769 crores, up 101% YoY.
■ The net revenues for the business stood at Rs. 201 cr, up by 64% YoY. Profit after tax is at Rs. 104 cr, up 68% YoY. We've continued to see strong perf ormances across the mutual fund, PMS and the AIF business. Almost the entire AUM of the asset management company continues to be not only outperforming the benchmark, but stands in the top quartile of performance. As a result, the gross flows for the secon d quarter stood at Rs. 18,000 + cr, up 346% YoY.
■ Net flows increased from Rs. 413 cr in the same quarter of last year to Rs. 13,238 cr in the current quarter. Mutual fund AUM stood at Rs. 80,000 + cr, up 124% YoY. We added nearly 14 lakh SIPs in the second q uarter . Our SIP flows for the quarter alone stood at Rs. 1,878 cr and the SIP AUM stood at Rs. 17,641 cr.
■ Our market share in the mutual fund business continues to rise ;
o Our gross sales market share increased from 1.4% in Q2FY24 to 4.4% in Q2FY25

o Our Net sales market share increased from 1.2% in Q2FY24 to 7.5% in Q2FY25
o Our SIP market share increased from 1.4% in Q2FY24 to 2.6% in Q2FY25
■ Our alternates AUM grew to Rs. 30,646 cr, up 60% YoY, and our AIF AUM within this , crossed Rs 15,000 cr.

Private Equity business

We had a fee -earning AUM of Rs. 9,956 cr and a total earning AUM of Rs. 13,675 cr across growth capital and real estate funds. The market value of the fund s stands at Rs. 17,000 cr +. A substantial amount of carry is accrued and will be realized at the fund close. In Q2FY25 , net revenues stood for the segment stands at Rs.48 cr, up 1 8% YoY .

Private Wealth business

During the quarter, we strengthened our private wealth team with the addition of Anupam Guha and Akash Hariani.

o Anupam brings in a quarter century of experience of running India's leading wealth platform that encompassed masses to mass affluent to HNI to family offices and will deploy that capability on our platform.
o Akash brings in a quarter century of experience, but very different and complementary to our Private Wealth business. He headed the family office vertical of the private wealth business of India's largest wealth platform.

These recru

itments, along with the various initiatives we have implemented over the last 4 to 6 quart ers, demonstrate the focus and the commitment of the Motilal Oswal Group to grow the wealth business to a leading position in India. The private wealth AUM stood at Rs. 1,57,000 + cr, up 68% YoY . Net Revenue for Q2FY25 stood at Rs 24 2 cr, up 5 1% YoY. PAT of Rs 90 cr is up 6 6% YoY. Total RM grew to 585, up 28% YoY. 28% of the RMs have a vintage of more than 3 years, implying that over 70% of the RMs have been hired in the last 3 years .

Capital Market Business

This business comprises of institutional equities and investment banking business. Here again, we had very strong traction. Revenues were at Rs. 174 cr, up 52% YoY. PAT at Rs. 73 cr, up 45% YoY. Our Investment Banking business has successfully completed 22 deals with an issue si ze of Rs. 25,000 + cr during H1FY25 . The second half pipeline is a multiple of the first half, and we see very strong outlook of this business for the second half.

Housing Finance Business

Our AUM stood at Rs. 4,233 cr, up 13% YoY. Disbursements for the H1FY25 stood at Rs. 620 cr, up 114% YoY and for Q2FY25 stood at Rs.368 cr, up 86% YoY. Yield on advances stood at 13.6%, cost of funds at 8.4% and spreads at 5.2%. The NII for the quarter was at Rs. 81 cr and profit after tax at Rs. 27 crores. The sales re lationship manager base stood at 1,050, up 68% YoY, leading to an increase in the cost -to-income ratio, as we are looking to strongly grow the book. Gross NPA stood at 1.3% and net NPA is at 70 basis points. Net g earing stood at 1.9x and capital adequacy stood at 45.6%. ROA was at 2.3% and ROE at 8%.

Treasury Investment

Our total equity investments, including alternate funds grew to Rs. 8,113 cr as of 30th September, up by 57% YoY. The XIRR on all the investments that the treasury has made since inceptio n stood at 20.8%.

Concluding Remarks

Our businesses have demonstrated strong performance. We reported an all -time high quarterly profit and strengthened our market share nearly in every business that we are present in.

A study by our Co -Founder, Mr. Ra amdeo Agrawal, shows that the cumulative household savings will rise from about $14 trillion in the last 25 years to $126 trillion in the next 25 years with higher share of financial savings, equities, alternates and greater concentration of wealth. This i s a mega trend, which is driving nearly all of our businesses from wealth management to asset management, to private wealth, to alternat es, to capital markets. We aim to be a leader or a leading player in all our businesses. We have delivered a profit afte r tax CAGR over the last 10 years of 42%, a net -worth CAGR of 24% for the last 10 years despite maintaining strong payouts, execut ed 3 buybacks and not raising any capital ever since our IPO back in 2007.

We expect the mega trend discussed, supported by o ur strong brand and balance sheet to help us deliver continued best -in-class earnings growth and return ratios without any dilution.

We will now open the floor for Q&A. Thank you.

Moderator:

Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tanay Gandhi from Investec.

Mr. Tanay Gandhi – Participant :

Navin, congrats on a great set of numbers. I just have a couple of questions, which are split across all the segments. I'll just put them across together. Firstly, on a group level, you've given ARR, TBR split, and I can see that the ARR is constantly increasing. I just wanted to understand what all segments contribute to the ARR and TBR at a group level.

Then I wanted to understand in the Wealth Management segment, what is your direct broking and the sub -broking split for revenue, PAT and probably other line items, whatever you can help me with? And for even the NIMs, I wanted to understand why are they parti

cularly high
in the Wealth Management a nd Private Wealth Management segment?

And then in Home Finance, could you just give some clarity on the mix of the loan book based on loan against property, unsecured loan, etcetera? And a bit on the yields, why are they slightly reducing over the quarter ?

Mr. Shalibhadra Shah – CFO:

Tanay, this is Shalibhadra here. At the group level, a s far as the ARR mix is concerned, the mix is coming largely from our Asset Management business . Our flows run rate has

substantially improved, resulting in overall ARR mix improvement . In our asset and private wealth management business , the ARR revenue mix is almost 75%. Apart from that, the ARR improvement is also happening in our distribution business under Wealth Management. The ratio of brokerage, which is transaction -driven revenue in our wealth business is reducing and the distribution pie is improving our ARR mix along with the lending book. These are the business segments where the ARR improvement is happening and is expected to happen given the stron g trajectory of our ARR flows in these segments.

Coming to the next question on the NIMs. The NIMs in the Wealth Management is a function of the funding book and the opportunity that we get in the margin trade financing segment. The NIMs have marginally g one up because our cost of funds has come down incrementally in last 6 months by almost around 40 basis points. A lso, yields have improved marginally on our MTF book because it is a diversified book across retail and HNI segment.

Mr. Tanay Gandhi - Participant :

Direct broking and sub -broking split in the wealth management segment.

Mr. Shalibhadra Shah – CFO:
In the Wealth Management segment, revenue -wise, both are equal . The direct broking and the external wealth management segment , we are almost 50-50. In terms of the profit mix, the indirect segment would be almost about 60%.

Mr. Tanay Gandhi - Participant:

Okay. Yes. And then later on, the other questions were on home finance and treasury. In home finance , I wanted to understand the mix of the loan book by secured, unsecured LAP and why there was yield reduction . And what is the other operating income in HFC ?

Mr. Shalibhadra Shah – CFO:

On the home finance side, the entire book is secured financing. There i s no unsecured lending. It's a housing finance company where we are doing retail affordable housing loans. We also have a portion of LAP and construction finance. Overall, from the mix perspective, 78% of the book is housing loans, 9% of the book is LAP an d almost 13% of the book is construction finance in entire secured book.

As far as the yields are concerned, the overall yield is lower because we are increasing the retail housing book mix. If you look at our numbers on a YoY basis and QoQ basis , our retail housing loan book has gone up YoY by almost about 82% and that is resulting in the overall mix tilted towards the retail home loans where the yields are marginally lower than the segments of LAP and construction finance . So that is resulting in a bi t of moderation on the overall yields.

On Other operating income i n HFC, that is a function of our normal recoveries that we do, which is basically the branding income or the ancillary recoveries that we levy to the customer. That number would be slightly lumpier number on a QoQ or YoY basis.

Mr. Tanay Gandhi - Participant:

And just lastly, on the treasury, I just wanted to understand what comes under OCI because you disclosed it in the data book.

Mr. Shalibhadra Shah – CFO:

OCI is a recognition of mark -to-market on our equity shares investments on the investments we have in various buckets of equit ies.

Equity Mutual Funds and Alternate Assets are done mark -to-market through the P&L, but the equity shares investments are then mark -to-market through the OCI. So as per the Ind AS

norms, on the equity shares, we have opted for mark -to-market through the other comprehensive income. That's why we aggregate and report both of these profits as a treasury profit, which is a combination of both of these line items of mark -to-market movement on our entire treasury book of Rs. 8,113 cr.

Moderator :

The next question is from the line of Bhavin from Athena Investment Fund. Please go ahead.

Mr. Bhavin - Participant :

Congratulations on great set of numbers. So, we can see a significant uptick in the SIP as well as gross sales market share in the AMC business. So, what do you think have contributed to this? And what would be our distribution mix in the AMC business?

Mr. Navin Agarwal – Group Managing Director:

Over 95% of the AUM is delivering top tier perform ance across mutual fund as well as the alternate assets. We have the widest range of passive funds. Our quant fund is also one of the best performing funds and has seen strong traction. As far as distribution is concerned, almost all banks in India are now distributing our product. There's a lot of headroom here in terms of the market share growth for us. Banks would be the smallest market share among all the distribution segments. IFAs have seen very strong trac tion in the market share that is higher than the banking market share. Wealth firms have seen reasonable traction. But the digital channel is one of the best -performing segments for us. And the strong performance also has meant the strongest uptick in that segment. We've seen the highest YoY growth within that segment.

We were not present in a lot of categories within the mutual funds. As we have been explaining in the last few calls, over the last 15 months, we've seen the launch of our large -cap fund, the launch of our small -cap fund and multi -cap fund. With that, we have covered a lot of th e broad -based categories. In terms of the sectoral funds, we had no presence 15 months back. We already have 3 funds that are now live, and we have filed for a few more important categories of sectoral funds. So better coverage of the various segments with in the mutual fund business is an additional driver for the overall revenues.

We are also substantially increasing our distribution footprint and our sales team . As we have strong uptick in many cities where we are still not present, digital has already r eached there,

ahead of our own physical reach. So that will be an important driver. We've seen very strong growth in the September quarter compared to the June quarter. Importantly, October has been a record month again in all the channels and in terms of the overall sales.

In alternates, we should be at nearly Rs. 1,000 cr monthly gross sales for the month of October alone. There's still a lot of fuel in terms of the channels, in terms of the segment s, the products and our own team manpower that we see pl aying out over the course of the next 12 months' time.

Mr. Bhavin - Participant:

And sir, how has captive arm behaved in terms of distribution? Has the share improved over time?

Mr. Navin Agarwal – Group Managing Director:

We are very widely distributed across all the channels, as I explained to you, including own distribution. Our own captive distribution accounts for less than 20% of the overall mix. That too is growing very, very strongly. The non -captive channel is even s tronger than the captive channel.

Mr. Bhavin - Participant:

Okay. And sir, what would be our B30 mix?

Mr. Navin Agarwal – Group Managing Director:

It is 20% .

Mr. Bhavin - Participant:

Great. And sir, just one last thing. What would be the RM count that we would be looking to close specifically in the PWM business?

Mr. Ashish Shaker – CEO – Private Wealth Management :

So, the RM count currently is at 585. We will close the year at about 700.

Moderator

The next question is from the line

of Mahek from Em kay Global.

Mr. Mahek Shah - Participant :

Congratulations on the great set of numbers. A few questions. So , in the Wealth Management segment, there's been a significant great performance. So , I just wanted to know how do you see the volumes for the H2? And any outlook on how do you see the business for H2? Secondly, you mentioned for the Wealth Management business, the focus is kind of on strengthening the distribution. So just wanted to know any kind of color on what efforts the company is making toward s this initiative? And are you looking to add any new RMs, particularly for the wealth management segment?

Mr. Shalibhadra Shah – CFO:

There has been a very strong uptick in the volume growth on the cash side. And in our case, our mix towards the cash vol umes is pretty high , almost about 60% of the overall broking revenue. And we expect the cash volumes to continue the growth journey.

There could be a bit of moderation, which could happen as far as the F&O volumes are concerned, given that the new regulat ory changes, which are going to come into effect from 20th of November because of the reduction of the expiries, especially Bank Nifty.

The impact will be also driven by how the retail behavior comes into play, whether other expiries would compensate for it or wheth er cash pie would grow. Market shares have grow n for us in cash market by ~85 bps and F&O market share has grown by ~150 bps.

As far as the distribution business is concerned, we have been investing in that business and the idea is to double the manpower count from here over the next 2 years. And we have currently a 400 -member dedicated distribution team, which is going to scale up to garner more assets. Distribution assets have now grown ~Rs 30,000 cr, and we are seeing a healthy impro vement of both our ARR and TBR revenues on this business. The revenues have almost doubled on a YoY basis and even sequentially, they have gone up significantly. The pie of revenues has already grown to 15% of our total wealth revenues and the pie of broke rage and NIIs are moderating versus the distribution on a mix basis.

Mr. Mahek Shah - Participant:

I had just one last question, which was on the private wealth management segment. So , you've almost added around 100 RMs in last 1 year, and you just said t hat you will be taking the total number to 700. So , I just wanted to know how is the productivity of the recently added RMs? I mean, how is the performance being? And kind of -- you also mentioned previously that you would be adding junior RMs and grooming them to senior RMs. So, is the strategy continuing ?

Mr. Ashish Shanker – CEO – Private Wealth Management :

We are looking to go from 585 RM to 700 RM by the end of the year and this addition will happen across HNI as well as ultra HNI. And the strategy of grooming RMs gradually to make them productive and make them bigger continues at the moment. In terms of productivity, we had mentioned that typically a relationship manager in the first year reaches 1 to 1.5x productivity and by the third year, they achieve 3x+ productivity. So that journey continues.

Mr. Navin Agarwal – Group Managing Director:

Also, as we just explained 72% of the RMs have a vintage of less than 3 years. We have an investment of nearly 15% of the wealth management top line in these RMs in terms of a drag, which we expect to recoup over the course of the next couple of years.

Moderator

The next question is from the line of Chandrasekaran from PPFAS Mutual Fund. Please go ahead.

Mr. Chandrasekaran - Participant :

So, I had a few questions on the private wealth side. So, I just wanted to clarify these Rs. 1,57,000 cr of assets as of September, does this include custody assets? Or is this ex of custody assets?

Mr. Shalibhadra Shah – CFO:

It includes custody assets.

Mr. Chandraseka

ran - Participant:

So, I mean, if you could give an indication of how much is custody assets?

Mr. Shalibhadra Shah – CFO:

On the base of Rs. 1,57,000 cr, the custody assets are Rs. 52,497 cr.

Mr. Chandrasekaran - Participant:

Okay. And typically -- I mean, do these assets yield anything? And how are the yields different from these non -custody assets, if you could give an idea about that?

Mr. Shalibhadra Shah – CFO:

Custody assets don't yield . As and when these assets are converted into other financial assets, we earn the trade income as well on those ass ets.

Mr. Chandrasekaran - Participant:

Okay. And within private wealth, if you could split up the assets in terms of ARR and transaction banking assets, how would the split be?

Mr. Shalibhadra Shah – CFO:

From a revenue perspective, ARR asset is 50%.

Mr. Chandrasekaran - Participant:

And PCG is also included since the last 2 quarters on the private wealth. So , can I get the number separately for the PCG as well?

Mr. Shalibhadra Shah – CFO:

We can share those numbers separately.

Moderator

The next que stion is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Mr. Lalit Deo - Participant :

Sir, just 2 questions. Firstly, on the opex side. So , when we mentioned that we want to increase the RM count to 700 in the private wealth managemen t. So how should one look at the overall cost/income ratio over there in that segment as well as if you could give us some color on the segment -wise cost/income ratio for the next 2 years?

Mr. Navin Agarwal – Group Managing Director:

Given the previous back book turning productive, we don't see any further fall in the margins. We think that the worst margin is already reflected in the first half. The second half margins should be better, despite these additions, and then we should build on from there in terms of the improvement because remember that this process of the strong RM addition started just over 2 years back. That part of the book will start contributing to the profits. And going forward, the pace of the addition is not really accelerating, but we are kind of maintaining the run rate of RM additions at a similar level. You should assume that the H 1 margins are at the bottom and the second half should be better than the first half and the next year should be better than the current year.

Mr. Lal it Deo - Participant:

Sure, sir. And sir, on the net flow side, like how should one look at the overall net flows as a percentage of my overall AUM in both in the AMC as well as the private wealth management for this year as well as the next year? Like any guidance or any color on that front?

Mr. Navin Agarwal – Group Managing Director:

Given the strong performances of the asset management business, while we are not guiding for the numbers, but we've given you the market share numbers for mutual fund, for SIP, both gross sales and net sales and all of them in the second quarter are meaningfully higher than the first quarter . I mentioned to you that October is higher than the September quarter numbers also meaningfully.

And with wider distribution network, wider product suite and very strong growth across captive and non -captive, and i n terms of the market share, you should expect continuous improvement in the coming quarters, as far as the asset management business is concerned.

As far as the wealth manage ment business is concerned, again, as the RM vintage improves, you should see a very strong uptick in the net sales, like we've reported in the first half. That trend of strong growth in both the TBR and the ARR should continue in the coming years for the productivity and the margins to go back to the previous highs. That is our plan.

Moderator

The next question is from the line of Uday from Investec. Please go ahead.

Mr. Uday – Participant

J

ust two questions. Firstly, on the home finance side, as I can see, on a year -on-year basis, you have increased the RM count meaningfully. So, is that exercise done? Or you further plan to increase the RM count in the home finance business from here on? Secondly, on the broad level, as you mentioned that you are compl eting the AMC bouquet of products by adding some sectoral funds that are left. Are there any further products or segments that you want to further add to complete the whole Motilal suite of products, your thoughts on that?

Mr. Sukesh Bhowal – CEO – Housin g Finance:

Yes. With respect to the RM count for the HFC business, we have grown substantially over last year. And for the rest of the year, we expect a good growth in the RM count.

Mr. Uday – Participant

Yes, sure. And on the broad level of products?

Mr. Navin Agarwal – Group Managing Director:

On the asset management side, the bouquet of products, I'll let Prateek take that question.

Mr. Prateek Agrawa l – CEO – Asset Management

As we go forward, one should expect to see a product launch on the passive side or on the active side every month i.e., one in a month. There are gaps in our product suite on the mutual fund side, that is what we are looking at filling. And on the passive side, we are looking to create some of the first -of-kind products i n the country.

Moderator:

The next question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Mr. Umang Shah - Participant :

I just have a couple of them. One is, just wanted to understand a little bit on the wealth management busine ss front, right? I mean I was just looking at the closing AUM breakup where the ARR revenue earning assets appear to be fairly small. But in terms of revenue contribution, clearly, the ARR revenue contribution appears slightly higher. So how should we read this? I mean, split between ARR, TBR AUM versus ARR, TBR revenues?

Mr. Shalibhadra Shah – CFO:

As far as the ARR revenues on wealth management is concerned, I spoke about the improvement in the NII yields which has happened. Also, on certain assets on the distribution side, there is a net flow improvement both YoY & sequentially as well, and that is also resulting in a higher ARR revenues for us. Hence , the ARR revenue uptick is higher because of these 2 reasons. Otherwise, largely , they will move in tandem with the growth in the assets.

Mr. Umang Shah - Participant:

Understood. So basically, you're saying that the way to look at it is the ARR revenue should be sort of correlated with ARR AUMs, distribution assets and the lending b ook, all 3 put together, would give a better picture. Is that the right way to look at it?

Mr. Shalibhadra Shah – CFO:

Yes, that's the right way to look at it.

Mr. Umang Shah - Participant:

Okay. The second one was on the treasury line item, right? Now clearly, I mean, our strategy of skin in the game has worked extremely well for us. And FY24 full year and 1HFY25, I mean, we have seen significant contribution coming through in terms of treasury profits as well. But just from a medium -term perspective, how should we again look at this? I mean, should we see some sort of a linearity in this line item going forward? Or probably this will continue to remain a bit lumpy in line with how the m arkets perform?

Mr. Navin Agarwal – Group Managing Director:

Umang, you should expect it to be lumpy in line with the markets because the share of fixed income within this is zero. We have a mix of mutual funds, our alternat e funds, including AIFs, PMS, private equity funds, real estate funds and a very small direct investment book. But all of these are equity instruments. There's no fixed income in this, barring the real estate fund, which is a very small part of the overall book.

The reason why we give the XIRR number is to help you think about it longer

term. That
number was as poor as 18% when the markets were at a much lower level. That has gone up to 20.8% since inception XIRR as of today . I'll be surprised if it dips below 18%, but you should take that 18% to 20% number and some alpha over whatever the benchmark performance over longer term. There are 2 sources of this book growing, the Rs. 8,113 cr treasury book. The first is obviously this XIRR number, which could be, let's say, 20%. And the secon d is the plowback of the profits after paying out dividends. And we have highlighted earlier that the Rs. 8,113 cr book, the 10 -year CAGR of that book is over 40%. Roughly half of that came from returns and the other half came from plowback of profits from the previous year post paying out dividends. The second part, which is the plowback of profits will continue, nev ertheless. As far as the fund performance is concerned, there may be volatility in that on a year -on-year basis.

Mr. Umang Shah - Participant:

Understood, sir. This is quite helpful. And last one is on our private equity funds, right? So, any planned exit s? So , in the presentation, we have provided a slide, which is Slide #30. Just wanted to understand that FY26 and FY28, so these are the planned exits that we are looking at. I'm sure the IRRs will change probably as and when the exits happen, but we shoul d look at these numbers as the planned exits, right?

Mr. Navin Agarwal – Group Managing Director:

Yes. You should look at the private equity fund 2 series exit in FY26. You should expect the real estate fund series 2 exit in FY28. And from there on, almos t on an annual basis, you will have one exit. B ecause you'll have the 2 series of growth and 3 series of real estate. So effectively 5 more series apart from these 2 that will mature in the following 5 years. Let's say, FY26, one exit: FY28, next exit and so on .

Mr. Umang Shah - Participant:

That will also sort of become a bit more linear for us the way the exits have been planned?

Mr. Navin Agarwal – Group Managing Director:

Yes. As we have more series outstanding . Also going forward, the idea is to have faster DPI compared to what we have done in the past. You will see some of these funds being carry sooner than the long duration that we've seen both in our growth capital and real estate funds in the past.

Mr. Umang Shah - Participant:

Understood. Understood. And Navin, one last question was on the housing finance piece. Now I understand in the past, too, you guys have spoken about it that the growth is likely to be a bit more calibrated. The book seems to have stabi lized quite a bit. But again, how should we look at this business given that this is probably the slowest of the businesses in the overall scheme of things. But again, from a medium -term perspective, how should we look at this business?

Mr. Navin Agarwal – Group Managing Director:

In this business, we are investing a lot. Our relationship manager base has gone up a lot. And as Sukesh just articulated, the strong RM growth pace will continue into the second half of the year. Our disbursements have grown ver y strongly YoY. I'll let Sukesh talk about how the trajectory of this business could be in the coming years.

Mr. Sukesh Bhowal – CEO – Housing Finance :

Yes, we invested a lot into our RM strength last year, and that's showing a very good results in terms of our dis bursement volume growth in this year. And we will continue to invest in our RM capacity for the coming 4 quarters at least and for FY25 & FY 26 this should result in a very good momentum in terms of disbur sement volume growth and which will then r esult into a good growth in our AUM . While our disburs ement has grown quite well as compared to the last year, the repayments on the book do not lead to a very strong growth in the AUM. Once we have the RM capacity coming in and the disbursement volume mov es up a

long with
that, we will also see a good growth in our AUM.

Moderator:

The next question is from the line of Sanjaya from Ampersand Capital. Please go ahead.

Mr. Sanjaya - Participant :

Sir, one question is regarding your treasury income. Is it poss ible for you to explain how really you book those profits? And related question to that is that you have articulated that your dividend policy is 20% of your operating profit. Does it mean that the profit of treasury is not really considered for dividend?

Mr. Navin Agarwal – Group Managing Director:

The treasury profit because of the new Ind AS norms require us to show mark -to-market in the income statement, and that is what is causing these big numbers to be reported because the denominator is big, and the performance is also big. So big AUM multiplied with big performance is equal to the number that you see. That will only get bigger . As I explained to you, this book has been growing at a rate of over 40% per annum. But a lot of it is unrealized and that is why when we look at dividends, we are looking at cash earnings and not notional mark -to-market earnings to distribute dividends to shareholders.

We are paying out at least 20% of the profits as dividend from operating profit which is largely free cash flow. We used to pay out higher earlier. But as you are aware, there have been meaningful regulatory changes in our core business i n the last 3 years, which require us to invest a lot more capital. The free cash flows of the business have come down meaningfully.

The business es, while fundamentally generates a lot of free cash flows also require a lot of capital and every rupee of our skin in the game that we talk about, this Rs. 8,113 cr treasury book is actually supporting the agency businesses in terms of the margins to be ab le to do bigger and bigger transaction volumes. They are really linked very closely to each other, point number one. Point number two, the treasury profits are mostly mark -to-market and hence, not distributable.

And finally, the treasury book, while it lo oks like excess cash on the balance sheet is actually no excess cash according to the Board's understanding and estimate. It is all the backbone for the agency business, as we continue to grow our market share and the market size itself becomes larger.

Mr. Sanjaya - Participant:

So, sir, does it mean that once you realize those profit, those will beco me part of your distributable.

Mr. Navin Agarwal – Group Managing Director:

I want to repeat that this pool serves as skin in the game for all our products , but importantly, the backbone for the agency business. Hence , we need this capital. As you may have seen, a lot of our peers in the last 2 years have had one or multiple rounds of fund -raise / dilution to raise fresh capital to support this growth. We haven't raised a penny of capital in this time period or ever since our listing despite the strong growth in market share and the market volumes.

There are 2 options for us. We can deploy all of this Rs. 8,113 crores in our bank deposit and serve that as a collateral to the exchanges for our lines or we can deploy this in our funds and

serve that as a collateral. Because we believe in the longer -term performance of the funds and the superior performance that this can give to the shareholders, we have chose n otherwise.

Mr. Sanjaya - Participant:

And my last question is that yesterday on TV, the management explained that there will be some 5% to 10% impact of the new regulation on the brokerage business. But my general impression was that since yours is much bigger in terms of cash market and your futures -- F&O market, your market share is much lesser. This makes you a lot more competitive with respect to your competitor, who are pure play derivatives. So, are you going to see some kind of significant improv ement in ma

rket share because of the changes? So how are you really approaching this new regulatory landscape?

Mr. Navin Agarwal – Group Managing Director:

This obviously competitively is favorable to us , as more than 50% of our revenues come from cash markets . Point number one. Point number two, we do see some of the volumes from Bank Nifty moving to, let's say, the other exchanges . And you have already seen that in last 3 months or the last 4 weeks of volumes on the other exchanges and the other indice s, you have seen a meaningful pickup in that. We also have significant investments in our distribution business and that income is growing. Our cash contribution is more than 50%. If you analyse this - lower F&O contribution, higher distribution income gro wth and improved competitive position. All these 3 are levers that put us in a better place . But having said that, there is going to be a short -term impact in terms of the volumes of this business. We think that the strong growth in the rest of the busines ses should more than offset any temporary drawdown in this business.

Moderator:

As there are no further questions from the participants, I now hand the conference over to Mr. Shalibhadra Shah for closing comments.

Mr. Shalibhadra Shah – CFO:

I would like to thank every participant for attending the Q2FY25 con call. In case of any further queries, please do get in touch with Manish Kayal or with me. I wish you all a very happy Diwali and a prosperous New Year. Thank you, and have a great day.

Moderator:

On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

February 03, 2025

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated January 23, 2025 regarding Intimation of Earnings Conference Call ("Con -Call") with Investor(s)/Analyst(s) on January 29, 202 5 to disc uss financial performance for Q3 FY 2024 -25.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligation s and Disclosure Requirements) Regulations, 2015 ("Listing Regulations") (as amended from time to time), please find enclosed herewith the Transcript of the said Con -Call for your reference.

The aforesaid Transcript of the said Con -Call is made available on the Company 's website i.e https://www.motilaloswalgroup.com/Downirvirdir/875574597Q3FY25.pdf

Further, we hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the said Con -Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer

Q3FY25 Earnings Call Transcript of " Motilal Oswal Financial Services Limited

This document is a transcription of the conference call conducted on 29thJan 2025. Click here to listen to the original audio.

Manish Kayal - Head Investor Relations:

Good afternoon and a warm welcome to all the participants to Mo tilal Oswal Financial Services Limited Earnings Call to discuss the results for Q3 and 9 MFY25 period. I'm Manish Kayal and I look after the Investor Relations. We hope that you have got an opportunity to go through our investor deck and press release uploa ded o n stock exchanges as well as on our website yesterday . We have also uploaded the excel data book on our website that has the operational and financial numbers.

Before we proceed with this call, please note that today's discussion may include forward looking statements and these forward -looking statements are tentative based on curren t analysis and anticipation of the management. Actual results may vary , subject to risks & uncertainties that could impact future outcomes and includes volatility in the securities market economic and political conditions, new regulations, government policies , volatility in the interest rates that may impact our businesses. We request you to con sider these factors when evaluating our performance.

On today's call, the company is represented by
■ Mr. Raamdeo Agrawal, Chairman
■ Mr. Motilal Oswal, Managing Director and CEO
■ Mr. Navin Agarwal, Group Managing Director
■ Mr. Ajay Menon, CEO, Wealth Manageme nt
■ Mr. Prateek Agrawal, MD and CEO, Asset Management
■ Mr. Ashish Shanker, CEO of Private Wealth Management
■ Mr. Sukesh Bhowal, CEO, Housing Finance
■ Mr. Shalibhadra Shah, Chief Financial Officer

We'll start this call with an opening remark by Navin and then we'll have a Q&A session.

With this, I now request Navin to start the call by sharing his thoughts.

Navin Agarwal - Group Managing Director:

Good afternoon, everyone. It is my pleasure to welcome all of you once again to our earnings call to discuss the corporate performance for the Q3 and 9MFY25 . I will start by highlighting some of the group level achievements and then go down to the segment -wise business performance.

Key Financial and Operational Highlights

■ As of Dec'24, Motilal Oswal Group has crossed a major milestone by servicing mor e than 10 m n customers, comprising of 6.8 m n unique mutual fund folios and over 4.7 mn unique broking accounts, putting us in a leading po

sition in both the businesses that we operate.
■ Our operating revenue for the Q3FY25 was at Rs. 1,345 cr , up 43% YoY and our operating profit after taxes were at Rs. 525 cr , up 38% YoY, continuing the strong growth trajectory that we have been reporting for the past quarters.
■ Our assets under advice (AU A) crossed the Rs. 6 lakh cr mark, up 62% YoY.

■ Annual recurring revenue as a percentage of the group revenues are well over 50% and stands at 56% for Q3FY25 .
■ Our fee -based revenue contribution to the total revenues increased from 30% in Q3FY24 to 41% in Q3FY25 .
■ Our net worth as of Dec'24, stood at Rs. 11,569 cr , up 40% YoY.
■ Our annualized return on equity (ROE) stands at 36%.
■ Based on the strong operating profitability, the Board of Directors have decided to distribute an interim dividend of R s. 5/- per share to our shareholders. We have stepped up the dividend in line with the profit growth of the firm.

Segmental Performance

Wealth Management Business

Turning to the segmental performance. Our Wealth Management business comprises of retail broking business, the distribution businesses as well as NII income.

■ Our total assets under advice in the Wealth Management business grew to Rs. 3,08,000 cr, up 67% YoY.
■ Acquisition of clients stood at ~1.6 lakh clients in Q3FY25 , up 13% YoY.
■ Our revenues for the wealth management business stood at R s. 570 cr, up 30% YoY and profit after tax were at Rs 190 cr , up 16% YoY.
■ Our retail cash business broking volumes ADTO have grown 19% YoY to Rs. 3,230 cr.
■ Our cash market volume share has gone up to 7.4%. This was 5.6% in FY21 and so we've seen almost a 200bps gain over the course of the last 4 years, notwithstanding the substantial change in the market structure where discount brokers now account for a large part of the overall volume market share .
■ Our F&O premium market share stands at 7.8%, and our total ADTO market share stands at 7.6% for the Q3FY25 .
■ The quarter witnessed reduced volumes on a QoQ basi s due to the new F&O regulations as well as market correction. We have seen similar instances in the year 2022 and even before, where such instances of temporary contraction in market volume s were followed

by strong growth, typically after a lag of couple of quarters.
■ Our confidence stems from the fact that the demat account s witnessed addition of ~10 mn accounts during Q3FY25 implied growth of 33% YoY and 6% QoQ basis, taking the total of demat accounts base to 185 m n. This number was ~40 mn at the onset of C ovid back in Jan '20.
■ Given the low penetration of financial savings and the rising mutual f und folios as well as demat accounts, we expect the growth trajectory to continue in the coming years.
■ On the other side, broking industry will also see further consolidation in the hands of the larger players due to many reasons including increasing compl iance costs and norms being few of them , and hence , we expect Motilal Oswal to be the largest full-service broker in the country and to benefit from this consolidation .
■ Turning to distribution , we have a strong focus on increasing our distribution book. Th is will be led by cross sell to our existing strong client base of ~4.5 mn apart from acquiring new clients and for this purpose we've created a dedicated distribution team of a strong 600 people with plans to increase this to 1,000 people in the near future.
■ Around 60% of our DP AUM comprise of clients with more than Rs. 1 cr DP balance, implying serious cross -sell ability to these clients. With these initiatives, we plan to grow our distribution book multi fold from current book of ~Rs. 32,000 cr. Our distribution AUM grew 38% YoY to ~Rs. 32,000 cr.
■ Distribution net flows quadrupled to ~Rs. 3,000 cr during Q3FY25 on YoY basis .

■ Distribution revenues grew ~90% YoY to Rs. 104 cr and its contribution to the total rev

enues from this segment increased from 13% in Q3FY24 to 18% in Q3FY25 .
■ The third aspect of the Wealth Management business is Net Interest Income (NII) , which is up ~40% YoY, due to growth in the lending book as well as improvement in spreads . Spread improved from 5.9% in Q3FY24 to 6.8% in Q3FY25 .
That was a deep dive into our Wealth Management business.
Asset & Private Wealth Management Business
Turning now to the Asset and Private Wealth businesses, comprising of asset management, private equity and private wealth business.
The overall revenues for these businesses stood at Rs. 551 cr, a very strong growth of 57% YoY, while profits were at Rs. 234 cr witnessed even stronger growth of 63% growth over the same period last year .
■ Starting with the Asset Management business, the s trong performance momentum across mutual funds, PMS and AIF, coupled with rising distribution network, resulted in gross flows in Q3FY25 of ~Rs 23,300 crores, which is up by 362% YoY.
■ Our Asset Management net flows also grew multi fold from ~Rs. 2,400 cr in Q3FY24 to ~Rs. 18,500 cr in Q3FY25 , which is more than 7x YoY, led by 97% of the AUM meaningfully outperforming the underlying benchmarks.
■ We had announced earlier that we crossed Rs. 1 lakh cr AUM milestone in Jul '24 a nd by Dec'24, I'm happy t o state that, our asset management AUM stands at over ~Rs. 1.3 lakh cr, up 100% YoY.
■ Our mutual fund AUM out of this ~Rs. 130,000 cr stood at ~Rs. 98,000 cr, up 128% YoY.
■ We added ~16 lakh SIPs in Q3FY25 . Our SIP flows for Q3FY25 stood at R s. 2,922 cr, resulting in an SIP AUM book of nearly ~Rs. 21,000 cr as of Dec '24.
■ I'm happy to share that our mutual fund market share continues to rise. Our gross sales market share increased from 1.9% in Q3FY24 to 5.8% in Q3FY25 . Our net sales market share i ncreased from 3% in Q3FY24 to 9.7% in Q3FY25. Our SIP market share increased from 1.5% in Q3FY24 to 3.8% in Q3FY25 .
■ Also, our alternate AMC's AUM grew by 50% YoY to nearly R s. 33,000 cr. We are now amongst the top players in terms of incremental flows even in alternates AMC , led by strong performance and rising distribution network.
■ Our AMC business has strong processes in place to deliver reasonable returns for our unitholders and we expect MOAMC to be among the top players in the segment, supported by str ong scale -up in distribution.
■ Turning to the Private Equity and Real Estate businesses. These businesses have a fee earning AUM of R s. 10,560 cr and a mark -to-market AUM of ~Rs 17,000 cr. A substantial amount of carry, as we have explained in the past calls, will be earned on these funds.
■ Q3FY25 revenues for this business stands at Rs. 52 cr, up 34%.
■ Here again, like mutual funds and other alternate assets, we believe that there is low penetration of private equity real estate products , compared to the western world , provides a long runway for growth.
■ Our revenues for Asset Management and PE business collectively were at Rs. 274 cr, up 54% YoY, and profit stood at R s. 137 cr, up 65% YoY.
■ Turning to the Private Wealth Management business. The rising weal th among HNIs &

UHNIs will drive strong growth for our Private Wealth business.
■ We continue to take several initiatives in this business. In the past 9 months, we focused on several senior level hiring to strengthen the overall leadership strength of the b usiness. This improves our UHNI and family office proposition, and positions us strongly to be a leading player in the private wealth business in the next 3 years ' time .

■ Our private wealth AUM stands at ~Rs. 150,000 cr as of Dec '24, up 34% YoY.
■ Revenue stood at R s. 278 cr for Q3FY25 , up 6 1% YoY. Profits stood at R s. 97 cr, up 57% YoY. For 9 MFY25 too, we have seen very strong growth rates. Our 9MFY25 revenues grew by 48% YoY to Rs. 706 cr while profits grew by 45% YoY to Rs 246 cr.
■ The total relations

hip manager count increased by 27% YoY to 600 . The stronger revenue growth that you saw during the 9MFY25 is clearly an outcome of the improved productivity that we have guided for. We expect improvement in productivity to continue in th e coming quarters and the next couple of years as only 29% of all our RMs have a vintage of over 3 years.

Capital Market Business

Turning to our Capital Market businesses, which consists of Institutional Equities and Investment Banking.

■ Revenues for the third quarter stood at R s 151 cr, up 70% YoY.
■ Fee income stood at R s 60 cr, up 154% YoY.
■ Profit after tax stood at R s 61 cr, up by 50% YoY.
■ In the Institutional Equities business, we now have a 70 + equity research and corporate access team. This team covers ~300 companies across 24 sectors, catering to about 900 institutional clients.
■ The Investment Banking business has seen a meaningful scale up. We have completed 35 deals, aggregating to ~Rs 46,00 0 cr in 9MFY25 .
■ Once again, we are very happy to share that we were ranked number 1 in all India QIP league table for 9MFY25 .
■ We've strengthened our team over the last few quarters and given that our deal pipeline, including IPOs , is the richest ever, it g ives us strong growth visibility for the coming quarters.

Housing Finance Business

■ Turning to our Housing Finance business. Our AUM for this business grew 15% YoY to Rs. 4,343 cr.
■ We have meaningfully invested in our sales team. Our RM count has increased by 46% YoY to 1,246. Disbursements, as a consequence, has gone up 9 3% YoY to ~Rs. 1,000 cr in 9MFY25 with Q3FY25 disbursement at R s. 394 cr, up 67% YoY.
■ The NII for the business st ood at R s. 88 cr, up 10% YoY.
■ The asset quality continues to be quite good with GNPA of 140 bp s and NNPA of 80 bps.

Treasury Business

■ Finally, turning to our treasury investments. Our total equity investments, including alternate funds, grew to R s. 8,464 cr, up 44% YoY as of Dec'24.
■ Our 10 -year CAGR growth rate of this treasury book, led by an XIRR of over 20% and with the reinvestment of our business cash flows, has been over 40%.

Concluding Remarks

To conclude, we believe that the cumulative household savings, which was $14 tn in the last quarter century will rise to nearly $126 tn in the next 25 years , as per a study that we have published . Importantly, there will be a higher share of financial savings, allocation to equities, exposure to alt ernates and greater concentration of wealth as we create this additional $126 tn

of savings. This we believe is really the mega trend that is driving multiple businesses of the MO group, whether it's the asset management business, wealth management busines s, private wealth business, alternate assets or capital markets. Nearly every business of ours will be favourably impacted by the financialization of this huge pool of $126 tn of savings. We have delivered a profit after tax CAGR of 42% over the last 10 ye ars and a net worth CAGR of 24% over the last 10 years, while maintaining strong payouts, doing 3 buybacks and not raising any capital since our IPO back in 2007. We expect these mega trends supported by a strong brand, very strong balance sheet will help us deliver continued best -in-class earnings growth and return ratios to our shareholders.

We now open the floor for Q&A. Thank you.

Moderator:

Thank you very much. We will now begin the question and answer session. The first question is from Uday Pai fr om Investec. Please go ahead.

Uday Pai - Participant:

I have multiple questions on the Wealth Management side. So firstly, this quarter, you saw a mix of your APs and direct revenue shifting towards more of direct. And simultaneously, you saw a quarter -on-quarter decline in market share, both in terms of cash ADTO and F&O premium. Can you give some color on that , as to what has happened?

And secon

dly, have we changed the pricing in F&O because there is a change in regulation and it impacts your revenue directly. That's on the wealth side. And on the Private Wealth Management side, while your distribution income has increased meaningfully quarter -on quarter basis, your AUM has not increased. Is there some kind of transactional products or insuranc e-like products which are not included in AUM, but in accounts for some revenue? These are my questions .

Ajay Menon - CEO, Wealth Management:

On the Wealth Management side , increase in t he per lot pricing based on the contract size increase has been implemented for our customers in line with changes in the lot size . Earlier, if you remember, we had reduced it when the lot size reduced .

Coming to the overall market share, you must have seen the changes which have happened across the market for derivatives and overall trend. Typically, w e have seen , in our customer base with the advisory facilities , that in the short term we have some impact when the markets go down and similarly, we see a better impact when markets are on the positive side. Hence, the decline in market share as market has fallen . However, on overall revenue, we are better off.

Shalibhadra Shah - CFO:

As far as the Private Wealth Management assets are concerned, while net flows during the quarter is at ~Rs. 5,300 cr, but the overall assets have marginally dipped because of the mark -to-market movement .

Moderator:

Thank you. The next question is from Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan - Participant:

I have two questions on the lending book on the Wealth Management business as well as in the housing finance companies. In Wealth Management, as well as private wealth management, your lending book has been coming down. I guess that is linked to market volatility and decline. But do you see the trend reversing or in terms of people not wanting to do as much speculative activity or taking margin trading funding as in the past? And you also mentioned that the margins have expanded, so I wanted to know in the competitive business like this, what would be the sustainable level of margins. So that's on the Wealth Management business. I'll just ask the HFC business question also. Are you seeing that the credit quality is holding up because in many parts of the business you'r e seeing, actually, your numbers are quite strong?

And what I wanted to ask was your credit costs are actually a negative number this quarter. So, what drove that?

Shalibhadra Shah - CFO:

As far as the lending book is concerned on the both W ealth Management and Private Wealth Management , there is a marginal dip on a sequential basis of about 5%. While markets have corrected very sharply but this book has largely been resilient. However, NIIs have gone up because of the improvement in ou r spreads as our cost of funds have declined by 30 bps on a sequential basis.

On HFC business, the n egative credit cost is actually a function of recoveries from our past written -off cases . This recovery is from assets which were written off prior to FY20 and which is resulting in the credit cost reversal in Q3FY25 . Also, on a steady -state basis, our asset quality has been very strong. So , there's no incremental provision cost also in our quarterly P&L.

Moderator:

Thank you. Next question is from Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare - Participant:

I had a question on the Private Wealth business. If you could give some broad breakup of the overall AUM there?

Shalibhadra Shah - CFO:

ARR assets is at ~Rs. 32,000 cr. and the transaction bearing assets are at ~Rs 116,000 cr. Out of that ~Rs. 116,000 cr of transaction bearing assets, ~Rs. 46,000 cr is the custody assets.

Abhijeet Sakhare - Participant:

And the A

RR asset, is there a further split that you can share in terms of, let's say, equity debt, fixed income?

Shalibhadra Shah - CFO:

These are distribution assets into mutual funds and alternate assets. Total ARR distribution assets are ~Rs 26,000 cr, almost ~Rs 3,000 cr of advisory assets and ~Rs 2,700 cr of lending book.

Moderator:

Thank you. The next question is from Manan Mundra who is an Individual Investor. Please go ahead.

Manan Mundra - Participant:

I have two questions relating to customers' stickiness. First is, if you can provide the customer vintage -wise revenu e, just if we segregate them in separate buckets, for example, 0 to 2 years, 3 to 6 years and 6 years and above. So that's one. Second, whether the client revenue increases as their age increases because generally, the income of the clients also increases with their age in the wealth management business ?

Shalibhadra Shah - CFO:

As the vintage improves, all our revenues have been increasing for our clients. That's because not only we have broking, but we also do the cross -sell, and our cross -sell ratio has been improving. We don't provide the exact numbers of the vintage of the customer.

Manan Mundra - Participant:

Okay. And as the age of the clients are increasing, are we getting additional revenue from those clients?

Shalibhadra Shah - CFO:

Yes. As the vintage improves across every bucket, we see the increase in the revenue from the same customer.

Manan Mundra - Participant:

Okay. And have we seen any disproportionate rise in the margin calls from the clients – for the clients because of the recent fall in the market? And do we see any systemic risks around that?

Ajay Menon - CEO, Wealth Management:

No. This is because of the changes which SEBI implemented on the margins and after margins, the impact of the fall is very minimal, and we don't see any big impact coming on an overnight basis. Also, there's a lot of cash which the clients are carrying currently because of which we don't see a big pressure on the selling because of the fall in the markets.

Manan Mundra - Participant:

Okay. And the last is, have we implemented any support services? We are giving distribution products like insurance and credit products as well. So, do we have any support infrastructure if customers are facing any issues around that?

Ajay Menon - CEO, Wealth Management :

We hav e our complete separate team for the distribution side. As w e have told initial ly on the call, there are 600 people dedicated for the distribution business. Also, from the insurance perspective, we have a dedicated team plus the insurance companies have th eir own team, which sits out of our office for these purposes .

Manan Mundra - Participant:

Okay. And the last and final is, do we have any restrictions because of any regulations around sharing data from one entity to another, for example, sharing housing finance company data with AMC or vice versa?

Navin Agarwal - Group Managing Director:

Yes, we have Chinese walls across all the businesses. Many of them are regulated by different regulators. So, t hese businesses operate stand -alone as separate entities.

Manan Mundra - Participant:

Yes. So, do we have any issues for cross -selling because of those restrictions?

Navin Agarwal - Group Managing Director:

Let's say the broking business has its own customer base and due to open architecture, th ey are free to sell the best products. Because of that if any of the firm's products turn out to be the best product and that is an option available also. Cross sell does not necessarily mean the firm's products. Cross sell could mean third -party products.

Moderator:

Thank you. The next question is from Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah - Participant:

Congratulations on a good quarter

and thanks for taking my question. I had two questions
pertaining to the asset management business. One is , if you could just throw some light, I mean, last few weeks have been fairly volatile in markets. And if you could just share some

of the trends that you guys are witnessing into your net flows or the SIP registrations, how the flows have been, given that markets have been volatile and some of our schemes have also seen a fair bit of softness in terms of performance. So that's the first one.

And on the SIP bit, probably if you could also throw some color in terms of while the gross number looks extremely strong, I mean, it's sort of an ongoing debate in the industry about gross and net. If you could just throw some color on that, that would be really helpful?

Prateek Agrawal - MD and CEO, Asset Management:

On the SIP front, our gross and net is very similar. Second, in terms of incremental flows that we are getting , Jan'25 is the second strongest month in terms of incremental flows in our history. The earlier strongest was Dec '24. Jan'25 and Nov '24 look similar.

Overall, our net new flows market share is higher than our AUM market share. Even today in all cohorts, like city-wise, distributor -wise or any cohort, our net new flow s market share is multiple times our AUM market share.

Umang Shah - Participant:

That's helpful. Just one more question o n the asset management piece, while on the wealth and the private wealth piece, we have detailed our strategy in terms of expanding distribution.

On the asset management piece, just wanted to understand have we added more to our distribution maybe throug h different channels? Just a little more color on that?

Prateek Agrawal - MD and CEO, Asset Management:

We are expanding very strongly across the channels . To give you substance, beginning of the year, the AMC business had 250 -odd people. Today, we hope t o end the year with over 600. Most of the incremental has gone into expanding our on -the ground city presence, and beefing up the sales team. So , it is both spread and depth.

Umang Shah - Participant:

Okay. Just one last question, which I want to just squeeze in. On our housing finance business, I mean, in the past, we have guided for a more normalized growth of about 15% to 20% on AUM. Do we still hold same guidance or are there any changes to that?

Shalibhadra Shah - CFO:

We hold the same guidance of about 20% AUM growth for FY25 .

Umang Shah - Participant:

And going forward?

Shalibhadra Shah - CFO:

Going forward we believe , this run rate should improve because we have been continuously adding Sales RMs . In fact, our RM count in FY24 was doubled over FY23. Similar in FY25, this base is up by another 50%. We are clearly building a capacity of RMs to improve our disbursement run rate, and that's why you will see the AUM growth to be better overall with the additions in the RMs as well as improvement in their product ivity .

Umang Shah - Participant:

Understood. Perfect. Thank you so much and wish you good luck.

Moderator:

Thank you. Next question is from Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh - Participant:

Just a few questions from my side. First, on the private wealth business. If I look at your overall transactional income, ex of broking income, it seems that has gone up meaningfully durin g the quarter compared to a steady -state run rate. So , is there some carry income that has bee n booked or some sort of syndication activity that you have done? If you can give some color on that. So that would be my first question?

My second question would be, while you mentioned that your overall flows on the mutual fund side has been quite strong, maybe similar to November levels or maybe one of the best in the history of the company. I wanted to get some color on, when you talk to

, let's say, feet
on street or your distributors, what are they sensing in terms of incremental sentiment because this is probably the first-time retail customers are likely to see a prolonged period of paying out there?

The third and the last question is more on -- again, going back to the Private Wealth division and maybe in sync with the Capital Markets division, you mentioned that your pipeline on the IB side is holding up quite well, but when you talk to, let's say, your clients what is the hope that you see a fructification of some of these deals? And in that context, from a new client addition in the private wealt h side or new money getting created, how do you see the trajectory maybe in FY26?

Ashish Shanker - CEO of Private Wealth Management:

Let me take the first question on the Private Wealth Management business. In the last quarter, we've seen increased activity of alternate asset sales. We've seen a lot of activity from ultra - HNI family offices in the co -investment space. So , that has contributed to the increase in transactional revenue.

On your third question , yes, there i s a lot of increase in activity on the IB side and we are increasing coverage over monetization events , over large liquidation events . So, we should see a lot of traction around that in terms of new client acquisition and new client sales in FY26.

Prateek Agrawal - MD and CEO, Asset Management:

Regarding distributors and the client response to this correction , the trends that we have seen over the past 4 weeks on the mutual fund side, there is some reduction. We believe we haven't lost market share. This should be industry -level reduction in net flows.

On the alternate side, I think our flows adds close to record levels. So , there we haven't seen any slowdown. If we look at the behavior of retail versus HNI, I think the HNI part is holding up much better. They are taking it as an opportunity. The correction gives them a great opportunity to put in the lot of money to work. Retail may be behaving a tad differently.

Dipanjan Ghosh - Participant:

Just one small follow -up, if I may, on the first question. Whe n you mentioned that the activity levels were strong in 3Q and maybe more on alternate side, so the transactional income that you have booked would be the upfront fees that is still permissible. Is my understanding correct?

Ashish Shanker - CEO of Private Wealth Management:

That's right.

Dipanjan Ghosh - Participant:

Got it. Thank you, sir, and all the best.

Moderator:

Thank you. Next question is from Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh - Participant:

Congratulations on a great set of numbers. A couple of questions. The first one, if you can help us in terms of your asset management, AUM, how much of it is within your group ecosystem distribution, like wealth and private wealth? Together, how much they contribute to this distribution? And in your data, say, disclosure, where these are get captured? Do they get captured in direct and or wealth management piece? So that's question number one.

And on the private wealth side, the thing here is that, of course, you have been kin d of in expansion mode ramping up your RM and all. So , the question is that if I were to look at i n terms of your kind of a focused segment, where this private wealth split in, I mean, like Rs. 5 crores per client investable asset or higher or lower or put it the other way, what is the median typically investable asset, not the customer you said, investable asset you will have as your kind of a focus segment for the private wealth?

Shalibhadra Shah - CFO:

On the first question, t he captive AMC AUM is just 15% between Wealth an d Private Wealth . This number is also moderately coming down.

Ashish Shanker - CEO of Private Wealth Management:

We look at families with a financial ne

t worth of Rs. 25 cr plus in the Private Wealth Management business and we onboard with R s 3 cr plus.

Avinash Singh - Participant:

Okay. Got it.

Moderator:

Thank you. Next question is from Sanil Desai from ICICI Securities. Please go ahead.

Sanil Desai - Participant:

I just wanted to ask that what kind of traction you have seen in the net flows and the new NFOs which Moti has launched? Because I think in last one or two con call, the strategy was said that to expand the AMC business you were targeting around 1 NFO per month. So how has that strategy been? What is the pipelin e of NFOs? And if I may, then in this period where there has been market weakness, has there been any weakness in the flows seen in the NFOs?

Prateek Agrawal - MD and CEO, Asset Management:

As we speak, we are just opening our innovation fund. This is the first stage of that fund launch . We will get the trends over a period of time. Otherwise, we have been launching a slew of new products with very satisfactory inflows during the NFO period. Post NFO , we have seen very strong scale -ups in several of our pr oducts. When business cycle fund, multi - cap fund, small cap fund, and larg e cap, were launched they were of small size. But today, they account for a very large part of the net inflows in that cohort. The current sizes are multi - times our launch sizes. So , that has definitely happened to us. Now our spread of inflows is very well diversified.

Sanil Desai - Participant:

Okay. And just a small follow -up. Has our strategy changed because of the market weakness of launching one NFO per month or is that broadly safe going ahead?

Prateek Agrawal - MD and CEO, Asset Management:

No, there is no change in strategy.

Moderator:

Thank you. Next question is from Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo - Participant:

Sir, just two questions. So firstly, in the Private Wealth Management side, so like in this particular quarter, like we have seen a strong addition of the family. However, in terms of net sales, that number might not have picked up very well. So just wanted to understand, like when w e onboard a family, then do we get that initial R s 3 cr per family at one go or is it like spread over multiple months?

Ashish Shanker - CEO of Private Wealth Management:

Typically, we would onboard a family with a financial net worth is about R s 25 cr or a lower amount as well but then the endeavor will be to onboard the family up to R s 3 cr plus within a year.

Lalit Deo - Participant:

And similar to that, so we are seeing addition in the family side. So probably the RMs that we have added over the last 3 years, so they are -- their productivity levels are improving. So, from here on, do we plan to add more RMs or first to improve the pr oductivity of the existing RM base and then look to add more RMs further?

Ashish Shanker - CEO of Private Wealth Management:

No, we continue to invest in both engines. First is, addition of new wealth managers is a constant effort and second is, all the w ealth managers who are onboard and below 3 years of vintage, we continue to work on the productivity.

Lalit Deo - Participant:

And sir, just thirdly, AMC side of it, just wanted to understand, like so we have seen good traction in the flow of the alternat e side. So , like probably how should we look at it for like for FY26? Like do we have any production pipelines at this moment?

Prateek Agrawal - MD and CEO, Asset Management:

Let's understand who we are. We are a growth -focused AMC . We seek to make money for our investors by looking at businesses where earnings growth quotient can be an order higher than the index earnings growth quotient.

Towards that, on our alternate platters we have 5 strategies which look at the problem from different sides. If we think founders / pr

omoters, can drive growth faster, we have one. If we
think there are spaces in the market where the tailwind of value migration will aid growth, that's another. Third cut could be mid - to mega, if there are businesses which today being small, have a better propensity of growth, that's the third one. We have another one Next Trillion Dollar Opportunity (NTDOP), where we are looking at the next trillion -dollar growth of the country, which spaces will be touched and formulate the portfolios.

I think in terms of growth, we have covered all sides. On the alternate front, our whole thought is to stick to respective strategies and grow them all over a period of time. If you look at our strategies, the construct and the name, you should feel that our strategies are managed in true to label format.

Lalit Deo - Participant:

And sir, just lastly, we've been hearing like a lot of AMCs have been trying to -- due to their increase in MTM gains, a lot of AMCs have rationalized some distributor commissio ns. So , like we also have some large schemes within ourselves. So , do we also envisage that, like where will be trying to cut down our distributor commissions?

Prateek Agrawal - MD and CEO, Asset Management:

Growing profitability is going to be our endeavor. We have taken some steps. 4Q will show the full impact of those steps.

Moderator:

Thank you. Next question is from Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy - Participant:

Sir, two questions. One on brokerage side, we hear that your market share has gone down a bit again, and you've taken some pricing action. Can you just help me understand what will be the near -term as well as long -term strategy in this area for you to gain market share?

Ajay Menon - CEO, Wea lth Management:

We have been continuously increasing our market share , if you look at the overall trend in the last 2 to 3 years . This blip which we have seen in this quarter is mainly because of a market fall where, because of our advisory model , we are also a little cautious with the investors. Typically, when we see this kind of trend , there can be a blip in the overall market share. We feel with the quality of advice and the quality of investors where we focus more, o ur market share strategy will always be on the growth phase . Latest changes where the contract size has gone up, which was not our strength compared to discounts, our overall market share should increasingly benefit in the overall scheme of things.

Coming to the pricing part, as I tol d you earlier, the pricing is mainly a factor of the number of the lot size. We changed based on the lot size of the contract, which has gone up now. So automatically, the brokerage fee value changes based on the lot size . It come s down when the lot size c ame down and when the lot size went up, we increased the brokerage. Hence , it's more linear to the lot sizes.

Sanjaya Satapathy - Participant:

But is there any long -term plan of aggressively tapping the retail market through technology intervention and ap p based which many others have done. Can you just share your thought on that?

Ajay Menon - CEO, Wealth Management:

We do have a digital setup and we have a mobile app, which is very clearly aligned with the overall competition. We are seeing increasing growth on the digital side in our overall volumes and we are very confident on the overall growth in that segment, including the overall distribution, which we align with our overall broking business. However, we are very clear that we will not be going on the discount side of the business and we are focusing on the quality. Having said that, the digital business and the digital client acquisition has been increasing month -on-month for us on overall scheme of things.

Sanjaya Satapathy - Participant:

And la st question, sir, your -- this mutual fun

d AUM, can you please give me a bit of a bifurcation in terms of debt equity? And within that equity, how much is ETF and how much is non -ETF? And very last thing that I would like to understand is that because you are one of those who have the NASDAQ ETF, etcetera, because of which, are you seeing some better inflow? And are you being able to kind of withstand this slowdown in Indian market better?

Prateek Agrawal - MD and CEO, Asset Management:

We are completely E quity oriented AMC.

With respect to offshore, we can't invest in the offshore strategies. We are limit -up in those. No house can accept monies for offshore strategy. So , that's not the source of growth.

Secondly, o f our ~Rs. 1.3 lakh cr , ~Rs. 27,000 cr is passive and out of which NASDAQ and S&P is ~Rs. 13,000 cr, rest of it is India focused strategies. ETFs are a very small part of total. We have just now started to launch ETFs of several of our strategies. But AUM -wise, it's not very meaningful.

Sanja ya Satapathy - Participant:

So, will the number of schemes go up meaningfully over the next 1, 2 years for Motilal, and that will be the biggest -- one of the key drivers of growth?

Prateek Agrawal - MD and CEO, Asset Management:

As we understand, on the mutual fund side, people look at various cohorts, which have been decided by industry participants and investors allocate money. As of today, w e are not there in a few cohorts. We will be there as the year goes by. On the thematic s ide, we have just started the journey. If we see some of the larger houses, they have 10 to 11 thematics. We just have got 2. We have a very tight launch calendar frankly. You would see us cover a lot of ground on the active side and also on the passive si de. Every month, one should expect us to launch a new fund broadly speaking.

Sanjaya Satapathy - Participant:

Understood. So, I don't want to kind of sound -- give any value judgment, but any publicity is good publicity as they say and hoping that the con trols, etcetera, that we saw throughout last one month, you'll leverage it positively. Wish you all the best.

Prateek Agrawal - MD and CEO, Asset Management:

Thank you.

Moderator:

Thank you. Next question is from Mahek from Emkay. Please go ahead.

Mahek - Participant:

Just one question from my side. If I look at the private wealth business, the employee cost has gone up significantly on a sequential basis. So just wanted to know, is it largely on account of the RM addition or is there anything else there?

Ashish Shanker - CEO of Private Wealth Management:

As dictated in our presentation, we continue to invest in senior talent to grow the ultra -HNI and family office business as well as wealth managers. Typically, as explained in the earlier calls as well, the productivity comes in as the vintage grows.

Mahek - Participant:

Thank you.

Moderator:

Thank you very much. Due to time constraints, we'll have to take that as the last question. I will now hand the conference back to Mr. Shalibhadra Shah for closing comments.

Shalibhadra Shah - CFO:

On behalf of Motilal Oswal Financial Services, I would like to thank every participant for attending the concall. In case of any further queries, please do get in touch with our Investor Relations Desk or me. Thank you, and have a good day.

Moderator:

Thank you very much. With that, we conclude today's conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

May 06 , 2025

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated April 21, 2025 regarding Intimation of Earnings Conference Call (“Con-Call”) with Investor(s)/Analyst(s) on April 28 , 2025 to discuss financial performance for Q 4 FY 2024 -25.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations a nd Disclosure Requirements) Regulations, 2015 (“Listing Regulations ”) (as amended from time to time), please find enclosed herewith the Transcript of the said Con -Call for your reference.

The aforesaid Transcript of the said Con -Call is made available on the Company ’s website i.e https://www.motilaloswalgroup.com/Downirvirdir/1134452945Q4FY25.pdf

Further, we hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the said Con -Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer

Motilal Oswal Financial Services Limited
Q4FY25 Earnings Call Transcript

This document is a transcription of the conference call conducted on 28thApril 2025. Click here to listen to the original audio.
Manish Kayal - Head Investor Relations:

Good afternoon, everyone, and a warm welcome to all the participants to Motilal Oswal Financial Services Limited earnings call to discuss the results for Q4 and full year FY25 . We hope that you had an opportunity to go through our investor deck and the pre ss release uploaded on the stock exchanges and our website on Friday. We have also uploaded the detailed excel data book on our website that has all the operational and financial numbers.

Before we proceed with this call, please note that today's discussion may include forward -looking statement s. These statements are based on current analysis and anticipation of the management. Actual results may vary and are subj ect to risks and uncertainties. We encourage you to consider these factors when evalua ting our performance.

On today's call, the company is represented by :

Mr. Motilal Oswal, Managing Director and CEO
Mr. Navin Agarwal, Group Managing Director
Mr. Ajay Menon, CEO , Wealth Management
Mr. Prateek Agrawal, MD and CEO, Asset Management
Mr. As hish Shanker, CEO , Private Wealth Management
Mr. Sukesh Bhowal, CEO , Housing Finance
Mr. Shalibhadra Shah , Chief Financial Officer
Mr. Sanchit Suneja, Group Chief Strategy Officer.

We'll start this call with an opening remark by Navin, and then we'll have a Q&A session.

Over to you, Navin.

Navin Agarwal , Group Managing Director:
Good afternoon, everyone. It is my pleasure to welcome all of you once again to our earnings call for the quarter and the year ended March '25 to discuss our company and the overall group's performance.

Key Financial and Operational Highlights
Let me sta rt by providing you a quick snapshot of the year at a group level and then highlight segment -wise performance of each of our businesses and conclude by giving you a broader outlook of where we think we are heading.

Full Year FY25 Performance

• Starting with the full year performance, FY25 has been a very robust year. The group has witnessed market share gains across all capital market businesses, which I'll highlight in the business section. During the year, we have strengthened our moats by inv esting further in research, talent, technology, brand and infrastructure to be future -ready.
• The str

ong business profitability and ROE affords us the luxury to make these significant investments, while continuing to report strong profit growth and return on equity. Our focus continues to increase our share of fee -based and trail-based revenues.
• We've crossed a major milestone by servicing more than 12 million customers, comprising of 7.8 million unique mutual fund folios and over 4.8 million unique broking accounts. Our operating revenue for the year stood at Rs. 5,161 crores , the first time we've crossed the Rs. 5,000 crores mark, up by 31%. And our operating profit crossed the mark of Rs. 2,000 crores to Rs. 2,016 crores, again up by 31% YoY.
• I want to highlight here that our decadal operating profit compounded growth is superior and is an industry best at 31%.
• For the fourth quarter, our operating revenue stood at Rs. 1,311 crores, up by 8% YoY, and operating profit stood at Rs. 519 crores, u p by 3% on YoY.
• Our assets under advice crossed Rs. 5.5 lakh crores mark, up by 33% YoY. Our annual recurring revenue as a percentage of total net revenue grew to 56% at the end of FY 25. Our fee -based revenue contribution to our total revenues increased from 31% same time last year to 37% now.
• We closed the year with a record net worth of Rs. 11,079 crores, up by 27% YoY. Our ROE stands at 25% for FY25 and these are not one -offs. I want to repeat that our decadal net worth CAGR after consistentl y paying out over 20% of our profits as dividends and doing 3 buybacks since listing is a very robust

24% net worth CAGR without raising any external capital. And the decadal average return on equity is at 22%.

Segmental Performance

Turning now to our segmental performance, starting with the Wealth Management business.

Wealth Management Business

• Our Wealth Management business continued its growth momentum. But as I highlighted earlier, we have a laser -sharp focus on growing our dis tribution business alongsid e the Broking Business as well.
• This is reflected in our FY25 growth wherein our net flows grew 3x to over Rs. 10,279 crores in FY25 on a YoY basis. Consequently, the book grew from Rs. 23,715 crores as of Mar '24 to over Rs. 31,551 crores in Ma r'25, up by 33% YoY. And its contribution to the total revenues, which was 11% in the last year, moved up to 19% in FY25.
• Our cross -sell ratios leave a lot of headroom for us to improve this number and we have made substan tial investments in manpower to drive this growth. And we would like to believe that the share of distribution in the total revenues of this business should continue to inch up like they went up from 11% in FY24 to 19% in FY25.
• Turning to our Brokerage bus iness , our retail cash broking ADTO was up by 36% on a YoY basis to Rs. 3,599 crores during FY2 5. Our cash volume market share was at 7.6% in FY25 compared to 7.4% in FY24 . This number has been consistently going up during the course of the last 5 years, and you've seen an explosion in the Demat accounts. In this context, our market share was at 5.6% in FY21.
• Our F&O premium market share stands at 8.5% in FY25 vs 8.0% in FY24. Our overall ADTO market share grew to 8.1% in FY25 vs 7.9% in FY24. So, every single line item within the brokerage volumes have seen an expansion in market share, both on a YoY basis, as well as over a 5 -year basis. Q4FY25 witnessed cash volume declin e due to market corrections, which i mpacted our brokerage revenues.
• We also saw implementation of new F&O regulations, which we believe will only strengthen the competitive position of Motilal Oswal as a full -service broker in the marketplace.
• Third part of the Wealth Management business is the net interest income, which grew by 37% YoY due to higher lending book, as well as improvement in spreads from 5.9% in FY24 to 6.5% in FY25 .

Asset and Private Wealth Management

Business

• The AMC business continued its strong momentum during the year with market share gains driven by strong investment performance. Coupled with expansion in our distribution presence, our gross flows grew by 290% YoY in FY25 to Rs. 68,00 7 crores.
• We are confident that with the current run rate of flows that we've seen in the months of February, March and the early trends in the month of April, our AUM market share could continue to rise in FY26 over the exiting FY25 numbers. This is despite the fac t that we are starting off on a base of Rs. 1.23 lakh crores of AUM.
• In terms of net flows of the asset management business, it grew multi -fold from Rs. 5,191 crores FY24 to Rs. 48,450 crores , increased by 10x in FY25 , mainly due to outperformance wherein 90% of the AUM that we manage for our clients performed better than the benchmark over the course of the past 12 months. And even over the course of the last 3 years, a substantial part of our AUM has beaten the benchmark by a health y margin.
• On SIPs, we've added 51 lakh SIPs in FY25 . Our SIP flow for FY25 stood at Rs. 9,256 crores. This grew by 3x in FY25 over FY24 , resulting in an AUM of SIP book

of Rs. 20,481 crores as of Mar'25.
• Our alternate s AUM grew by 23% to Rs. 28,285 crores as of Mar'25. We are now among the top players even in alternate flows, led by strong investment performance.
• Our PE business is among the very few domestic PE’s with strong IRRs over the last 18 years across the 4 gro wth funds that we manage. We have recently received the SEBI approval to launch our fifth private equity fund, wherein we are targeting to raise at least $900 million, which is 2x the size of our Fund IV.
• Our past funds have delivered strong IRR and we expect the momentum to continue in our private equity business. This business has a fee -earning AUM of Rs. 9,890 crores across growth capital funds and real estate funds. The market value of these funds stands at Rs. 17,882 crores. We expect substantial amounts of carry on these funds across the 4 growth capital funds and the 5 real estate funds to be realized over the course of the life of these funds.
• Turning to our Private Wealth Management business. During FY25 , we focused on senior hirings to further strengthen our leadership position. These efforts enhance our UHNI and family office proposition and positions us well to emerge as a leading player in the Private Wealth Managemen t business in the coming years.
• Our current RM strength is 595, and we expect improvement in RM productivity as only 33% of this RM base has a vintage of over 3 -plus years,

which is a time period required to turn profitable. We believe Private Wealth Management business will contribute larger share of profitability for the group in the coming years due to higher growth as we continue to penetrate more customers with differentiated products a nd services that the clients demand in this segment.

Capital Market Business

• Our institutional equities business continues to increase research coverage as it is a fulcrum of the group. We have a strong team of 140 + employees covering 300 + companies in 24 sectors. We cover 73% of the market cap and service 880 + domestic and overseas institutional clients.
• Turning to our Investment Banking business. This business had a very strong year. We successfully completed 39 de als, with a cumulative issuance of Rs. 51,000 crores last year. We were ranked #1 in QIP league tables and ranked #3 in terms of the total number of IPOs filed last year.
• We've strengthened our team over the past few quarters across both these businesses. We continue to increase research coverage in IE . Our IB pipeline is more than 2x the revenues that we booked in FY25 , providing us reasonably strong visibility of growth in this business, notwithstanding the recent volatility that we've seen in the

market.

Housing Finance Business

• This business too had a strong year. Our Sales RM force increased to 1,329, up by nearly 40% YoY. Our disbursements grew by 78% to Rs. 1,794 crores. This resulted in the business achieving an AUM of Rs. 4,878 crores, which is up by 20%.
• We believe strongly that we have all the building blocks in place for the next 2 to 3 years of reasonably strong growth in our AUM and profitability as we start converting the RM base that we've added to increase productivity.
• Our GNPAs and NNPAs are at 0 .8% and 0.4% respectively as of Mar'25 .
• With a team in place, a strong capital adequacy ratio with internal accruals that are available to be redeployed and a potential upgrade in the group's rating, bringing down the cost of funds further, we believe that this business is very well poised.

Treasury Investments Business

• Our total equity investments, including alternatives grew by Rs. 7,730 crores as of Mar'25, which is up by 26%. This investment has delivered a healthy XIRR over the life of the investments of nearly 18% and including the investment of

cash flows , the treasury investments have grown by 42% compounded over the course of the last decade.
• We have highlighted that this growth in the coming decade should be similar and not dramatically different. We believe that our treasury investments will continue to deliver strong IRRs over longer term and also provide cushion to our oper ating business growth and reduce our need to raise external equity. In the last decade, the contribution of treasury PAT to our net worth has been 20%. While operating profits continue to compound at robust rates, I dare to make a forecast that the next de cade's contribution of mark -to-market profits on treasury to our net worth could far outstrip the contribution of operating profit itself due to the magic of compounding.

Outlook and Concluding Remarks

• As you can see with strong growth drivers for all our businesses, which I highlighted, we believe that the Motilal Oswal Group is very well placed to benefit from financialization theme, which is a long -term mega trend. This trend is expected to play out over several decades, especially in India and given the low penetration of investment products and services, we believe that we are well poised.
• These structural drivers position us to benefit from a projected 10x increase in cumulative household savings from USD 14 trillion over the last 25 years to over USD 125 trillion in the next 25 years, coupled with higher share of financial savings, rising allocation to equities and alternatives, and increased concentration of wealth.
• All our capital market businesses, including Wealth Management, Asset Management, Private Wealth, Alternatives, Institutional Equities and Investment Banking already hold leading market positions, but many of them still have a lot of headroom to further increase the market salience and market share.
• With these strong tailwinds, we are confident of continuing to deliver strong profitability growth just as we have in the past, while maintaining a consistent dividend payout.

We'll now open the floor for Q&A. Thank you.

Moderator:

Thank you very much. The first question is from the line of Vivek Ramakrishnan from DSP Mutual Fund. Please go ahead.

Vivek Ramakrishnan -Participant:

The questions are in your loan against share and margin trading funding, I just wanted to know the size of the book and what kind of gearing you use in those companies? And the second question is common for both the home loan business, as well as this LAS book. With the falling interest rates, do you expect margin expansion, especially in the LAS book? And how do you expect the interest rate transmission to happen in the home loan book? Those are my questions.

Shalibhadra Shah - CFO:

The

book size total on the lending , on both MTF and loan against securities is Rs. 7,257 crores , of which, MTF is around Rs. 5,000 crores and rest is loan against securities. Our gearing (ex of Motilal Home Finance) stands at 1x .

Vivek Ramakrishnan - Participant :

My next question is that the interest rates have come down. So, both loan against share s and MTF book, as well as in your home loan book, how will the interest rate declines get transmitted? And do you expect margin expansion where you'll hold a little bit better margins because you had a margin squeeze, especially in the LAS book when the interest rates went up.

Shalibhadra Shah - CFO:

Our incremental cost of funds is now 50 b ps lower than the overall cost currently. We are already seeing the positive impact of favourable rate cycle coming to us on both of the lending business , whether it is on the margin trade finance segment or on the housing finance. To that extent, we will se e the improvement of spreads and margins in the coming periods.

Moderator:

The next question is from the line of Uday Pai from Investec.

Uday Pai - Participant:

I just had a couple of question s. First one is that for the last 2 quarters, we have seen cash market share coming down significantly. I remember in the last call, you mentioned that your customers tend to trade lower in a volatile market. Can you give some more color on this phenomenon ? Why are you losing market share in the cash segment specifically? That's the first.

And secondly, on the disbursement run rate in HFC, is there a one -off in this quarter? Or do we see similar kind of run rate going forward? Those are the 2 questions.

Shalibhadra Shah - CFO:

We have been continuously increasing our market share, if you look at the overall trend in the last 2 to 3 years. This blip which we have seen in this quarter is mainly because of a market fall where, ours being advisory model, advisors are also a little c autious with the investors and typically when we see this kind of trend, there can be a blip in the quarterly market share. We feel with the quality of advice and the quality of investors where we focus more, our market share strategy will always be on the growth phase . Also note that our FY25, overall market share is up. Coming to the housing finance disbursement , our rate of disbursement has been growing every quarter and for the full year FY25 , its up by 78% over FY24 . And we had already guided that our AUM is expected to grow at 20% in FY25 , and that's what we have achieved in FY25 . Going forward , with higher RM base , the disbursement run rate will only increase further .

Moderator:

The next question is from the line of Mahek from Emkay Global.

Mahek - Participant:

A couple of questions. So first is on the Wealth Management business. So, if I look at the distribution income, the QoQ revenue growth remains substantially high as compared to the flat asset growth. So, I just wanted to understand if this strong growth in the distribution income is likely led by the insurance products.

Second is on the Private Wealth Management business . So, if you look at Q4FY25 , the performance has not been that great, if I compare it on a QoQ basis. The distribution revenue is down 30%, while the PAT is down 23%. So just wanted to understand what was drivin g this weak performance for the Private Wealth Management business?

And lastly, at the consolidated level, if I look at the employee cost, the employee cost has grown for the first 3 quarters of the year from Rs. 387 crores to Rs. 453 crores in Q3 FY25 . So, just wanted to understand, what resulted in the decline in the employee cost in Q4FY25 to Rs. 420 crores ?

Shalibhadra Shah - CFO:

We have been continuously talking about our increasing focus on the distribution business. Net flows are almo

st 3x on a full year basis and
distribution assets have also grown by 33% on a YoY basis, which has led to surge in the distribution revenues. Even in Q4FY25 , the distribution revenues have grown on acc ount of a couple of reasons. First is on account of ARR revenues. Secondly, as far as the composition of the transaction -driven revenues, it includes secondary market transactions insurance revenues, etc apart from brokerage revenues . It also represents hi gher transactions in Insurance segment . Distribution revenues on a YoY basis have more than doubled. and this is the result of our laser sharp focus on enhancing distribution business and putting in dedicated team in place.

Coming to the Private Wealth segment on the distribution revenues. Last quarter Q3FY25 , transaction revenues included larger set of transactions on the co -investment space where there was a lumpy revenue of transactions which has normalized in Q4FY25 . We have seen the impact of that resulting in reduction in the transaction revenues in Q4FY25 . However, overall, this business has also grown both on ARR and transaction revenues on a YoY basis, resulting in the strong base of the opening ARR assets building in the next year's growth.

On the employee cost front at the consolidated level, in the fir st 3 quarters of the year , we had provided for the variable employee cost factoring overall robust operating performance 9MFY25 . Q4FY25 people cost includes some bit of marginal reversal in the variable numbers factoring the overall actual performance for Q4FY25 . And that is one of the reasons you'd see the overall employee cost lower in Q4FY25 than the earlier quarters. However, people cost to revenue has been flat YOY at 33% on a full year basis.

Moderator:

The next question is from the line of Shreyas Pimple from JM Financial.

Shreyas Pimple - Participant:

Yes. So, my question was in the AMC business. If you look at mutual fund AUM on closing basis and average basis, the mutual fund AUM on closing basis has gone down, while on average basis, it has gone up. So, do you expect going ahead the average AUM also coming d own in Q1, Q2?

Mr. Prateek Agrawal, MD and CEO, Asset Management

Lot of this is in terms of how the markets have moved , we got a bad Jan and Feb while the closing March was better . It's to do with how markets have moved. Now from March end AUM, if April is positive, then you should expect accordingly and vice versa.

Navin Agarwal - Group Managing Director:

Just to add, our current AUM is now nearly lifetime high. It's about 2% short of that and we guided that our market share in net sales continue to improve. While the overall industry flows are lower, we'll still continue to have reasonable market share out of those lower volume , the absolute numbers still continue to add to the monthly AUM.

Moderator:
The next question is from the line of Rohan Advant from Prad Capital .

Rohan Advant - Participant :

Sir, most of my questions have been answered. Just on the broking revenue front, we've reported Rs. 288 crores in this quarter. Has all the impact of the rule changes been reflected for the full quarter or there is any further tailwind that remains to be factored into the book revenue line item?

Shalibhadra Shah - CFO:

Brokerage revenue for the quarter is already factoring the full impact of the regulatory changes, which have come especially on the F&O side of the business.

Navin Agarwal - Group Managing Director:

Moreover , market volatility accompanying these regulatory changes over the course of the last 5 months ending March and the impact of that on both F&O as well as cash volumes. All of these bundled together happening in a space of 4 to 5 months.

Rohan Advant - Participant :

Understood. And sir, just one question as a follow -up on the dis

tribution
revenue you reported under Wealth Management segment of Rs. 187 crores. If I relate it to the distribution AUM, it translate s to a 2.4% yield. So that seems very high relative to o ur past. And I get that you've added RMs and that's caused uptick. But what kind of a yield is more sustainable on this?

Shalibhadra Shah - CFO:

In distribution, our overall yields are 110 basis points for the year on ARR assets . If you're looking at the transaction revenues , the yield is to be looked at on the flows. We have seen substantial rise in the flows in the distribution business amounting to Rs 3,883 crores of net flows . At the same time, as I highlighted earlier that the impact in Q4FY25 was because of the revenues on the secondary market transactions on the private securities and as well as the insurance , where the yield is higher. So , because of that mix, Q4FY25 yield was higher overall to that extent.

Moderat or:

The next question is from the line of Nidhesh Jain from Investec.

Nidhesh Jain -Participant :

Sir, 2 questions. Firstly, on the Housing Finance, is there any update on our stance of demerging that entity or monetizing that stake in the Housing Finance business?

Second question is on, sir, on technology, et c. We are seeing significant changes on t he technol ogy side across all businesses , and I think financial service business will also be significantly chang ing over next 5 to 10 years because of the changes in technology. So how are we preparing for those

changes? How much investment we are making? What is the profile of our technology team ? Who is heading that team? How are you preparing for that?

Navin Agarwal - Group Managing Director:

As far as the Housing Finance business is concerned, we gave you a business update already. We are looking at continued strong growth, and we have a very strong leadership team in place. We have all the options open, whether it is in terms of stake monetiza tion, eventual IPO, et c., as we have articulated in the past. At this point in time, we don't have any update as of the last quarter on any of those, but we'll keep you posted as we have any updates in the current financial year.

Shalibhadra Shah - CFO :

On Technology, our Group CTO is Pankaj Purohit and he has been with us for last 22 years in the group . He's very well experienced, and we have an IT team of over 800 + people catering to all the group businesses. And if you look at our digital journey across each of the businesses, we are very well aligned to take care of the scalability t hrough the technology medium.

In terms of our tech spends also, we spend almost about 4.5% to 5% of our net revenues on technology, and this number is growing. Over l ast year, this number is up almost 100 b ps. Even in the current financial year, we have a very strong IT budget, which we keep spending to scale up our businesses, including security and all. So that's how we are well positioned for our scalability through the digital means as well.

Navin Agarwal - Group Managing Director:

In fact, just to add, in the year ending Mar'25, three line items which have seen very strong growth which may not necessarily have its impact on the same financial year. As Shalibhadra mentioned, our technology cost is up by 100 basis points as a proportion of the revenues YoY. Same is the case with our marketing costs this year, subs tantially higher spend on that. And the third is the leadership strengthening that we've done both across business, as well as support functions. I think all 3 have led to giving away a lot of the operating leverage that a strong top line growth could have given us in the current year. So, we are hopeful that some of these investme nts will make a big difference in coming periods .

As I mentioned, the leadership positions includ ing Group Chief Strate

gy
Officer, the Chief Marketing Officer, the strengthening of the technology team in a big way. And even at the business level, several senior people have been hired.

Motilal Oswal - Managing Director and CEO:

We also have created few new positions in the technology as part of Pankaj's team. We have Group Head AI who has joined from a global firm. We also have a technology research team created separately for the first tim e.

And I think we have invested a lot into new technology to make sure that we maintain the edge. Our app “RiiSE” is one of the top rated. We have made sure that we remain one of the best in technology added by the best talent .

Nidhesh Jain -Participant :

Sure, sir. Just one more question, sir. If you look at the Wealth Management business, the share of our direct channel has been going up and the share of B2B is coming down. So, is there any difference that we are focusing more on direct channel vs the AP channel in that business?

Motilal Oswal - Managing Director and CEO:

We have no preference for direct vs indirect because indirect is a way to reach to the nooks and corners of the country, while direct branches will be only into large cities .

Moderator:

The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh - Participant :

A few questions from my side. First, on your Wealth Management and Private Wealth business separately, if you can give some color of the quality of the transactional revenue, not for fourth quarter, but maybe more on a steady - state basis, what's the mix between insurance, secondary market transactions, fixed income t ransactions some color on that? And how do you see the market activity levels incrementall y?

My second question is on the distribution of MF assets, both in Wealth Management and Private Wealth and especially in Wealth Management. On a closing basis, it seems that the mark -to-market movement is a little bit higher than the industry averages. So just wanted to get some sense of 2 things. One is, distributed assets a little bit more skewed towards SMID, small and mid -cap and also what is the share of your own AUM or in -house AUM within the distributed assets for both Wealth and Private Wealth?

And third question, while the overall flows might have been a little bit here and there over the last quarter, but in terms of new family additions on the Private Wealth side, you have done decently well. So, I wanted to get some color on incrementally, how are you seeing the pipeline of both fresh flows coming in from these newly acquired clients also new clients coming into the ecosystem on the Private Wealth side?

Navin Agarwal - Group Managing Director:

Thanks, Dipanjan. So basically, a few high -level trends that you may want to make note of. We have been guiding that our cross -sell ratios are quite low , particularly in the Wealth Management business and that there is a lot of headroom . This was something that we would have said 2 -3 years ago. And then , if you listen to the same concall last year, we highlighted to you that we have substantially augmented the team and the leadership for the distribution business. This was already an oppor tunity for us, but now we also have put a lot of resources behind this opportunity over th e course of the last

18 months. So FY25 , it is the first year of realization of those, but we believe that this can continue for multiple years. So that is one resour ce augmentation and tapping this opportunity, which was latent in the business.

The second thing that we had highlighted to you earlier is that we are a big believer in the rise of alternatives, while the mutual fund AUM continues to rise. So basically, we actively manage part of the wealth of India, which itself is expected to go up many fold. And within that, the share of alternates is ex

pected to continue to rise. Now what is happening in this process is that the yields on some of these prod ucts would be higher than the traditional products. The advent of secondary market in unlisted companies, which is a big phenomenon in many parts of the world, particularly in the U.S., is something that has also been rising in India. And you have more and more companies that are becoming relevant for people to start looking at ,

particularly the affluent and the high -net-worth individuals. So basically, it's a mix of both, a lot more effort, a lot more resources and how the market is evolving and how we are positioned overall within that market to tap this opportunity.

You will always see quarter -on-quarter volatility in these revenue streams, lumpiness of insurance in the fourth quarter, certain unlisted opportunities or co -investment opportunities spik ing up in a particular quarter. But directionally, if you ask me, FY25 was much bigger than FY24 . I have no reason to believe FY26 , FY27, FY28 will each be much bigger than the respective previous years because of these trends that are really unfolding.

Shalibhadra Shah - CFO:

As far as the captive AUM is concerned, on the Wealth Management, the captive AUM is 31% , and on the Private Wealth it is 10%.

Navin Agarwal - Group Managing Director:

As far as the mark -to-market of this AUM being higher than the peers, actually, “Think Equity, Think Motilal Oswal” is an important tagline for the group. While we are very upbeat on the share of fixed income in our overall AUM and where a lot of effort is being put like w e have a separate head for Fixed Income in our Private Wealth Management business and the Fixed Income AUM is also growing . But we are more indexed to equit y AUM. And as you see, in the last 5 years, 3 years have seen very strong performance of equity AUM vs the fixed income AUM. And hence, the mark -to-market on that equity AUM has also been higher than the peers.

Ashish Shanker, CEO, Private Wealth Management:

One more point. As regards to the number of families, we've grown the total relationships by 25% in FY25 over FY24 . And like Navin mentioned, the kind of products that we are launching allows us to get a foothold into the largest families in India. So , the quality of client addition has been significantly better than the previous years. And we expect it to be even bigger in the coming years.

Dipanjan Ghosh - Participant :

Just maybe if I can get 1 or 2 follow -ups. So, on the first question on the transactional revenue, I appreciate the efforts, but just wanted to get some sense of the mix in terms of in a normal year. I mean, I understand there will be volatilities, but would it be like a secondary market would be like 30% -40% of th e TBR or ma ybe insurance is like 10% -20%. So, if you can give some color on that?

And second, this is one question on the Private Wealth business and maybe I can recheck my calculations, but it seems that there has been some significant mark -to-market hit on the seed funding that you have done in that in terms of the manufacturing of al l the products. So, these are my last 2 questions.

Navin Agarwal - Group Managing Director:

As far as the mix of the distribution income is concerned, I mean, really, even if you anchor yourself to secondary being X , insurance being Y, trail being Z, broking being A, I think we see meaningful changes depending on how the market themselves behave on a year -to-year basis.

So really, I would say, at a broader level, the way I'd like to guide you is that at least for the Wealth Management part of the business, the distribution income should continue to grow strongly. And the overall Private Wealth business is highly under indexed in terms of how much gap there is between the leader and us. So, I think the headro

om to grow in that business is quite substantial. I know it doesn't answer your question about trying to get the exact split of the distribution income, which we've not shared in the past, but that mix itself may be quite volatile from a year -to-year basis.

Ashish Shanker, CEO, Private Wealth Management:

I think it's a function of markets as well, Jan and Feb were bad and like Navin mentioned that we are quite indexed to the equity market. So that's why from an AUM point of view, you do n't see the kind of growth that we probably got last Q4.

Moderator:

As there are no further questions from the participants, with that, I now hand the conference over to Mr. Shalibhadra Shah - CFO , for closing comments.

Shalibhadra Shah - CFO:

On behalf of Motilal Oswal Financial Services, I would like to thank every participant for attending the Q4 FY25 conference call. In case of any further queries, please do get in touch with our Investor Relations desk. Thank you, and have a good day.

Moderator:

Thank you. On behalf of Motilal Oswal Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Please contact ir@motilaloswal.com for any queries.

Call: Aug 2025

August 01 , 2025

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated July 18 , 2025 regarding Intimation of Earnings Conference Call ("Con-Call") with Investor(s)/Analyst(s) held on July 25, 2025 to discuss financial performance for Q 1 FY 202 5-26.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations ") (as amended from time to time), please find enclosed herewith the Transcript of the said Con -Call for your reference .

The aforesaid transcript of the said Con -Call is made available on the Company 's website i.e https://www.motilaloswalgroup.com/Downirvirdir/351842528Q1FY26.pdf

Further, we hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the said Con -Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer
Encl.: as above.

Motilal Oswal Financial Services Limited

Q1FY26 Earnings Call Transcript

This document is a transcription of the conference call conducted on 2 5thJuly 2025.
Click here to listen to the original audio.
For past recordings Link, transcripts Link, Investor Presentation Link Excel Data Book Link
Please contact ir@motilaloswal.com for any queries.

Manish Kayal - Head Investor Relations

Good afternoon, everyone. I'm Manish Kayal, Head - Investor Relations. I welcome all the participants on behalf of Motilal Oswal Financial Services Limited for you to take time out to attend our Q1FY26 earnings conference call. We hope that you had an opportunity to go through our investor deck and press release, which was uploaded yesterday on stock exchanges and on our website. We also have uploaded the Excel data book, which has historical operating and financial numbers. Please note that toda y's discussion may include some forward -looking statements, and these forward -looking statements are based on our macro assessment and actual outcome may vary.

With that, I'll introduce our management participating on this call:

Mr. Raamdeo Agarawal, Chairman
Mr. Motilal Oswal, Managing Director and CEO
Mr. Navin Agarwal, Group Managing Director
Mr. Ajay Menon, CEO , Wealth Management
Mr. Prateek Agrawal, MD and CEO, Asset Management
Mr. Ashish Shanker, CEO , Private Wealth Management
Mr. Sukesh Bhowal, CEO, Housing Finance
Mr. Shalibhadra Shah , Chief Financial Officer
Mr. Sanchit Suneja, Group Chief Strategy Officer

We'll start this call with an opening remark by Navin Agarwal, and then we'll have a Q&A session.

Over to you, Navin.

Navin Agarwal , Group Managing Director
Good afternoon, everyone. It is my pleasure to welcome all of you to our earnings call for the first quarter ending June 2025

Key Financial and Operational Highlights
Let me start by providing a quick snapshot of the quarter at the group level and then highlight segment -wise performance and finally conclude with the broader outlook of the overall group.

Q1FY26 Performance

■ The first quarter performance continues the momentum that we were witnessing in the past few years. It is the highest ever quarter in terms of our reported profit after tax at ■1,430 crores, which is up by 40% YoY.
■ Our operating profit after tax grew by 21% on a YoY basis to ■522 crores, mainly driven by our asset and private wealth businesses besides the capital market business. We crossed several mile

stones across our various businesses during this quarter.
■ AMC continued to gain market share, both in mutual funds and alternate segments and reached a major milestone of ■1.5 lakh crores of equity AUM.
■ Capital markets saw bigger deal pipeline, more deal executions, higher research coverage and the highest ever revenue s.
■ Housing finance business crossed a milestone of ■5,000 crores of AUM.

■ With more companies getting listed, the overall virtuous cycle benefits all of our businesses. In our Chairman’s statement of our FY25 Annual Report, we highlighted that there is a po tential of another ■ 150 trillion Market Cap which can be created if the large Unlisted companies goes public, which in turn is a big opportunity for all our businesses. This, apart from financialization of savings is a megatrend, which will continue to ser ve as a tailwind for all our businesses.
■ Our focus in the interim continues to increase share of our fee -based and trail-based revenues, which will be driven by the asset management business, the private wealth business, the distribution business and the l ending book growth.

Turning to the broader numbers:

■ During the quarter, we have crossed a major milestone by servicing more than 13.6 million customers, comprising 8.6 million + unique mutual fund portfolios

and 5 million + unique broking accounts.
■ Our assets under advice crossed ■6.5 lakh crores, growing by 28% YoY.
■ Annual recurring revenues as a percentage of net revenue now stands at 52% in Q1FY26.
■ Our fee-based revenue contribution to total revenues increased to 44%.
■ Net worth increased by 28% YoY to ■12,537 crores. ROE stands at 48% for the Q1FY26 (annualised) . Our decadal net worth has compounded at 24% after paying out dividends consistently & doing 3 buybacks , and our decadal average return on equity is over 22%.

Segmental Performance

Turning now to our segmental performance, starting with the Wealth Management business.

Wealth Management Business

■ Our broking business continues to retain its leadership as a full -service broker.
■ Our retail cash broking volumes (ADTO), at ■3,179 crores in Q1FY26 implies a cash volume market share of a robust 7.1%. Our F&O premium market share stood at 7.9%.
■ Total ADTO market share stands at 7.5%. We believe we are the largest broker in the cash se gment.
■ Over a long -term trend, our broking revenue contribution to total segmental revenues declined almost half from over 60% back in FY21 to just about 34% in Q1FY26. This happened due to greater focus on growing our distribution business, reflected in n et flows, which increased many folds to ■3,042 crores in Q1FY26.
■ Consequently, the distribution book grew by 34% compounded from ■11,032 crores in March'21 to ■38,129 crores in June'25 and the contribution to total revenues from segment increased from 12% in FY21 to 24% in Q1FY26. We intend to further increase the revenue share of the distribution business within our overall Wealth Management business and believe that the share of broking revenues will continue to diminish as a proportion of the overall Wea lth Management business, like we've seen in our global counterparts over the last several years.
■ The third part of the Wealth Management business is the NII, which grew by 12% YoY due to improvement in spreads.

Asset and Private Wealth Management Business

■ The AMC business continued its momentum with market share gains driven by continued strong investment performance. As mentioned earlier, we crossed a milestone of ■1.5 lakh crores of equity AUM. Coupled with increasing distribution presence, gross flows in the first quarter witnessed a growth of 59% YoY to ■14,568 crores. Our current AUM stands at ■1.51 lakh crores, which compares with an average AUM of ~■1.35 lakh crores in Q1FY26 and an average AUM of ~■1 lakh crore in FY25. So, we stand at over 50% hig

her AUM as we speak
compared to the average of last year.

■ We believe that continued strong market shares, both in the mutual fund and the alternate segment, closing in of the product gaps should all serve as a strong driver to our profit growth in the comi ng quarters as well.
■ The net flows of the Asset Management business grew from ■5,317 crores in Q1FY25 to ■8,469 crores in Q1FY26. 92% of the AUM outperformed their respective benchmarks in past 12 months.
■ We added 14 lakh SIPs in the first quarter. Our SIP flows in the first quarter stands at ■3,437 crores. Happy to report that our monthly run rate of SIPs for the month of June crossed ■1,200 crores.
■ Our SIP AUM book stands at ■26,051 crores as of June '25. Alternate AUM also registered a strong growth a t 29% to ■33,810 crores. Contribution of AMC in total profits of MOFSL has risen meaningfully in the last 2 years. And based on the current trends, we believe that this year also should mark a substantial

increase in that share.
■ Our PE business is amongst the very few domestic PE business, with strong IRR across all the 4 funds that we have launched ever since our inception back in 2007. We also launched our fifth private equity fund with a target size of ■8,000 crores and completed our first close in a sho rt spell of less than 2 months, crossing 80% of the target fundraise. This is the fastest mobilization of funds done by this business.
■ We also announced the final close of our real estate Series VI. Happy to share with you that we are the only player in th is segment, which is at Series VI of a real estate fund.
■ Private equity business currently has a fee -earning AUM of ■10,185 crores. A substantial amount of carry, as we have guided in the past, will be realized at the fund close in the near future.
■ With the launch of private credit vertical, we now address a higher TAM of customers for alternate funds. This will also accelerate the scale -up of the business in the next 5 years as existing products raise larger sums of capital in every subsequent series and n ew product launches increase our bouquet of offerings.
■ Turning to our Private Wealth Management business, momentum continue to be quite strong on top of a very strong FY25 that we had reported. In Q1FY26, we had a top line growth of 53% and with continued investments in manpower, our bottom-line growth was a robust 49%.
■ Our UHNI and Family Office propositions , position us well to emerge as a leading player in the Private Wealth Management space over the next 2 to 3 years. This is supported by experienced le adership as well as strong group synergies.
■ Our current relationship manager base is at 615, and we expect improvement in the RM productivity as only 33% of our RMs have a vintage of over 3 years.
■ The share of Private Wealth business increased both in FY25 as well as in Q1FY26. We expect this trend of faster growth led by higher RM base, more comprehensive proposition straddling UHNI as well as the HNI segments and several new offerings to continue going forward . We expect the share of private wealth in our total profits to also rise in the coming quarters and years.

Capital Market Business

■ During the first quarter, we reported the highest -ever revenues for this business on the back of strong deal flows in the previous quarters and strong execution during the current quarter.
■ The IE business continues to increase research coverage as its fulcrum for the group. We have a strong team of 150+ employees in this business. The coverage of the research team is at 320 companies across 25 sectors, ~73% of the marke t cap, and we service 890+ domestic and overseas institutional clients.
■ FY25 was a very strong year for the investment banking business, with doubling of revenues, and that momentum has continued into Q1FY26. We completed 16 deals during the quarter, cumul ative issue size o

f over ■29,500 crores, and our fee income delivered a robust 89% growth YoY.
■ Our IB business was ranked number 3 in number of IPOs executed, number 5 in terms of the value of IPOs. This is a sharp improvement from rank 12 and rank 21, respectively, in the last year.
■ We continue to top the QIP league tables for the first quarter in terms of number of issues. As you know, we were number 1 in FY25 as well. We've

strengthened our team over the past few quarters across both of these businesses and continue to increase our research coverage in IE & our IB deal pipeline is the most robust that we've ever seen.

Housing Finance Business

■ We crossed the milestone of ■5,000 crores AUM, up 22% YoY, led by sales RM force increasing to 1,430 RMs, up 50% YoY, which in turn led to disbursement growth of 57% to nearly ■400 crores during the quarter.

■ Our gross and net NPA stands at 1.2% and 0.6%, respectively.
■ We expect housing finance AUM to double in the next 2 to 3 years. Our business has a strong capital adequacy ratio and low leverage, giving us enough growth levers without any external equity capital dependency .

Treasury Investments Business

■ Our total investments, including alternatives, grew to ■8,853 crores, up by 26% YoY. This book has delivered a robust XIRR compounded return of over 20% since inception and including reinvestment of cash flows, treasury investments have grown by 43% compounded over the last decade, implying it's up by more than 50x over the course of the last decade.
■ We expect similar multiplier impact on the current book over the next decade, given the strong ROE of the operating businesses, a clearly defined payout policy on our operating profits and expected investment IRR.

Outlook and Concluding Remarks

■ MOFSL's net worth has grown nearly 10x between March 2015 and June '25 to ■12,537 crores, led by average return on equity of over 22%, average payout on operating profits of nearly 20%. We expect similar multiple over the next decade on the starting net worth due to the unique twin business model, which is explained once again in our earnings PPT.
■ We are strengthening all the 5Ts: Technology, Talent, Training, Trust and Thinking big. Runway for growth is immense with strong double -digit growth expected in each of our businesses. Market leaders in many of our businesses are about 5 -10 times our profits and AUM. We are focused on outgrowing the markets in each of these businesses, implying a strong and a big runway for growth for the group.

We'll now open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh - Participant:

A great set of performance across most of the segments, yet I will kind of try to focus on areas where I have some concerns . Your wealth management performance is good , but there has been a shift. Your distribution efforts are paying off and distribution has made up for anything that was kind of lost towards the brokerage or transaction revenue. Now here, given the kind of your pivot over the last few years going more towards a holistic wealth management for the mass affluent than really looking for transaction, Will this directional shift with this transactional or broking revenue going down and distribution continue to inch up, will it continue? Or slowdown in the transactional or brokerage revenue in this quarter gone by is more a market - driven phenomena. So that's question one.

Second is on housing finance. In the past, you have stated that your strategy going forward. But importantly the business this quarter seems to be not on very, very strong footing, some bit of an increase in credit cost and also some asset quality concerns are emerging. So, what is happening there? And what is the kind of s trategic path ahead for that business?

And t

hirdly, as we sort of speak based on whatever the kind of a pipeline, how is the year looking forward for the capital markets segment, particularly from the deal’s perspective? Because that is one segment where typically, a lot of

revenues are kind of transactional in nature and there is volatility. Some bit of a directional guidance on that deal pipeline will help us in terms of kind of estimating the numbers.

Navin Agarwal, Group Managing Director :

Avinash, t hank you for all your questions. Let me answer them in the reverse order. Starting with the capital markets business. We've seen a record performance in the last year. First quarter of this year has started on a very strong note. The initial deal execution for the second quarter of Motilal Oswal are quite publicly available.

I think there are 4 IPOs closing in a space of 2 weeks' time that we are managing. We continue to be the leader in deal pipeline on the QIP front. Given the pipeline, I have no reason to believe that the coming quarters will be any weaker than the first quarter that we've reported, which has itself been a very robust quarter. So that's on the capital markets business.

I'll come to the first question, and then Ajay can probably add as well. The trend of rising distribution income is something that we called out almost over 5 years back, and we have been sharing this metric year after year and quarter after quarter with you.

The cross -sell ratios continue to remain quite low and there' s an annuity nature of build-up of the distribution business unlike the transaction business , with higher cross -sell. We had explained this and I'll reiterate just for a minute. We now have a separate head for third-party products. Below him, he has 600 to 700 members strong team with regional heads. So rather than the existing broking RMs cross -selling third -party products, we now have dedicated team supplementing or supporting them. With the advent of account aggregator, I would only like to believe that this cross -sell ratio can multiply from here. There's a lot for us to learn from the global counterparts, but suffice it to say that this is a long runway.

The other part that you must also not ignore is the NII part of the business, which has also been rising. We believe that we are quite under -indexed as far as the MTF book is concerned compared to our own market share in the F&O as well as the cash market, which stands at 7.5%. We are focused on that part a nd that is set to grow.

We've explained that the broking business is hinged on greater retail participation, which we believe still can grow 3 -4 times from here over the next couple of decades. The runway there is strong. All 3 parts have a strong runway, but we would like to believe that both distribution and NII can outgrow the broking business in the coming years.

You talked about the first quarter strong distribution income. I highlighted during our fourth quarter con -call, and I repeat that the distribution income will have seasonality. As you know, the fourth quarter is the lumpiest on the insurance side. As far as some of the other line items in the distribution business is concerned, they too could be lumpy on a QoQ basis. The steadiest part is obviously the trail income, which only moves along with the mark -to-market and the net new money that we add to the dis tribution book, which stands at nearly ■40,000 crores right now. So those are the various elements.

Ajay Menon, CEO, Wealth Management:

I think Navin covered all the aspects in detail. As we know that the distribution AUM is still very small in the overall scheme of things when you look at our DP holdings we have got ~■3 lakh crores of assets. Distribution AUM is just around ■40,000 crores. We have a huge room to grow from her e.

At the same time, if we look at our broking business , through franchisee channel we have a

huge scope. But that doesn't stop us from building on the distribution AUM. In the last few years, we have consistently seen steady growth in the AUM business.

As Navin said, we are investing in a big way in terms of people, technology and building an overall trail -based book, which will be over and above the broking business growth.

Shalibhadra Shah - CFO:

On the housing finance question, over the last few years we have built very robust asset quality in this business. If you look at the new book that we have built over the last few years, which is almost about 70% of our AUM, the GNPA number on that book is only 0.6% . While overall GNPA number on a sequential basis is a bit increased, but that's also because of the seasonal nature of collections in the first quarter of every year, where you will see marginal slippage being higher.

Our net NPA provisions cov erage ratio stands pretty strong. We expect meaningful recovery of this GNPA number in the coming quarters. Overall, I think 1+, 30+ DPD if you compare on a YoY basis, all are lower. So that's how we are looking at the overall asset quality.

Moderator: The next question is from the line of Ashish Kumar from Ampersand Capital Investment Advisors

Ashish Kumar - Participant:

I have 2 questions. First, there has been a sharp increase in our employee expenses this quarter, 34% YoY and 23% QoQ. What is the reason for this? And how we should look at it in the coming quarters?

And second question is in the Asset and Private Wealth Management, we have seen strong growth on YoY basis. But on QoQ, it is kind of muted. So, if you can give some more color on this, it would be helpful.

Shalibhadra Shah - CFO:

Coming to the people cost number , if you look at last 18 months, we have been continuously adding more senior talent across each of our business . The senior hires over the last 18 months have been 450+ . Secondly, it also includes the impact of the increment which has happened on a YoY basis because Q1 generally reflects the full impact of the increments that we have in effect from 1st April of this year.

Overall, given the strong performance of this quarter, the variable amount has been provided for to fully capture the growth for this quarter. That is why you would see that there is a marginal increase in the people cost to revenue ratio. But our margins have been very strong and stable at a ~50% PBT margin if you look at the overall last financial year and even the Q1FY26.

Navin Agarwal, Group Managing Director :

With respect to Private wealth business If you see there has been a very substantial ramp -up in the H2 and Q4 of last year. As I mentioned, the Q4 is seasonally the strongest quarter for certain products and all of this has led to a very strong growth last year as well. This year again we have a robust 50% top line and bottom -line growth in this business.

We are seeing very strong tailwinds for this business and expect this business to continue to perform strongly in the coming quarters of the year as well. As I guided, this business is very under -indexed in terms of the headroom to grow. If you benchmark us to the market leader, you will see that there is almost 8 x - 10x that is possible in this business and that's why we have been investing.

I have guided in the past that almost 10% EBITDA margin sacrifices on the back of strong RM hiring, where only 33% of the RM base is of a vintage greater than 3 years. We see all of this continuing to serve as strong tailwinds and the headroom . Also, with the investments that we are making in the RM base , the growth will continue to be strong in the coming quarters as well.

Shalibhadra Shah - CFO:

On the question of QoQ revenue growth on our Asset and Private Wealth business, Q4FY25 included the carry income. The revenue increase in comparison to the AUM, will be

lesser in Q1FY26 because of the impact of the carry income included in Q4FY25 in our asset and private wealth business .

Ashish Kumar - Participant :

Just on the employee expense, if you can give some guidance for full year in terms of either percentage of sales or growth, it would be helpful.

Navin Agarwal, Group Managing Director :

As far as the percentage of the revenue is concerned, you should assume that it will be at a similar level as the last year.

Moderator: The next question is from Hitesh Arora from Abakkus Asset Managers.

Hitesh Arora - Participant:

I wanted to get a better understanding on the PWM business. So, we've talked about the relationship manager's vintage, employee expenses, etc. But on the client side, if you could elaborate what is happening? How many relationships have we expanded, mature d, things like that or some interesting transactions that maybe we may be working on like we executed last year, if you could just elaborate a bit on that just to improve our understanding of the business of the PWM side?

Ashish Shanker, CEO, Private Weal th Management:

From a PWM side, last year, same time, we had ~13,400 families and today, we have ~16,600 families. We've seen strong growth in terms of addition of families, and this is across the board, whether it is HNI families or UHNI & family offices.

Like Navin mentioned earlier, we are still quite underpenetrated across the board. In the HNI business, it's more about coverage, adding talent across the country. Similarly, in the UHNI & family office business, we are very underpenetrated in te rms of our share of wallet. There is a lot of headroom for growth in both businesses within private wealth.

As far as the products are concerned, we are seeing increasing interest and offtake of alternate products in the UHNI & family office segment. Simi larly, in the HNI segment, we are seeing a lot of interest in solutions. We currently have our Delphi set of products, which is essentially a fund of funds and fee - based solutions for HNIs. So, in both areas, we are continuing to see interest. In the alter natives, we are also seeing a lot of interest in unlisted transactions, and there is a steady flow now.

Moderator: Next question is from Lalit Deo from Equirus Securities .

Lalit Deo - Participant :

Congratulations on a good set of numbers. Sir, 2 - 3 questions. One, in the distribution income, both on the wealth management as well as on the private wealth management side. There seems to be a sequential uptick in the transactional distribution revenue s. So just wanted to understand what would have driven those revenues in this way? And could you also give us a rough breakup like which are the key drivers for the same?

Second was on the AMC business. In this particular quarter, the flows on the PE and RE segments were around ■300 crores. But in the presentation, it's mentioned that in July, we have closed a fund. So how should one look at the overall net sales in the alternative side of the AMC business for the full year?

And lastly, on the broking sid e. In the F&O side, it seems like that gross brokerage levels were muted in this particular quarter on a sequential basis. So, what would have led to those reasons? And how are you seeing the trend in the month of June and July? Those are the 3 questions

Shalibhadra Shah - CFO:

Coming to the first question – our distribution revenues across our wealth management business as well as private wealth business in Q1FY26 includes revenues on account of secondary market transactions on the private securities as well as alternatives.

We had even guided over the last few quarters that there is a lot of focus in the alternative space, including co -investment as well as uptick in secondary transactions. That is one of the reasons where you will see the impact of those steps that we

took to increase the revenues in Q1FY26 as well.

On your second question on the PE/RE flows. While Q1FY26 includes ■300 crores of net flows, but you would have seen the announcement that we already made that our fifth growth fund on our p rivate equity side, which is IBEF V, with a target size of ■8,000 crores. We have done the first closing at 80% of the target size. You would see the impact of the flows coming in the Q2FY26. Also, we have closed our Series VI of our real estate fund, the flows of which will also get reflected in the Q2FY26. Moreover, as Navin guided , in H2FY26 we'll do the first closing of our Private Credit fund. That is how we'll generate the flows in current financial year

Navin Agarwal - Group Managing Director:

Just to summarize versus the ■1 0,000 crores opening AUM for this business, you will see nearly all of the ■8,000 crores Series V private equity funds getting added. You will see a part of the ■2,000 crores Series VI real estate fu nd getting added. Also, you will see a part of the private credit fund getting added. This should be one of the strongest years of growth, both in AUM as well as recurring fee income for this business , nearly doubling of AUM in the current financial year.

Shalibhadra Shah - CFO:

On the third question on the margin for the quarter, our PBT margin for the quarter is at 49%, which if you look at sequentially looks like a dip of 200 basis points. We expect to maintain the margins we delivered previous financial year this financial year as well. This marginal dip is mainly because of the people cost, which I explained earlier in the call , on account of increase in the revenues , and the corresponding catchup in the fixed and variable people costs

Lalit Deo - Participant :

Sure, sir. Just on the F&O side, actually, that was the last question

Shalibhadra Shah - CFO:

On the broking side of the business, our focus has been on the cash side of the business. The F&O pie of the business is less than 40% in our overall mix. Our cash volumes growth has happened in the market as well as our market share has gone up. Bulk of the brokerage growth has come actually from the cash brokerage for us because of the increased fo cus on the cash side of the business over the last many years. On the F&O side, the increase has happened in the market share as well as in terms of the revenue, but that is lower than the cash brokerage surge.

Ajay Menon, CEO, Wealth Management :

Just to add to that, on the F&O side, we also had the full quarter impact of the expiries being reduced. On the overall market also, the volumes have come down because of the overall number of expiries coming down .

Moderator: Next question is from Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh - Participant :

Few questions from my side. First, going back to this employee expense number. And if I were to just kind of take out 2 of the businesses, which is private wealth and capital markets, it seems that the growth in employee expense on a sequential basis has been highest in these 2 segments. And obviously, when you look at the market competitiveness in terms of new talent acquisition or talent poaching that is going on in the industry, it probably s eems that it is also highest in these 2 segments coincidentally. I wanted to get a more medium to long-term picture in terms of how do you see the competitive pressure shaping up in this segment? Obviously, a lot of new players are coming up, capital - backed players are coming up. Is talent acquisition or talent retention going to put a significant pressure on the employee expense for, let's say, foreseeable future out there?

The second question is going to be on the transactional revenue part. Now obviousl y, you mentioned that there are a lot of unlisted market deals are happening. Your numbers have also stacked up well over the last

few quarters,
especially this quarter also. I just want to get an idea of 2 things. What is the product rejection rate? Or ho w do you really source the product and kind of vet the product undergoes before really pitching it to the customer? And second is in terms of the pipeline of the product side or lumpy deals out there, can you give some color specific to your company?

And last question is on the capital markets business side. Any color on the quantum of deal pipeline that you have? if it's 100% of that were to fructify over the next 1 to 2 years, what sort of uptick in revenues can we expect on the fee income side of the ca pital markets business?

Navin Agarwal - Group Managing Director:

As far as the employee cost pressures and the talent war in the private wealth and the capital markets business, Dipanjan, you're absolutely right. At Motilal Oswal, we have been very sensible about benchmarking on how we pay to the current workforce and the offers that we have made in the last 12 months have been at a much higher level compared to what we have done in the past. I don't see this abating , because the size of the opportunity itself is expanding very rapidly in both of these businesses. As you see, our overall margins are at the industry best in terms of the composition of the businesses that we have. If you compare us with the industry, our margins which is at 49% are very robust. We try to sensibly participate in terms of growing the team size s across both of these businesses. So that is the first point.

As far as the pipeline is concerned, I articulated that the deal pipeline visibility of the capital markets business is very robust, that the Q2FY26 should be at least as good as Q1FY26. But making any long -term projections for this business is very difficult because the execution is entirely a function of the markets and if markets were to remain reasonable or robust, then the pipeline at least is in place to continue to have robust execution in 3Q as well as 4Q. Our book-to-bill ratio for this business is in excess of 2 -3 times based on the revenues that we reported last year. That's wh y, you're seeing near doubling of revenues in the Q1 and continued strong growth in the Q2 as well.

As far a s the underwriting is concerned, the group has a very strong history of underwriting both in public markets as well as private markets. The vintage of our asset management company is over 2 decades, and the vintage of the private market practice is just a tad under 2 decades. Both the businesses have delivered a stellar track record of mid -20s or early 20s kind of a return over this long period of nearly 2 decades. So that is innate to the group and rejection ratios are obviously, as a consequence, quite high. Pipeline for this is quite strong and the coming quarters should continue to be reasonably strong. We don't call out any numbers of pipeline for this, but I think the visibility of continued strong growth in the rest of the year is also reasonable.

Dipanjan Ghosh - Participant :

Got it. If I can just squeeze in one small question on the private wealth or maybe a little bit on the flows from the PMS and AIF or the real estate on the asset management side also. I want to get some color on this customer, especially in the PWM ex -PCG, which used to have more focus on the HNI and UHNI. Would this be more of generational wealth sort of personnel? Or this would be more tilted towards professionals or business people? I just wanted to get some sense of how is the sensitivity of primary markets or monetization events to incremental flows versus how much of it is more organic client tapping or new client acquisition?

Ashish Shanker, CEO, Private Wealth Management :

Within the Private Wealth Segment, ex-PCG, the color of clients is - in the HNI segment it is professionals and in the UHNI & family office, it's business promoters. So right from SMEs, MSMEs, all the way going up to large listed company promoters, that would be the primary target segment. In terms of what drives growth, there is obviously a lot of organic growth because these c lients keep adding to their wealth every year, and their current portfolio also keeps growing. But as far as the larger growth in the UHNI and family office segment is concerned, monetization plays a very large role.

The intensity there has only been incr easing, as you can see from all these IPOs and private equity transactions sell-out. I'm just alluding to what Navin said, if the market remains stable or robust, I think we continue to see very high growth in that segment. So, there is an organic growth o f maybe 20% - 25%, but the extra growth and our ambition to get to the leadership position will get determined by the kind of share that we can get in the incremental monetization events. I hope that answers your question.

Moderator: The next question is from Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee - Participant :

A couple of questions from my side. Actually, I wanted to understand a little bit more on the product strategy in wealth and private wealth. So, some observations, in the wealth business, the broking income has come back very strongly while vis -à-vis that in private wealth, that pace of recovery is slower. What would be a differentiated strategy between the 2 segments in a period when the market was rec overing. How do you address that? That is the first question .

And second is in terms of the distribution income for the quarter. There is an impact because of seasonality from insurance business. But if you could give some breakup in the revenue growth from what comes from MF or other non - seasonal channels and what comes from other segments which help us to understand this better? that's from my side.

Navin Agarwal - Group Managing Director :

We don't break down this. There's already so many layers of breakdown across all our businesses that we are publishing. As I mentioned to you, this could be volatile on a QoQ basis but on an annual basis, we see these trends to be improving. As far as the difference in the trend of broking business across our Wealth Management and Private Wealth Management, broking is the primary product for the wealth management business . There's als o a lot more MTF that is supported there, which has probably less salience to market volatility or basically the continuity of that income is greater. Use of that is far less in our Private Wealth business, and it's also not a primary product. But we believe that these could be lead lags that may last for a quarter or 2. Eventually , both the businesses largely move in a similar direction like we've seen in the past few years.

Swarnabha Mukherjee - Participant:

Understood. I appreciate the fact that you don't want to give further cuts into the distribution income. But just wanted to understand, between last year

to this year, the growth between, Q1 FY25 and Q1 FY26, the growth has been phenomenal over this period. I wanted to understand that as far as the nonseasonal bucket, has the growth been equally stronger or better? Some color would be helpful to get for us to forecast maybe some ballpark.

Navin Agarwal - Group Managing Director:

I had explained this in great detail last quarter also, but I'll repeat . The only new kid on the block really is secondar y bonds as well as equities. That is something that we were under -indexed on. Both of those have seen an improvement over the course of the last 3 quarters, and if you see second half of last year and first quarter of this year, we have seen improvement. My guess is we are still under -indexed on both. So, the trend could continue to be strong in that part of the distribution income.

Moderator: The next question is from Poo

ja Jain from Trinetra Asset Managers.

Pooja Jain – Participant:

I just wanted to know a little on the technological side. What progress have you made on digital front like in both broking as well as wealth? Are you looking for any AI -based advisory or any hyper -personalization? And I also wanted to know the percentage of account openings and transactions happening through your mobile apps versus assisted channels. What is the percentage?

Motilal Oswal, Managing Director and CEO:

We have a huge of focus on technological initiatives . Our overall online transactions are around 75% to 80% of the total . We are the only unique player who have both the models, which is the digital model and also have advisory assisted model where advisers advise . Transactions still can happen online or offline based on the clients' convenience

I think the next version of the RISE app is also live. Account aggregator is live. We have a lot of tools being done through AI. In the next couple of quarters, you will see a lot of new tools where actually voice and tech combination will happen and the clients will have the choice.

Shalibhadra Shah – CFO:

Our tech spends are also rising YoY. If you look at tech spend s, they are almost about 4.5% - 5% of our revenues. Even this financial year, we have a very heal thy budget of almost about ■250 crores to be spent on the tech nology initiatives .

Pooja Jain – Participant:

Just one more question. What's the current status and strategy for international fund product?

Navin Agarwal - Group Managing Director:

We've already r an out of capacity a few years back. We were the market leader and pioneers to launch NASDAQ and S&P 500 and bring them to India. Nearly 2.5 years back this product stopped seeing any fresh inflows because we capped out our limit that has been set by the regulator.

Having said that, some of our products are now available on GIFT City . It's only been a quarter and we've seen very strong traction there. We think that global funds flowing into India through GIFT City is something that may happen.

On the private wealth side, we are trying to use a similar route for deployment of funds globally. But this is not a major mover for us currently. All of this, put together, is incrementally, from a delta perspective, t rending to 0 for us.

Moderator: The next question is from Rohan Advant from Prad Capital.

Rohan Advant – Participant:

Most of my questions have been answered. Just on the NII front, if I look at quarter-on-quarter, our NII has been lower. And even on a YoY basis, the growth seems to be low er. I thought you would benefit also from the drop in the interest rates on your NII. Was our average book maybe lower than the closing book? And what is the reason for this? And how would you guide for the rest of the year on this front?

Shalibhadra Shah – CFO:

I believe you are talking about our MTF book on the wealth management business. On YoY, the book has been lower by almost about 9% - 10%. That is one of the reasons, for the NIIs being lower . However, the spreads have marginally improved YoY because our cost of funds have also come down. Cost of funds have actually fallen by 40 basis points on a QoQ front and 80 basis points on a YoY front. You will see the impact of the spread benefit also coming over next few quarters. However, sequentia lly, the book has grown and it is up almost 20%, in line with the growth in the cash volumes and our market share growth as well. You would see the sequential uptick of the NIIs in the coming quarters for the full impact of the growth, which has happened i n the Q1FY26.

Rohan Advant – Participant:

Understood. Sir, so what you are saying is that the closing book has grown, but the average book has not grown because when I see NII this quarter versus last quarter, it is a lower number even under wealth m

anagement.

Shalibhadra Shah – CFO:

Yes, that's right because bulk of the book growth has started from the month of June. You'll see that the average impact of that is yet to fully come in the NII.

Moderator: Next question is from Shashi Kapoor from Dhauladhar Capital.

Shashi Kapoor – Participant

The question is, as you mentioned that we are on an uptrend and liquidity is doing fine in markets, and markets are also doing fine. How we are set for the next 2 - 3 years? What we are doing to ensure that we don't get much impacted as we have got impacted historically due to market correction.

Navin Agarwal - Group Managing Director:

As you may have noticed, the annuity and the trail bearing part of the revenues systematically has been rising to now a maj ority of the overall revenues. On the other hand, within the broking business, the volatility which you are alluding to, that part of the business is also now down within the retail broking business to 1/3rd of the overall revenues

The share of third-party distribution , NII, asset management, private wealth and private equity & real estate business have all risen materially . Our market shares in all our businesses in the last 3 – 5 years have gone up.

I explained to you in my opening remarks tha t across all the businesses that we are in, the runway to just catch up with the leader is 5 – 7 times. Each of those businesses are growing at very strong double -digit rates. We believe that this whole is the mega trend of financialization of savings.

The huge gap between us and the market leader and our focused execution to close that gap and with increase in trail revenues, annuity share of revenues and salience of asset management & private wealth businesses, I think all of this give us the confidence that the 10 -year compounded profit growth of 30% that we've reported, all the tailwinds for the future is no different from the last decade.

Moderator: Due to time constraints, we'll take that as the last question. I would now like to hand the conference over to Mr. Shalibhadra Shah for closing comments.

Shalibhadra Shah – CFO:

On behalf of Motilal Oswal Financial Services, I would like to thank every participant for attending the Q1FY26 con call. In case if you have any further queries, please do get in touch with our Investor Relations desk. Thank you, and have a good day.

Moderator: Thank you very much. On behalf of Motilal Oswal Financial Services, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Please contact ir@motilaloswal.com for any queries.

Call: Nov 2025

November 07, 2025

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated Octo ber 24, 2025 regarding Intimation of Earnings Conference Call ("Con-Call") with Investor(s)/Analyst(s) held on Friday, October 31, 2025 to discuss Financial Performance for Q 2/H1 FY 202 5-26.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time), please find enclosed herewith the Transcript of the said Con -Call for your reference.

The aforesaid Transcript of the said Con -Call is made available on the Company 's website i.e . https://www.motilaloswalgroup.com/Downirvirdir/896212563Q2FY2026.pdf .

Further, we hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the said Con -Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Puro hit
Company Secretary & Compliance Officer

Encl.: As above

Motilal Oswal Financial Services Limited

Q2 & H1FY2 6 Earnings Call Transcript

This document is a transcription of the conference call conducted on 31st October 2025.
Click Here to listen to the original audio.
For past recordings Link, transcripts Link, Investor Presentation Link and Excel Data Book Link
Please contact ir@motilaloswal.com for any queries.

Manish Kayal - Head Investor Relations

Good afternoon, everyone. I'm Manish Kayal, Head - Investor Relations. I welcome all the participants on behalf of Motilal Oswal Financial Services Limited for you to take time out to attend our Q 2 & H1FY26 earnings conference call. We hope that you had an opportunity to go through our investor deck and press release, which was uploaded yesterday on stock exchanges and on our website. We also have uploaded the Excel data book on our website , which has detailed operati onal and financial numbers. Please note that today's discussion may include some forward -looking statements, and these forward -looking statements are based on our macro assessment and actual outcome may vary.

With that, I'll introduce our management parti cipating on this call:

- Mr. Raamdeo Agarawal, Chairman
- Mr. Motilal Oswal, Managing Director and CEO
- Mr. Navin Agarwal, Group Managing Director
- Mr. Ajay Menon, CEO , Wealth Management
- Mr. Prateek Agrawal, MD and CEO, Asset Management
- Mr. Ashish Shanker, CEO , Private Wealth Management
- Mr. Sukesh Bhowal, CEO , Housing Finance
- Mr. Sanchit Suneja, Group Chief Strategy Officer
- Mr. Shalibhadra Shah , Chief Financial Officer

We'll start this call with an opening remark by Navin Agarwal , and then we'll have a Q&A session.

Over to you, Navin.

Navin Agarwal , Group Managing Director
Good afternoon, everyone. It is my pleasure to welcome all of you to our earnings call for 2Q & H1FY26

Key Financial and Operational Highlights
Let me start by sharing some key highlights

Q2FY2 6 Performance
- Q2FY26 continues to witness the trending of most of our businesses. It was a resilient quarter led by our annuity businesses .

- Our operating profit after tax grew by 2% to ■ 554 crores. This was led by strong growth in our Asset and Private Wealth businesses that grew by 36% YoY. This is the 4th consecutive quarter of strong growth in these businesses.
- During the quarter, our customer count rose to 14.5mn+ comprising 9.4mn+ unique MF folios and 5.1mn+ unique broking account

s and Assets under Advice (AUA) crossed ■ 6.7 lakh crore mark.
This customer and asset base is significant given that India is only at the early stages of accumulating USD 100 Tn in savings by 2047 as well as financialization of savings .
- Importantly, Annual Recurring Revenue (ARR) now stands at 61% of total net revenues with fee - based revenue alone contribution 45% of total revenues.
- AMC business continued to gain market share. MF AUM market share has increased to 2.6% and it still has huge headroom to gain market share given that our Net flow market sh are is strong at 8.2%. Our SIP flow Market share at 4.8% is the highest ever.
- On Alternates, we did first close of ■ 6,900 Crs out of total ■ 8,350 Cr for fund “IBEF V” in Private Equity Growth Capital Business, nearly 2x of last fund raise.
- PWM business is on strong growth path with Net Sales growing 3x in Q2FY26 to ■ 7,358 Crs, taking the total AUM to ■ 1.87 Lakh Cr. serving 7000+ relevant families.
- Investment Banking continues to witness higher deal executions, propelling MO Group to Rank #1 in IPO, QIP and Rights Issue led by 39 deals worth ~ ■ 49,000 Cr executed in 1HFY26.
- During the quarter, our long -term credit rating was upgraded to AA+ with stable outlook. This is the highest rating ever granted to any non -bank domestic capital market player in India. The upgrade reflects strength of our diversified business model, increasing share of predictable annual recurring revenue, strong balance sheet and net worth and disciplined financial management. The upgrade is expected to improve access t o institutional capital & reduce our cost of funds.
- Our Board strength has also increased from 10 to 14 members. We are glad to appoint Pratik Oswal & Vaibhav Agarwal as Directors. We are also glad to have Mr Joseph Conrad Agnelo D’Souza, a senior HDFC Gro up veteran for 4 decades and Mr Ashok Kumar P. Kothari, a senior IRS officer with 3 decades of distinguished career join the board as Independent Directors, enhancing the Board’s diversity, oversight capability, and strategic depth .

Segmental Performance

Turning now to our segmental performance, starting with Asset and Private Wealth Management business.

Asset and Private Wealth Management Business
Asset Management Business
• The Asset Management business (AMC + PE) continued its momentum during the year with strong market share gains driven by continued strong investment performance. Net flows in Q2FY26 increase 56% on YoY basis to ■ 20,011 cr.
• AMC AUM stood at ■ 1.6 Lakh Crs as on 30th Sept 2025, up 46% YoY wh ich has now further increase now to ■ 1.7 Lakh Crs as of yesterday . Even as we continue to invest heavily in talent, distribution reach, marketing, the operating leverage from share gain led AUM growth should be a strong driver of our profit growth in the co ming quarters too.
• 91% of the AMC AUM outperformed respective benchmarks in past 3 Years.
• Our MF AUM market share is 2.6%, highest ever. Our MF Net sales market share at 8.2% improved from 7.7% on QoQ basis. Our SIP flow Market share at 4.8% is the highest ever.

• We added ~17 Lakh SIPs in Q2FY26, SIP flow for Q2FY26 stands at ■ 4,172 cr, resulting in a SIP AUM book of ■ 28,432 cr as on Sep’25.
• Our alternates AUM grew to ■ 33,872 cr.
• Net flows of the AMC Business grew to ■ 14,008 cr in Q2FY26.
• In our Private Equity Business, during the quarter, we executed the first close our fifth Private Equity fund IBEF V with fund raise of ■ 6,900 Crs and expect the final close soon with a target size of ■ 8,350 cr, nearly 2x of our last fund rais e.
• Right from the series 1 that we raised about 18 years back to today, every single series has witnessed a doubling of AUM from IBEF -II to III to IV and now a raise of $950 million for IBEF -V
• Private Equity Business currently has fee earning AUM of ■ 16,942 cr across growth capital funds and Re

al Estate funds. We expect a substantial amount of carry which will be realized at the fund close .
• We are planning to launch a fund in Private Credit vertical soon. This is a new segment within Alternates that we have entered recently to tap into the large TAM. This will boost recurring base of Alternates business at a very early stage of evolution of this business .
• All the above initiatives in Asset Management will increase its share i n group operating PAT further.

Private Wealth Management
• Turning to our Private Wealth Management business, AUM st ood at ■ 1.87 Tn serving more than 7,000 relevant families with ■ 1+ Crs of AUM.
• Q2FY26 witnessed revenue growth of 20% and PAT growth of 22% on YoY basis.
• Our current RM strength is 386 and we expect improvement in RM productivity as 48% of RMs have a vintage of 3+ years.
• Share of Private Wealth business in group PAT increased as a result o f operating leverage and comprehensive proposition straddling HNI & UHNI segment and we expect the share to continue to rise in the future.

Wealth Management Business

• Our broking business continues to retain its leadership position as a full -service brok er. Our retail cash broking volumes (ADTO) stood at ■ 2,776 cr in Q2FY26. Our cash volume market share was robust at 7.1% and F&O Premium market share stands at 8.7%. Total blended ADTO market share stands at 8%. We believe, we are the largest broker in India in cash segment when measured by revenue market share.
• Share of broking revenues in the Wealth Management segment revenue has declined from 60% in FY21 to 33% in Q2FY26, led by sharp focus on growing our distribution business, reflected in net flows rising to ■ 3,079 cr in Q2FY26. Consequently, the distribution book grew at 36% CAGR from ■ 11,032 cr as of March’21 to ■ 40,544 cr in Sept’25 and contribution to total segment revenue increased from 12% in FY21 to 17% in Q2FY26. We intend to increa se the revenue share of distribution business within Wealth Management and we are well -positioned to achieve this.
• Net Interest Income (NII) Income from the lending book grew by 13% YoY due to book growth and improvement of spreads. Total loan -book AUM sta nds at ■ 6,305 Crs.

Capital Market Business

• 2QFY26 is another strong quarter for IE & IB business.
• Within IB business, we have successfully completed 39 deals in H1FY26 with cumulative issue size of around ■ 49,000 cr and our fees income delivered a robust 65% revenue growth on YoY

basis to ■ 120 Crs. We continue to be ranked #1 on the QIP , IPO and Rights Issue league table for H1FY26 in terms of number of issues.
• IE business continues to increase research coverage as it continues to remain the fulcrum of the group. We have a strong team of 150+ employees, covering 332 companies across 26 sectors, 73% of the Market Cap and servicing 890+ domestic and overseas institutional clients.
• We continue to strengthen both the institutional equities and the investment banking teams and the business will continue to be leader in its segment.

Housing Finance Business

• Housing Fi nance business continues with its growth momentum with disbursement growth of 48% to ■ 544 Crs on YoY basis, led by Sales RM force increasing to 1,575 RMs (up 50% YoY).
• GNPA/NNPA as on Sept'25 stands at 1.4%/0.8% respectively .
• We expect Housing Finance AUM to double in 2 -3 years. Business has a strong Capital Adequacy Ratio (CAR) and low leverage, giving us enough growth levers without external equity capital dependency.

Treasury Investments Business

• Our treasury book serves as a strong backbone to all the operating businesses that have delivered a decadal operating profit CAGR of 31% without the need to raise a penny of external equity since our IPO back in 2007 while doing 3 buybacks and consistently paying about 20% of our operating profits as dividends, making

us quite unique in the Indian financial services space.
• Total equity investments including alts grew to ■ 8,957 cr as of Sept'25, up 14% YoY. The book delivered healthy XIRR of 18.7% since inception and including reinvestment of cash flows, treasury investments have grown at over 42% CAGR since inception, implying that the book doubles every 2 years and is up 55x since inception.
• We expect similar multiplier impact on the current book over next decade given the strong ROE, consistent payout policy and expected investment IRR .

Outlook and Concluding Remarks

We expect savings pool of USD126T n in 25yrs ending 2047 and this compares with USD 14Tn in the preceding 25yrs. Importantly, financialisatio n and equitization of the large savings pool is a megatrend that will provide tailwinds to all our businesses in future to continue delivering strong earnings growth.

There is also a large headroom available to gain market share vis -a-vis market leaders in our key businesses, as the leaders are nearly 5x - 10x our profits or AUM in some of these businesses . Our twin -engine business model should enable us to drive continued growth above mark et without the need to raise any capital even as we continue to make meaningful investments in our businesses .

We believe that our franchise is among the strongest in our business, also validated by the highest ever credit rating assigned to us by ICRA among all non -bank domestic capital market players in India. MOFSL's net worth has grown nearly 10x from Mar'15 to Sept'25 to ■ 12,871 Crs led by an Operating PAT CAGR of 31% in last decade, average ROE of 22% and an average payout of 20%.

We'll now open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from Sukrit Patil from Eyesight Fintrade Private Limited Please go ahead.

Sukrit D Patil - Participant:

Good afternoon to the team. I have one specific question for Mr. Raamdeo Ag arawal sir. As the financial services space gets more competitive, how is Motilal Oswal planning to build a long - term differentiation, not just through product variety, but through deeper client engagement or from platform strength?

Raamdeo Agarawal, Chair man :

We have tried to build a complete Capital Market powerhouse . When the individual savings enter the market, they enter through two routes. One is the brok ing route , for direct stock and one comes through the mutual funds. We have tried to enter both the businesses . Our HNIs clients have options like Private Equity like products as well .

We have positioned ourselves across all the products and we are trying to build to the best of our capability. Since 2020, the Demat revolution has started and about 30 to 40 million customers are added every year. There is a vertical expansion of the market and in that, every business has different dynamics. Our Asset Management, Private Wealth Management, and Private Equity we are doing well . In Investment banking , we had the largest number of deals that we have done in the last 12 months. In Institutional Equities , we are number 3 or 4. In Asset Management, we are in top 1 0.

We are trying to build excellence in all the businesses which are rela ted to the Capital Market and helping individuals save and deploy the money into the right kind of stocks. The thought has been very simple, but we have remained focused around Think Equity , Think Motilal Oswal, bringing all the prowess into understanding what it takes to make money in the equities and build a corporate around that. That's what has been the thought process all along our journey . I hope that answers your question.

Sukrit D Patil - Participant:

It’s fair enough. My second question and final question is to the CFO. Looking ahead, what internal steps or cost management planning do you think are most important to protect the margin, especially i

f market volumes or fee structures keep on changing?

Shalibhadra Shah - CFO :

I believe when you are correlating with market volumes, it is about our retai l broking in wealth management segment . At an overall level, majority of our cost structure is variable wherein about one third of our costs are fixed and two third of the costs are variable in this segment . The business has two channels consisting of branch channel and our external wealth manag ers channel and costs are variable in the latter channel . Our fixed costs are very lean and in times when volume growt h is lesser in the market, you will still see our operating margins and cost to income ratio pretty stable and that is our strength . As a group, our P BT margin is 50% plus, which is best in class in the industry.

Moderator: The Next question is from the line of Mehak from Emkay. Please go ahead.

Mehak - Participant:

My first question would be basically on the SEBI consultation paper. So, just wanted to hear management's thoughts on the same. And how would it be impacting the Asset Management and the Capital Market segments if the final regulations were to mirror the draft ones? Secondly, on the distribution income for the Wealth Management segment that has declined on a sequential and Y oy basis. So, what would be the reason for that ? Thirdly, if I look at the sequential movement in the brokerage income across Wealth Management and the Private Wealth Management businesses, the Wealth Management segment has witnessed a decline while the PWM segment has seen strong sequential growth. So , what would explain the improvement in the Private Wealth Management business? And third would be just to understand your deal pipeline in the Capital Market segment. I mean, just from an understanding perspective, like, how would the revenue look for Q3 and Q4? So, these are my four questions

Shalibhadra Shah - CFO:

Coming to your question on the consultation paper. It is early days and impact would be on the Asset Management business and the Capital Market business . Broadly, at this juncture , preliminary impact should be between 1% to 2% on Group Operating PAT. Also, since it is a consultation paper there will be representation s from the industry in this respect .

Moving on to the distribution segment of our Wealth Management business , the distribution revenues include annual recurring revenue and transaction revenue. If you look at our annual recurring revenue in the distribution business, they have been growing by almost 37% - 38% YoY % in the first half of current year . The transacti on revenues could be volatile as it include s secondary transactions, unlisted transactions, co -investments, and these are lumpier on a quarterly basis, however on a yearly basis they continue to grow . Also, if you compare H1FY26 and H1FY25 , we are up 50% on our distribution income (both ARR/TBR) in the Wealth Management business.

On the brokerage revenues for the wealth segment v s the private wealth segment - in the wealth segment, the impact is sharper due to impact of the F&O regulations change . The impact on a sequential basis, has now flattened out. Whereas, on the private wealth side, revenue is more from the ultra HNI & family office segments where the relative impact on brokerage revenues is lesser. This is the reason you will see some bit of difference between both the segments .

On the question with respect to the Capital Market deal pipeline. We carry a very healthy deal pipeline going into second half of the year , and if market conditions remain pretty sound, we believe , we will be able to have similar quarters of growth and profitability.

Moderator :
Next question is from the line of Mohit Surana from HDFC AMC. Please go ahead

Mohit Surana – Participant:

Hi. Just two questions from my side. Not sure if it's been already addresse

d, but I wanted to
understand the trend in the brokerage revenue for the Capital Market business. It showed a sort of a bump up last qu arter, post which it is normalized. So, just wanted to understand the trend there. And also on the Asset Management business, if you could just ballpark, indicate what is the contribution of the income received from the Treasury segment. I understand that there is an inter -segment revenue that is being derived for the quarter or even generally, if you could quantify what part of the top line it will be. That's it.

Shalibhadra Shah - CFO :

On the trend in the brokerage revenue on our Capital Market segments, this is a multi -product business like equity block s, Investment banking fee income, Institutional brokerage etc. Q1FY26 had higher revenue from block deals , while Q2FY26 saw the higher fee-based revenue from Investment banking . Overall, we need to look at the business as a whole which is showing rob .

Our Asset Management segment includes Net interest income from our Alternates business . It is not intersegment revenue. This is revenue from origination of high -quality credit paper in our Real estate fund management (part of our alternates) a portion of which are also co -invested or lent from our balance sheet in addition to the fund investments. We h ave strong track record of our Alternate funds and there is lot of investor appetite also to subscribe to this paper which we also down -sell to the clients and going forward it would be replicated for our Private Credit Segment as well in alternates.

Moh it Surana – Participant:

Sure. I just wanted to understand what will be the contribution from the treasury segment to the Asset Management. If you could generally give a directional sense.

Shalibhadra Shah - CFO:

Contribution from the Treasury segment is a function of the way in which we have allocated capital from each business . Basis that Asset Management segment has a net worth allocation of around ■ 1,800 crores and that net worth allocation includes th e ■ 800 crores of capital deployed in the lending assets which I explained in my earlier answer and the rest capital generate s interest income (included in NII) , which is from the allocation of the capital across businesses. Going forward, the operating cash flows will cont inue to deploy out of the Asset Management segment into such kind of opportunities .

Moderator:

Next question is from the line of Neil John from B&K Securities. Please go ahead .

Neil John – Participant:

Hello, sir. Thank you for the opportunity. I have a couple of questions, one on the Wealth Management business and one on the Private Wealth Management business. So, firstly, on the wealth side, we have seen that the distribution assets earning real fees has decreased sequentially, whi ch is also reflected in the distribution income coming lower. So, I would want some commentary on that. And secondly, on the private wealth side, there seems to be some change in the reporting of the RMs and the number of families. And this is kind of has an impact on the cost base also for the quarter, which has come down sequentially around 12%. So, some commentary on that also.

Shalibhadra Shah – CFO :

On the first question in terms of the distribution business in the wealth segment , I will reiterate that our ARR revenues have grown strong . However, overall distribution revenue is sequentially lower because of transaction revenue s. On YoY basis for first half , our ARR revenue growth is pretty

strong at 38% in line with the growth in t he ARR assets wherein we continue to expand our ARR base of assets. As Navin highlighted at the start of the call , we are fast growin g our distribution revenue mix in this segment . Even Our distribution asset base has been outgrowing in the overall mix of our assets. The transaction revenue is t

he line item, which has led to the volatility in the overall distribution revenues.

Coming to the second question on our RM and family base. On the family side, we have considered the relevant families. Earlier, we used to report all the families, but looking at the best industry practices, we have realigned our families to make it look comparable in line with industry . We have reported families ha ving about ■ 1 crore of A UM with us. So, to that extent, we have restated the family count. On the RM side, we were considering the broking -related advisors as well. Again, here t o align with the industry best practices, now we are considering only the RM base, where as cost includes both RMs as well as advisors. We have re stated our numbers for all our earlier periods as well for comparison .

Neil John – Participant:

So, what would explain the cost -base decline sequentially in the private wealth business?

The OPEX cost has declined 12% sequentially.

Shalibhadra Shah – CFO :

If you look at the overall distribution revenues in Private wealth business , Q1FY26 had higher chunk of transaction -based revenues . Q2FY26 was slightly moderated in terms of the transaction revenues on distribution , that is one of the reasons you will see that the variable cost also gets adjusted in line with our revenues. That is why you would see that the cost -to-income has marginally come down. Also, RMs hav ing productivity of more than 3 years are at 48% in the mix. Gradually, if you look at YoY, our productivity is improving as the vintage is growing. So, as the Vintage of RMs improve , the productivity will keep on rising. So, you will see better margins in this business going forward, as over the last 3 years, we have invested heavily on the RM side and gave away almost about 900 basis points on the margins for these investments .

Moderator:

Next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh – Participant:

Thanks for the opportunity. Sir, first question is in terms of broking revenue and distribution revenue, how do we distribute the revenue between Wealth Management business and Private Wealth Management business? Are there different entities who are working in these segments and how we allocate the revenue to these two businesses?

Shali bhadra Shah – CFO :

Our Wealth Management segment includes the channels which are our retail branch channel and our external wealth managers. The revenue generated by both of these channels are included in our Wealth Management segment, which is mainly the retail , affluent customers .

Whereas in our private wealth business, this represents our HNI, ultra HNI & family office channels and clients that are mapped under t hese channel s are included in our Private Wealth segment.

Nidhesh – Participant:

Is there a possibility that Wealth Management client can transition to Private Wealth Management client over a period of time or that is not possible at all?

Shalibhadra Shah – CFO :

If the size of his asset increases, then certainly he would be transferred to Private Wealth segment as they will be serviced with more Senior RMs.

Nidhesh – Participant:

Second question is, what is the reason to move certain real estate assets from Treasury to the Asset Management Business? What is the rationale behind that?

Shalibhadra Shah – CFO :

As answered earlier in this call, this is revenue from origination of high -quality credit paper in our Real estate fund management (part of our alternates) a portion of which are also co -invested or lent from our balance sheet in addition to the fund inves tments . This is, part of our operating engine, which at the start, it was classified under Treasury Investment , but rightfully now we have reclassified this under the operating segment of our alternate business under Asset management segment .

Nidhesh – Participant:

Third question is on the cash ADTO market share. There, we have been losing market share for some time. So, what are the reasons behind that and what is the strategy to, to gain market share or mai ntain market share from here onward?

Ajay Menon, CEO, Wealth Management :

From the overall cash market perspective, we have lost market share because we have research and advisory based model where we advise the customers based on the market situation. In current market scenario , we have been a little cautious on the overall market which reflects in our overall client relationships and the overall external wealth managers and their advice . We are very c autious about the market situations. Typically, in the past years, we have seen that in a flat to downward market, our market share is comparatively impacted on the lower side. At the same time, when the markets are booming, the overall positioning on the advisory and research comes in where the market share goes up. It's more to do with the market situations that the market share is little falling in current markets scenario .

Shalibhadra Shah – CFO :

We also need to look at the revenue market share , we are leaders in the cash revenue market share . Only volume market share will not correlate to our business model .

Nidhesh – Participant:

Sure. And lastly, there is a request that the please don't make any changes to the data sheet, because our models are linked to your data sheet and it creates a lot of confusion for us and becomes very difficult to model if there is a change in the data sh eet. So, there is a request don't make any changes in the data sheet, sir.

Shalibhadra Shah – CFO :

We take this feedback. But to highlight, we don't delete any rows, so that the models don't change. We only add more rows or if there is any reclassification or regroup ing, as per the auditors or our business modalities, we highlight them clearly and restate even the earlier periods to get the entire trends assessment even for earlier periods. we would work on the same in future to the best po ssible extent to reduce changes.

Moderator:

Next question is from the line of Dipanjan Ghosh from Citi . Please go ahead .

Dipanjan Ghosh – Participant:

First, in terms of the deal pipeline on the transactional side of the business, both on private wealth and your overall wealth, how is the deal pipeline stacking up? And for ex of the normal course of business, is there any lumpy transaction that you kind of envisage over the next two quarters? My second question is on the overall alternate business and maybe not pertaining to exactly you guys, but more from an industry perspective. I mean, we are seeing multiple asset managers also or rather, incumbent ass et managers also increasing their focus on the alternate business. Do you see a case where the market might get a little bit more crowded over the next few years? And my last question is on the client additions that you are seeing on your private wealth bu siness and your PCG business inclusive of that, in terms of incremental flows, what proportion of the coming from your existing ones versus new ones? And in terms of the quality of clients that you are getting incrementally, I mean, this would be like taki ng from competition or first -generation entrepreneurs or if you can give some color on that.

Ashish Shanker , CEO, Private Wealth Management :

Given the kind of deals that we have executed over the last 12 months, our pipeline for deals is quite healthy. This pipeline does not include only the unlisted equity side, but also now on the fixed income side, we have invested a lot in capabilities , that will make our deal pipeline more resilient and smoother , and not dependent too much on markets. Typically, in terms of flows from new clients versus existing clients, what tends to happen is that client

s who sign up, they normally sign
up with a smaller a llocation initially, and then they tend to scale up over time. Broadly, you will see that about 75% of the flows coming from existing clients, which are acquired in the previous year or the years before that, and about 25% of the flows coming from newer cl ients , and then the clients who get acquired in this financial year get scaled up over time.

Prateek Agrawal, MD and CEO, Asset Management :

On new competition coming into alternates , it’s positive because alternates as a category is not very well understood in the intellect. To give you an example, a few years back, on a monthly basis, the max imum a house would be doing was between ■ 500 crores and ■ 700 crores, and now while competition has come in, and one of the largest mutual funds in the c ountry has been focusing on this business, multiple houses are doing numbers close to ■ 1,000 crores a month. When a large house comes in, the awareness across the country increases , number of clients who were earlier only mutual fund clients also open u p to alternates. It results in widening up of the marketplace and with us present across the country, market share of entity like ours could actually go up. Because in these spaces , the new entrants will find a market and we will also ramp -up our presence and gain market share .

Moderator:

We will take the next question from the line of Lalit Deo from Equi rus Securities. Please go ahead.

Lalit Deo – Participant :

You mentioned in your remarks that the overall impact because of the consultation paper could be in the range of around 1% to 2%. So, if you could just break it up between, what could be the impact on the mutual fund business and as well as on what could be the impact on the institutional equities business? Second, during this particular quarter, we have seen that MF yields have increased from around 42 basis points to 45 basis points. So, going ahead, how should one see this? And lastly, we have seen a dece nt growth in the lending book, both in the Wealth Management as well as in the Private Wealth Management business. So, over the next couple of years, what could be the overall lending book in both of these segments?

Shalibhadra Shah – CFO :

On the first point, it's preliminary stage . If you look at its impact on the Asset Management Business, in terms of 5 basis points, some impact which will be passed on to the distributors. The rest impact is coming out of Capital Market business . Our Capital Mark et business revenues generates about ■ 700 to ■ 800 crores of revenues on an annualised basis , this impact could be about 5% to 6% of th e revenues of the Capital Market business.

On the MF yield, our yields have gone up on a Y oY basis. It is moderatio n of OPEX, as well as more yield coming to our favo r. Broadly, we expect to maintain the current run-rate of yields, bearing the impact , if at all it comes , out of the cons ultation paper. Otherwise, we expect the yields to be pretty stable. These are also driven by the mix of the assets of active & passive. If the passive AUM outgrows , in line with what is happening globally, yields will moderate, but otherwise on the active side, we expect to maintain yields.

On the lending book, we have bee n growing pretty strong. We have a pretty strong balance sheet to leverage and we are looking to grow this book by almost about 25% CAGR, both on our Wealth segment as well as even our Housing Finance segment , over the next few years.

Moderator:

We will take our next question from the line of Vikram Raghavan from Moon Capital. Please go ahead.

Vikram Raghavan – Participant :

Congratulations on a strong operating performance and thank you for the opportunity. Pardon me for the question. It may seem very petty. I just wanted to understand why we have such volatile treasury losses. We are down 6% today in

the market because of this. Regarding the treasury loss,

we had a treasury loss in 4Q, we had a gain in 1Q, now again a loss in 2Q. All our peers act ually have reported very strong PAT for this quarter. Thank you.

Navin Agarwal, Group Managing Director

This is a part of our design of the firm. If you look at our presentation, we have a twin -engine model where our operating businesses have very high r eturn on equity, require very little capital and then the rest of the free cash flow that we generate serves as our skin in the game in all the products that we offer to our clients, whether it is Mutual Fund, PMS , AIF, PE , RE and now private credit , basically the whole bunch of products that we offer . That's why we report the operating profit. Markets may choose to look at the reported profit after tax. Media may choose to report only the change in the reported profit after tax. There could be short -term volatility due to this.

The important number that any analyst or investor needs to focus on is that ever since we started doing this , which is for a decade, our treasury book has grown at 42% per annum, 18.7% XIRR since inception and rest is p ost 20% dividend payout of the operating profit, the balance 80% getting rechannelized . When you have a return on equity of over 20%, then you have substantial free cash flows being available to be added to that treasury book apart from the 18. 7% XIIRR that you ha ve seen.

By design, th e treasury book has grown 55x. You may have also seen that this quarter we became the first of our kind in India to be rated AA+ with a stable outlook. What is left now is a positive outlook on AA+ and a AAA rating, which is unprecedented. There is a strong balance sheet and also, when you are talking about comparison with our peers . Nearly every single peer of ours , routinely raises capital every second or third year. We launched our IPO in 2007, 18 years into our journey after three buybacks, after p aying out 20% of our profits as dividends, we have not raised one rupee of capital in the Hold ing C ompany or any of our subsidiaries. So, if you see the growth rate of our earnings available to our investors, our EPS growth has in fact been higher than our profit after tax growth.

This strong balance sheet is the reason for the rating upgrade and the cost of funds are among the lowest compared to our peers. In times to come, as I have already guided in my opening remarks , we see nothing changing in terms of the next 10 years compounding of this book. I would only urge you to wait and watch the magic this treasury book can create as it becomes far more colossal in its size. A large part of this treasury book is invested in equities and on a QoQ basis , equit y markets could be volatile. I think the important thing is to see what it has done over a 10 - 15-year period, which is a growth of 42% in the treasury book and an XIRR of 18.7% per annum .

Moderator:

We will take our next question from the line of Sanjay Satpathy from Ampersand Capital. Please go ahead.

Sanjay Satpathy – Participant:

My first question is that in your opening remark, you mentioned about margin recovery, margin to be better in second half compared to first half in some of your core business. Can you please touch upon that?

Navin Agarwal, Group Managing Director :

I am not sure if we said margins will be better in the H2FY26 in the opening remark compared to the H1FY26 . What we did say is that as far as the Home Finance business is c oncerned, where we reported our profits for the H1FY26 , H2FY26 should see substantially higher profits than H1FY26 , given the huge RM addition of more than 50%, which are getting deployed as the ir vintage crosse s 3 months into the system .

Sanjay Satpathy – Participant:

My second question is that you mentioned that you have a very high ROE. But at the same time,
from the kind of interaction that I am listening to, some grievances around your market share in some of your businesses are there . Can you just tell us what are your plans to expand market share in many of your businesses, both in terms of talent and technology?

Navin Agarwal, Group Managing Director :

I will just highlight to you that our Asset Management Business market share has gone up meaningfully in Q2FY26, H1FY26 as well as the trailing 12 months. The Private Wealth business has outgrown most of the peers, as you may have seen. Our Private Equity fundraise is 2x of the last fundraise that we have done. Our Home Finance business disbursement s growth is one of the highest in the industry. There has been softening of market share in our Wealth Management business. I will let my team talk about the strategies that we are deploying to recoup that market share and even raise t hat market share. Just one little context I want to leave you with. While you are analysing quarter -on-quarter over the last 5 years, ever since the onset of COVID, our overall market share for this business has gone up at the rate of about 75 to 85 basis points per annum, notwithstanding the rise of discount broking in India.

Shalibhadra Shah – CFO :

On the Wealth Management business , market share has shown marginal blip due to conditions of market volume degrowth and Nifty being flat over the last 12 months. When we see better market volumes in the industry , our market share also grows. That is what Navin also explained that looking at the last 3 years of our journey, our market share is up on cash as well as the F&O business. In tough times, advisors are more conservative and don't tend to invest the client money at times , that's also the reason we will see some bit of its impact on market share . But all in all, over medium to longer term, our market shares are all on the rise and our revenue market sh are is also an important factor because as we have one of the highest ARPUs in the industry. So that is what is also relevant to examine in terms of the revenue growth and our revenue market share positioning and profitability of the business . we believe we are leaders on the cash revenue market share.

Sanjay Satpathy – Participant:

Thanks sir. If I can just ask last question that you have announced that you will be getting into some private credit fund and a lot of other things. But in that c ontext, somebody pointed out your treasury profit being so much volatile. What are the risk management practices because we heard that you have taken huge exposure to Zepto through credit and so how much is the exposure of your book? Overall, if you can ju st explain some of the risk mitigation strategy. We know that you have your track record in terms of growing the business without raising capital from the market is commendable and nobody else is there. But still, it will be great to hear your risk managem ent practices.

Navin Agarwal, Group Managing Director :

A large part of our treasury book is invested in our mutual funds , and a small part is invested in the alternate products, including the private equity, real estate, credit funds, and now also the private credit funds. Having invested nearly a billion dollars in the Asset Management Company and being the largest investor in every single fund that we have offered to our client base, we have now also made some small direct investments, which are extremely small in the context of the size of the book. As far as the risk management is concerned, there will be no single security which will be sizable exposure. Your point about taking credit exposure to some unlisted that is a wrong media report. So, you can ignore that.

Moderator:

Thank you. Ladies and gentlemen, due to time constraints, we will take that as the last question for today. I now hand the conference back to Mr. Shalibhadra S

hah – Group Chief Financial Officer
for closing comments. Over to you, sir.

Shalibhadra Shah – CFO :

On behalf of Motilal Oswal Financial Services, we thank every participant for attending the Q2 FY26 con-call. In case you have any further questions or clarifications, please do get in touch with our investor relations desk. Thank you and have a great day.

Please contact ir@motilaloswal.co m for any queries.

occurred inadvertently while speaking.

Call: Feb 2026

February 03, 2026

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated January 21, 2026 regarding Intimation of Earnings Conference Call ("Con-Call") with Investor(s)/Analyst(s) held on Wednesday , January 28, 2026 to discuss Financial Performance for Q 3/9M FY 202 5-26.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time), please find enclosed herewith the Transcript of the said Con -Call for your reference .

The aforesaid Transcript of the said Con -Call is made available on the Company 's website i.e . https://www.motilaloswalgroup.com/Downirvirdir/1425467096MOFSL -Q3FY26 -ConCall - Transcript.pdf .

Further, we hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the said Con -Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Purohit
Company Secretary & Compliance Officer

Encl.: As above

Motilal Oswal Financial Services Limited

Q3 & 9MFY2 6 Earnings Call Transcript

This document is a transcription of the conference call conducted on 28th January 2026.
Click Here to listen to the original audio.
For past recordings Link, transcripts Link, Investor Presentation Link and Excel Data Book Link
Please contact ir@motilaloswal.com for any queries.

Manish Kayal - Head Investor Relations

Good afternoon, everyone. I'm Manish Kayal, Head - Investor Relations. I welcome and thank all the participants on behalf of Motilal Oswal Financial Services Limited to attend our Q3FY26 earnings call.

We hope that you had an opportunity to go through our investor deck and press release uploaded on stock exchanges & our website yesterday. We have also uploaded our Excel data book , which has all the operational and financial numbers . Please note that today's discussion may include forward -looking statements. These forward -looking statements are based on our macro assessment and the actual outcome may vary.

With that, I'll introduce our management participating on this call:

- Mr. Raamdeo Agarawal, Chairman of the Motilal Oswal Group
- Mr. Motilal Oswal, Managing Director and CEO
- Mr. Navin Agarwal, Group Managing Director
- Mr. Ajay Menon, CEO , Wealth Management
- Mr. Prateek Agraw al, MD and CEO, Asset Management
- Mr. Ashish Shanker, CEO , Private Wealth Management
- Mr. Sukesh Bhowal, CEO , Housing Finance
- Mr. Sanchit Suneja, Group Chief Strategy Officer
- Mr. Shalibhadra Shah , Chief Financial Officer

We'll start this call with an opening remark by Navin Agarwal , and then we'll have a Q&A session.

Over to you, Navin.

Navin Agarwal , Group Managing Director
Thankyou Manish.
Good afternoon, everyone.

Key Financial and Operational Highlights
Let me start by sharing some key highlights

Q3FY2 6 Performance
- Q3FY26 continues to witness strength in most of our businesses . Growth was led by our annuity businesses. Our operating profit after tax grew 16% YoY to ■ 611 crores led by Asset and Private Wealth business growing by 32% on YoY basis . These businesses now contribute over 50% to the

operating profit of the group, and we expect the share of these businesses to continue to rise in the quarters ahead. Q3FY26 PAT includes the impact of ■ 14.4 crores towards employee benefits under the new labour code. PAT growth adjusted for the labour code expense

was 18%.
- These results form a good base of a year that had virtually no benefit of MTM in either the AMC , PWM or Distribution businesses of the group and also the impact of significa nt changes in F&O regulations in the Wealth Management business. For context , versus this 18% growth, our 10 -year operating profit growth has been strong at 31% CAGR .
- Our consolidated annual recurring revenue now stands at 65% of the total net revenue for Q3FY26 . We believe, t he share of ARR revenues will continue to rise in the years ahead.
- Based on the strong performance, board has declared an interim dividend of ■6/share, up by 20% vs ■ 5/share declared in the previous year. Since our listing in 2007, we have never diluted equity while consistently paying out dividends and executing three buybacks. This has only been possible due to our unique capital allocation model, wherein our large investment book serves as a strong backbone to all our ope rating businesses.

Before I deep dive into quarterly performance updates, I want to reiterate that each of our businesses offer huge headroom to grow in the next decade. Following 5 points will corroborate this -
- Savings invested in Equities are just 5% in India vs 40% in US
- Retail ownership of stocks and participation in Broking is just 10% vs 55% in US, which augurs well for our WM business.
- India’s Mutual Funds AUM to GDP is at just 20% vs 120% in US, a positive for our AMC business.
- For our Alternates franchise, AUM in India has grown by 54% in past decade to reach USD 400bn. This is expected to cross 2Tn USD in next decade. This number is currently around 25 Tn USD globally and continues to grow strongly .
- For our PWM business, invest able wealth which is also the TAM that we are targeting is expected to grow by 15% over the next five years to reach ■ 240 Tn or around USD 2.5 Tn . This augurs well for our Private Wealth business.

The tailwinds across all the key businesses of the firm c ontinue to be quite robust.

MOFSL is the largest integrated capital market player with promoter's holding of ~70%. We are ranked amongst Top 150 companies on TTM PAT and amongst top 200 companies by market cap. We see improvement in these rankings given o ur continued higher earnings growth potential vs markets going forward.

Segmental Performance

Turning now to our segmental performance, starting with Asset and Private Wealth Management business.

Asset and Private Wealth Management Business

Asset Management Business
• The Asset Management business (AMC + Alternates) continued its momentum during the year with strong market share gains. Net flows in Q3 FY26 were robust at ■ 11,600 crores. Our AUM stood at ■ 1.89 lakh crores as of 31st December 2025 , up 33% YoY. We continue to invest in talent, distribution reach and marketing.
• The operating leverage from rising AUMs should also be a driver to our profits going forward.

• We continue to build on our sales team to service expanding distribution network. Net flow s of the AMC (MF, PMS & AIF) business increased to ■ 10,699 crores in Q3FY26 .
• 91% of our AUM outperformed their respective benchmarks in the past 3 years.
• The AMC business continues to gain market share with mutual fund AUM market share at 2.7%, highest ever. There is still headroom to increase further given that our net flow market share is much higher than 2.7% and stands at 7.6% .
• Our quarterly SIP flows crossed ■ 4,500 crores, 1.5x of the same quarter of previous year with highest ever market share of 5% resulting in a SIP AUM book of ■31,814 crores as on Dec'25 .
• We launched the consumption fund in Q3FY26 and raised ■ 1,100 crores .
• Our alternates AUM grew to ■ 34,28 4 crores.
• Our head count has increased to 620 in Dec '25 vs 536 in March '25 & 300 in March '24. We have more than doubled our manpower in the last 21 months.
• In our Altern

ate s business (PE, RE & Private Credit) , Indian Business Excellence Fund (IBEF) V has cumulatively raised ~■ 8,000 crores and expect the final close in Q4FY26 with a target size of ■ 8,350 crores, nearly 2x our last fundraise. By context, in our first fund we raised $ 62.5 million , $ 125 mn i n Fund II , $ 250 mn in Fund III , $ 500 mn in Fund IV and $ 950 mn in Fund V. We have been doubling our fund sizes for the last 17 years across the five series of funds that we have launched.
• We launched our private credit fund in January 2026. This is our entry into the emerging private credit segment. We believe, Alternates business provides multiple opportunities that we haven't explored yet and remains a very large TAM to target for us as the wealth of the country rises over the next 10 years .
• With the above fundraises in Alternates segment, it will boost our recurring revenue base of the group.
• Our Private Equity business has a fee -earning AUM of ■ 17,853 crores across the growth capital and Real Estate funds
• During the current quarter, we have recognized accrual income as select funds have p rogressed to a stage where recognition criteria are met and systematic accruals have commenced. The income is currently accruing from only two mature schemes, indicating significant headroom for scaling up , as newer fund vintages advance along their life c ycle.
• As you know, the fund sizes have been doubling with the latest fund being close to $1 billion. Hence, we expect these accruals to be recurring and growing contributor on QoQ and YoY basis to our Alternates business going forward , as visibility and ce rtainty of reali sation have materially improved based on the substantial outperformance with the funds delivering IRRs of 20%+, way above the hurdle rates for these funds.
• Overall, these accruals represent a structural , high -quality ARR income and scalable earnings lever for our group profitability , with predictability improving as the alternates platform matures. This is in -line with the best practice followed by large global alternate listed platforms.

Private Wealth Management
• Our Private Wealth business is on a strong growth path. Our AUM grew 31% YoY to ■ 1.95 lakh crores.
• We have 8,200 + families , grew by 41% YoY, served by a high -quality RM team of 410 +.
• We expect the RM productivity to improve as only 34% of the RMs have a vintage of 3 + years.

• Our revenue stood at ■ 816 crores for 9 MFY26, up 16% YoY. We are second among listed players by revenue in this segment.
• PAT at ■ 280 crores for 9 MFY26, up 14% YoY. Cost -to-income ratio improved to 53% in 9MFY26 .
• Share of Private Wealth business in group PAT has increased over the years as a result of operating leverage and comprehensive proposition straddling HNI & UHNI segments. We expect the share to continue to rise going forward.

Wealth Management Business

• In our Wealth Management business, PAT stood at ■ 181 crores , flat YoY.
• Our distribution book grew 34% YoY to ■ 42,775 crores.
• NII income recorded 21% growth YoY, supported by robust book expansion . Our total loan book AUM grew 25% YoY to ■ 6,630 crores. Our MTF market share is close to 7%.
• Our ARR book grew by 33% YoY. It is Important to note that our share of broking revenue in the Wealth Management segment has declined from 60% in FY21 to 37% in Q3 FY26, led by sharp focus on growing our distribution income & NII.
• Our brokerage revenue grew 15% QoQ in Q3FY26. Cash volume market share was robust at 6.9%. F&O Premium market share stood at 8.4%. Blended ADTO market share stood at 7.8%. Our Broking business continues to retain leadership as a full -service broker. We believe we are the largest broker in the cash segment on revenue market share.

Capital Market Business

• In our Capital Markets business, PAT grew 15% YoY in Q3FY26 to ■ 70 crores. The IE bus

iness
continues to increase research coverage. We have 350 + stocks under our coverage & plan to increase this to 400 by the close of this year. With this, we'll be the largest research house in terms of coverage of stocks with the ambitio n to increase this number materially in the years to come.
• Within the Investment Banking business, we have successfully completed 51 deals in the 9 MFY26 with cumulative issue size of ■ 77,150+ crores and our fee income in 9M delivered 52% growth on YoY basis to ■65 crores. We were ranked #1 on number of QIPs and IPOs for CY25 in the League Tables.
• We have strengthened our team over the past few quarters across both businesses and continue to be positioned as a preferred banker to our clients

Housing Finance Business

• In our H ousing Finance business , disbursements was robust at ■ 364 crores after adjustments for the one -time change in disbursement recognition. Excluding this adjustment, disbursements have grown by 47% YoY to ■ 578 crores .
• AUM grew 24% YoY to ■ 5,379 crores.
• Gross NPA and net NPA stood at 1.4% and 0.9% as of Dec ’25.
• We expect the Housing Finance business to witness strong growth over the next 2 t o 3 years.
• Business has a strong capital adequacy ratio, low leverage, giving us enough growth levers without any external capital dependency.
• Business continues to invest in people. Our Sales RM base is up 39% on YoY to 1723 from 1238 previous year.

Outlook with concluding remarks

• To conclude, our recently published the 30th wealth creation study highlighted that India offers multi -decadal trillion -dollar opportunities led by long period of sustained economic growth. The resulting wealth effect will benefit capital market players in general and more for integrated players like Motilal Oswal.
• In the past 17 years, our GDP went up from $ 1 trillion to $4 trillion. Interesting fact is that the market cap CAGR has been higher at 1.5x the 20 -year GDP CAGR. We expect next 17 years will quadruple the GDP to $ 16 trillion with cumulative savings of $ 47 trillion during the same time frame and a multiplier effect of market cap to GDP.
• Financialization theme should gain further traction with increasing pene tration in multiple products that Motilal Oswal offers. As leaders in each of our business segments indicate huge

headroom to grow at high rates over the next 5 years, we believe that we should continue to perform far higher than the market rate of growth

We'll now open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from Mahek from Emkay Global.

Mahek - Participant:

I have two questions. First on the distribution income for both the Wealth and the Private Wealth Management businesses. So, while it saw a dip particularly on account of lower transaction income booked during the quarter, could you help us with some color on your expectations, particularly for the distribution income in Q4 on a Y -o-Y basis? So that was my first question . And secondly, on the Asset Management business. So, while the net flows market share has seen a slight of decline on a Q-o-Q basis after gaining consistent market share in the last few quarters. So just wanted to know your thoug hts on the same.

Navin Agarwal, Group Managing Director :

We don't give quarterly distribution growth guidance. But as we have highlighted, the transaction - based revenues will see volatility on a QoQ basis. The external market conditions at a broader market level have been quite weak, and that has impacted the TBR revenues of most of the players, including us. The good news in the meantime is that , our ARR revenues have scaled up meaningfully. We see these revenues further scaling up as the private credit offering of the group is launched & revenues for which should come through in Q4FY26. The focus is to strongly grow the ARR reven

ues while
opportunistically building on the TBR revenues whenever marke t offers an opportunity.

On the AMC flows, the net sales market share this quarter has been 7.6%, way above the AUM market share & 91% of the AUM of the firm continues to outperform the benchmarks on a 3 -year basis.

There are some interesting facts that I'd like Prateek to share about the asset management company, which will give you some understanding of what we have done over the course of the last 1 to 2 years and how this will play out over the next 1 to 2 years.

Prateek Agrawal, MD and CEO, Asset Management:

Our 3-year performance is important because most distributors and digital channel focus on 3 -year performance s. On last 3 years basis, 91% of our active AUM is beating the benchmark. Most of our funds bring out the top position in their respective cohorts . On the Alternates side, 60% of our AUM beats the benchmark on a 3 -year basis. On net sales, we are at 7.5%, similar to last quarter. Passives market share have moved up at around 6%

In the near term, our peak on the active side was in Oct’24. After that, we have seen a small dip. But as yet, we continue to get positive inflows . On the people side, we have added to the teams very strongly over past 2 years. In FY24 , we were 30 0 people , which increased to 493 in FY25 and as we speak it is 620 . Of these 620 people , people on the investment side have increased from 29 in FY24 to 36 in FY25 & as we speak, we are at 43. We have hired 11 new managers over the last 2 years and have significantly strengthened & diversified our investment capabilities.

In terms of growth prospects, people look at 3 -year track record for growth. We have 6 schemes , out of those two schemes are top 2 in the industry in terms of net flows and one is in top 5 for 9 MFY26 . We

have a strong runway for growth with 2 more products in major categories. A large cap and small cap would complete 3 years in FY27 and 9 products will complete 3 years in FY28 . We believe , as more and more products cross the 3 -year hurdle; our overall mark et share should then settle at a higher level.

Moderator:

The next question is from the line of Nidhesh from Investec

Nidhesh – Participant:

Firstly, on the operating expenses this quarter, we have seen that the opex across all businesses have declined on a sequential basis. So how should we think about this? Is it because the top line has been a bit soft? So , we have cut down on cost or there is a variability in opex? How should we model it? And how should we think about the trend in operating expenses?

Shalibhadra Shah – CFO:

The transactional revenues across our Wealth Management, Private Wealth and Capital Market business es have been lower sequentially. A lot of costs in these businesses are variable costs which were lower during this quarter , especially the people cost in line with the transactional revenues . Our operating margins remain intact, on a 9-month basis

Navin Agarwal, Group Managing Director :

We have very strongly added to our aggregate manpower in FY 23, FY24 and FY25 which is a tad lower in the 9 MFY26 .

Nidhesh – Participant:

Yes, because we see that the headcount has also declined, I think, on a Q oQ basis?

Navin Agarwal, Group Managing Director :

As of 9 MFY26 , it's a tad lower, led by the contraction in the W ealth management revenues and the headcount. There has been very strong growth in all the other businesses.

Nidhesh – Participant:

Second is how much of our distribution AUM, both in Wealth Management and Private Wealth management is coming from our own AMC?

Navin Agarwal, Group Managing Director :

It is very small; the Asset Management firm has grown very strongly over a period of time. It has come down to just over 10%.

Nidhesh – Participant:

Sure. And lastly, on

AMC, so with the change in the top leadership at AMC, how are we planning to stabilize the top leadership? Are we looking for an external candidate and by what time we should see a new CIO at AMC?

Navin Agarwal, Group Managing Director :

We have significantly augmented our investment team. There are already co -fund managers for those schemes, th ey will continue business as usual. In terms of additions to the investment team, we had a very busy schedule of new product launches in the last couple of years & it's also in FY27 and FY28, we will see the benefit of many of these funds crossing 3 years vintage . We still have important categories that are open. The hybrid category has become a very large category in the mutual fund industry, and we have l ess than 0.5% of our AUM in the hybrid category v s industry having substantial AUM.

We will continue to add to our investment team, including our leadership like we have been doing in the past. The investment team size has more than doubled and 11 new FMs have been hired. We will need to augment this further just to support the new fund NFO launch pipeline that we have filed with SEBI, which are coming up for laun ches. In a large category like the financial services, we did not have a fund there . We have launched one in this category in the month of January of Q4FY26 .

Augmenting overall investment team & leadership through internal promotions as well as external hiring is something that we'll have to do, including the leadership transition that we recently announced.

Moderator:

The next question is from the line of Lalit Deo from Equirus Securities.

Lalit Deo – Participant:

So, I have 2 questions. So firstly, on this Wealth Management and the Private Wealth Management business. So , we saw some moderation in the net flow side. However, on a 9 -month basis, it's still strong at around more than 30% of their opening AUM. So how shou ld we see the net flow momentum for FY27? That was first question

And secondly, on the AMC business. So , in this particular quarter, we recognized a carry income of around INR 58 crores, now we mentioned in the remarks that it will sustain in the coming 3 to 4 quarters. So , what should be the steady number for that carry income like over the next 12 to 15 months?

And just lastly, on the lending book, like we have -- like on a 9 -month basis, it has grown by more than 30% on the overall lending, both in Wea lth Management as well as Private Wealth Management. So for FY '27, how should we look at?

Navin Agarwal, Group Managing Director :

As far as the net sales for Wealth Management & Private Wealth Management business is concerned , Q4FY26 should also be strong as we are looking at the first and hopefully, the second close of our private credit fund , that should be a very strong new addition . Our Private Wealth and Wealth Management businesses are distributing th is product which is exclusive & only distributed by our internal team, that impact should come in.

We continue to see a slowdown in the overall markets and net flows in the last quarter. However, given the significant ramp -up that we have seen in the private banking size that we hav e, we would expect many of those RMs to bring in the AUM. We would look at continued strong net sales growth in both of these businesses in FY27 over FY26.

We have been very underrepresented in MTF segment , NII in the Private Wealth business and in LAS. This is a focus area for the group given the strong credit rating of AA+, controlled gearing and strong net worth. The Dec'25 net worth is 23% higher than Mar'25 net wort h, one of the highest net worth growths in the industry across businesses. The net worth is strong, c redit rating is strong & borrowing capability exists at very, very attractive rates because of the strong AA+ rating. We believe that NII will b

e a very important growth driver in FY27 compared to FY26.

Turning to accruals , only 2 of our funds have crossed the threshold. Because of that, we've reported ■ 58 crore s accrual income this quarter. We believe this is just the beginning. These numbers should at least repeat, if not increase , in the coming quarters. You can easily multiply this by 4 for the next year and then take growth from there YoY in FY28 and FY29 as more vin tages get into the maturity phase

Moderator:

The next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh – Participant:

I was just asking that in terms of your carry income booking strategy, what is the prudent strategy that we follow in terms of how much do you book in which quarter prior to the exit? Second question was on the Wealth Management side, the Private Wealth side

Can you give some color on the RM, relationship manager, supply side and in terms of competition and att rition, how are the trends for the industry? And third question is in terms of the white spaces available on the Alternates side of the business for the next 3 to 5 years, if you can give some color on that?

Shalibhadra Shah – CFO:

In terms of the additi onal returns accrual, the methodology followed as per our policy is that , if the fund returns are above the defined threshold over hurdle, we accrue the carry in the last 3 years of the maturity of that fund .

This basis has been consistently followed. Every quarter, the NAV is trued up to recognize the incremental change in returns of th at fund. It will be a recurring line item, on a QoQ and YoY basis.

Ashish Shanker, CEO, Private Wealth Management:

Over the last 3 years, our RM strength has gone up almost 2.5x. Whil e the competitive intensity is extremely high right now, but still even at a private banker level, they are choosing platforms which are extremely stable and platforms which help them become productive faster .

Given the kind of disruption that we are seeing around us, we are emerging as an Employer of Choice because of the strong brand institution and the capabilities that we have invested in over the last 2

to 3 years. We continue to see good talent coming in, and we have an extremely robust pipeline of private bankers who will join us in the next couple of quarters.

Navin Agarwa l, Group Managing Director :

On the Alternates business outlook , we started with two products, Private Equity and Real Estate. In Jan’26, we've launched the third product, Private Credit. Going forward, we believe that there are at least 10 more categories of products that are left to be launched . If you benchmark the leading Alternates platforms globally almost every year or every alternate year you will see us launching a new strategy .

Across the 5 fund vintages for our growth fund, our fund si zes doubled from $ 62.5 million to $ 125 million to $ 250 million to $ 500 million and now $1 billion. We expect th is strong growth to continue , given the difference present between a domestic growth fund and a global growth fund right now. This is somethi ng that we expect to continue .

Other important input is that within our funds, the share of offshore raise has been rising fund on fund. In IBEF V, we had 4 5% of our AUM being raised from overseas compared to ~31% for the previous fund & 26% for the third series . We expect this to go up in the next series even further because we had substantial unfulfilled demand on the offshore side for the fifth series. We have many vectors of growth for this business, and this should be one of the fastest -growin g businesses in our portfolio.

Moderator:

The next question is from the line of Aravind Ravichandran from Sundaram Alternates.

Aravind Ravichandran : Participant

I need to understand like in Wealth and Private Wealth Management, especially distribution income, why are we se

eing such a volatility across quarters? Is it because of flows volatility in like Alternates business? Like how to understand this? If you can help me with that? That is my first question.

And second question is on like o pex, especially in Wealth and Private Wealth Management. How to conceive this like is it going to be -- since we have hired -- ramped up our RM and other basis, especially in the last 2 years, is it going to be primarily like getting the better business ou t of the existing RMs? Or is it going to be bit more balanced in terms of RM hires and other employee hires as well as better productivity from the existing RMs? Yes, these 2 questions.

Ashish Shanker , CEO Private Wealth Management

On the flows front in last 3 years, bulk of the inflows have been led by monetization events, whether it is unlocking of promoter stake or ESOP. Typically, these flows are dependent on markets. If you see on a quarter -on-quarter, there will be variability. However, if you see o n a YoY basis, we've been steadily capturing market share.

In fact, if you look at the net flow addition for the last quarter and compare it with some of our competitors, we've gained a lot of market share there as well. So , on a QoQ basis, you will see s ome variability in flows. But on a YoY basis, we are steadily gaining market share.

Aravind Ravichandran : Participant

About distribution revenues, like why is it volatile, especially in Wealth and Private Wealth Management across quarters?

Navin Agarwal, Group Managing Director :

As Ashish just explained, the TBR part of the revenues are volatile. But the flow volatility comes out of what happens to the market and the resulting impact on the monetization & resulting deals. But on a YoY basis, you should continue to see reasonably strong growth.

Also, sometimes we have very large captive fund closures. We had our growth capital fund closure in the second quarter of this financial year where net flows got really bumped up . In Q4, we will have the first and the second close of our private credit fund, which is only captive. When we have these very large fundraises which are completed in a quarter, there will be spike in the net flows as well.

Shalibhadra Shah – CFO:

Also , to add, ARR distribution assets in both WM & PWM businesses have grown . For 9MFY26, i n Wealth Management it grew 36% YoY and in Private Wealth Management it grew at 31% YoY. ARR revenue line item moves in line with the growth in the ARR assets and yields have been pre tty stable there as well. So, ARR revenues are very predictable on the distribution side and as explained, the impact is only because of the transaction flows. Also , transaction revenues related to distribution witnessed strong growth on 9 -months YOY basis .

Aravind Ravichandran : Participant

Understood. Understood. And my question on opex . In Wealth and Private Wealth Management, how should I view the opex growth, especially in the view of our ramp -up in RMs in the last few years? Is it primarily going to be productivity increase? So like it's just going to be yearly rises for employees, not much from addition of employees? Or is it going to be balanced in terms of opex growth, especially from the employee expenses side?

Navin Agarwal, Group Managing Director :

Our cost -to-income ratio for this business peaked in FY'24. FY'25 was that lower than '24. We've seen some further benefits in the current financial year. It's about 100 basis points lower cost -to-income ratio for this business. I think you should see this trend continue as the RM vintages progress to 3 years. We have ~60% of our RMs with less than 3 -year vintage as we speak.

Aravind Ravichandran : Participant

Okay. Okay. So focus is going to be there. And just one last question, like especially in Wealth Management business, in order to improve our distribution

income potential like further and further,
do we need to invest in any like a huge RM or other employee base to increase ARR mix, especially other distribution income, especially in Wealth Manageme nt?

Ajay Menon, CEO, Wealth Management

On the overall distribution side, we are surely hiring the RM. But at the same time we are able to increase the overall pie through a lot of digital initiatives plus a lot of investments on the tech side with AI for cross -selling. We are looking at cross -selling in a big way across our network, which has still lower penetration at around 14% and can be much higher going forward. So , the scope to grow is immense even further now

Moderator :

The next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited

Sucrit D. Patil : Participant

I have 2 forward -looking questions. My first question is to Mr. Agrawal, Mr. Raamdeo Agrawal. Given the evolving macro -outlook and market volatility and ever -changing client behaviour across retail and institutional space, how is Motilal Oswal adapting its business mix and go -to-market tactics to expand client engagement and wallet share across broking, wealth management and investment banking.

In particular, how are you balancing growth with profitability in your initiatives such as alternate asset manage ment and financing business while maintaining quality of service and competitive differentiation? That's my first question. I'll ask my second question after this.

Raamdeo Agrawal, Ch airman

This is the heart of the entire strategy that Motilal Oswal remains not only the largest capital market company across all the businesses put together but also have a very strong balance sheet . As Investment B anking becomes more powerful, as the market cap goes from INR 5 trillion to INR 10 trillion in the next 7 to 8 years there will be emergence of very large banks.

And the deal sizes will also go from $1 billion , which is very common currently, to $5 billion / $10 billion single deal. In that case , you need a very large banks with large balance sheet and larg e profitability also. We are trying to make it as a talent powerhouse because ultimately, the talent , net worth and profitability is going to make a difference. We are seeing that the businesses have tailwinds in some year s, like broking from year 20 21 to 2024. Then regulators came and put some restrictions to the F&O business. So Broking business which become very large, got a setback for last 1 year. But other businesses which are non-broking businesses became very large.

In this quarter, we ha ve grown 16% in terms of operating profit to it’s history's highest ■ 611 crores for the qu arter and very high -quality profit despite the fact that broking revenue has been muted.

Going forward, as the capital market businesses become from 200 million Demat accounts to more like 500 million Demat accounts in the next 7 to 8 years and the market cap goes from ■ 5 trillion to ■ 10 trillion , we are seeing big opportunity in every business . In current businesse s, we'll keep growing vertically and horizontally we'll be adding few adjacencies, like in Alternate business we have started with the private credit. We'll be looking for other opportunities in the sa me front where the businesses could be very large as the economy grows.

To summarise, the relevance of capital market remains center of the economy and as per my wealth creation study now the financial wealth will drive the real economy. In that situation, emergence of capital market companies will be a very important and that's where , we have positioned ourselves and hedged our bets by putting it across in all the businesses.

Sucrit D. Patil : Participant

My second question is to Mr. Shah. With financial markets constantly appearing -- experiencing bouts of vol

atility and varied liquidity conditions. How are you thinking about margins sustainability, capital efficiency and risk management across the key business verticals? Additionally, can you s hed some light on the capital allocation framework and balance sheet priorities as you scale Wealth and Asset Management operations alongside traditional broking and transaction -based?

Shalibhadra Shah – CFO:

Our net worth has been very strong at over ~■ 13,000 crores. On the capital allocation side, our last decadal average dividend payout ratio has been ~20% of operating profits and the residual cash after that continues to flow in our treasury investments which has efficient ly generated ~ 18.5% IRR since inception. On the risk side, we ensure that, k eeping sufficient cushion to leverage and sufficient margins for the mark -to-market risks so at to see that our gearing in capital market business remains within the 2x limits and risks adjusted returns are sustained ., At the same time treasury capital actually becomes the base for the operating businesses to grow their profits and free cash flow. Moreover , as highlighted in earlier question , large portion of our costs are variable for sustainability of m argins . All of this has result ed in generating operating ROE of ~24% and overall ROE of 26% in the current year .

Moderator:

We'll move on to the next question, which is from the line of Dev Shah from Haitong Securities

Dev Shah: Participant

Congratulations on a good set of numbers. Just wanted to ask on the wealth management piece. The cash and F&O premium market share has been declining over the last couple of quarters. Just anything to read into that? And further, the revenue composition in the wealth management section from relationship managers has been steadily declining and external wealth managers has been rising. So, I just wanted some clarity on that.
And secondly, on the alternates piece, are there any further fund launches planned o ver the next couple of quarters? And what are we thinking about SIPs as a product category? Yes, those are my two questions.

Shalibhadra Shah – CFO:

On the market share - our F&O premium ADTO market share has actually g rew up by 20 bps on YoY basis to 8.4% . Cash market shares have been lower YoY as our Cash ADTO has been lower by almost 20%. Our cash market share is lower because , we have an research and advisory model , where we advise the customers based on the market situa tion. At the same time, when the markets are booming, the overall positioning on the advisory and research comes in where the market share goes up. In last 4 years, our market share has almost doubled . In the current market , mix of trading volume has gone up versus the delivery volume and we have a healthy share on the delivery side . So, marginally the mix change has also impacted our cash market share. But we believe that on a medium to long term, our cash market share continues to rise .

On The composition of revenues in the Wealth business - we have both the channels , one is our direct channel, which is operating through our own branches and the second channel is our external wealth manage rs. Mix of this one can't control or guide because we wou ld expect both the se channels to continue to grow. Also, w e don't guide on the mix .

Navin Agarwal, Group Managing Director :

On the Alternates side, as I highlighted earlier , we launched a private credit fund in Jan ’26. We are quite underrepresented on the credit side. So, we will be launching a few more credit products over the course of the next 1 to 2 years. We will share those details with you as and when we are ready to launch those products. Over the next few year s, there will be many more categories that we will be entering as this business is in the highest nascency compared to all our other businesses today. As a consequence, ev

en the growth rates of this business should be higher. Luckily, all of these are ARR revenues with very strong sustainability and predictability.

Moderator:

Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Shalibhadra Shah for closing comments. Thank you, and over to you, sir .

Shalibhadra Shah – CFO :

On behalf of Motilal Oswal Financial Services, we thank every participant for attending the Q 3FY26

con-call. In case you have any further questions or clarifications, please do get in touch with our
investor relations desk. Thank you and have a great day.

Please contact ir@motilaloswal.com for any queries.

Call: May 2026

May 07, 2026

To,
BSE Limited
P. J. Towers,
Dalal Street, Fort,
Mumbai - 400001
Security Code: 532892
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (E),
Mumbai - 400051
Symbol: MOTILALOFS

Sub.: Transcript of Earnings Conference Call with Investor(s)/Analyst(s)

Dear Sir/Madam,

This is with reference to our earlier letter dated April 23, 2026 regarding Intimation of Earnings Conference Call ("Con -Call") with Investor(s)/Analyst(s) held on Thursday , April 30, 2026 to discuss Financial Performance for Q 4 & FY 202 5-26.

In this regard, pursuant to the provisions of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended from time to time), please find enclosed herewith the Transcript of the said Con -Call for your reference .

The aforesaid Transcript of the said Con -Call is made available on the Company's website i.e . https://www.motilaloswalgroup.com/Downirvirdir/648352072CT_Q4FY26.pdf

Further, we hereby confirm that no Unpublished Price Sensitive Information was shared or discussed during the said Con -Call.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Motilal Oswal Financial Services Limited

Kailash Puro hit
Company Secretary & Compliance Officer

Encl.: As above

Motilal Oswal Financial Services Limited

Q4 & FY2 6 Earnings Call Transcript

This document is a transcription of the conference call conducted on 30th April 2026.
Click Here to listen to the original audio.
For past recordings Link, transcripts Link, Investor Presentation Link and Excel Data Book Link
Please contact ir@motilaloswal.com for any queries.

Manish Kayal - Head Investor Relations

Good afternoon, everyone. I welcome and thank all the participants on behalf of Motilal Oswal Financial Services Limited to attend our Q 4FY26 earnings call. We hope that you had an opportunity to go through our investor deck and press release uploaded on stock exchanges & our website yesterday. We have also uploaded our Excel data book , which has all the operational and financial numbers . Please note that today's discussion may include forward -looking statements. These forward -looking statements are based on our macro assessment and the actual outcome may vary. Today, w e have our entire Senior Leadership on this conference call. We'll start with an opening remark by Navin Agarwal , Group MD , and then we'll have a Q&A session.

Navin Agarwal , Group Managing Director
Thank you, Manish. Good afternoon, everyone.

Group Strengths & Past Decade Operating Performance
• Starting with a broad backdrop, Motilal Oswal Financial Services Limited is the largest integrated capital markets player with strong and rising rankings across businesses, rising share of annuity revenues and with each business still offering a strong grow th runway.
• Since our listing back in 2007, we have never diluted our equity while consistently paying out dividends and executing 3 buybacks. This has only been possible due to our unique twin engine business model, wherein our large investment book serve s as a strong backbone to all the operating businesses, which has seen rising needs of capital over the years due to changing regulations or strong growth in terms of the scale of the businesses .
• Our operating businesses have delivered a 10 -year compounded operating profit after tax growth of 33% per annum, EPS growth of 28% per annum, return on equity of 23%. This strong growth is supported by our investment book, which grew by 40% compounded since inception, led by a combination of strong IRRs as well as reinvestment of the operating profits post distributions.
• Annuity businesses contribut ing over 60% of the group's revenues have risen in the last 5 and 10 years,

and will continue to rise going forward, resulting in improved quality as well as predictabil ity of our cash flows.
• This growth is powered by future -ready tech infrastructure. We have embedded AI in every facet of business process , improving internal productivity, strengthening execution and creating a long -term strategic differentiation.
• We are now ranked among the top 150 companies based on the 2025 calendar year PAT, and among top 200 companies by market cap italisation. We see the next decade offering equally exciting prospects, which should drive further improvement in these rankings.

• Capital Markets index is a rising part of NSE 500 Index and its share in the NSE 500 has grown from near 0.13% 10 years ago to 0.84% 5 years ago and now stands at over 2.5%. The number of companies in the capital market segment increased fr om just 3 , 10 years ago to 10 companies 5 years ago and now at 18 companies.
• Motilal Oswal Financial Services has generated alpha for all its shareholders by delivering a 10 - year return of 26% versus 17% for NSE Nifty 50 and 12% for NSE 500. Strong growth in India's total wealth from just over $10 trillion now to over $100 trillion in the centennial year of India will lead to increasing financialization of these large wealth pool or savings, and continued industry consolidation augur well for MOFSL in the d ecade that is ahead.

Turning now to our FY26 performance

FY26 Performance Highlights

• FY26 continues to witness strength in most of the businesses. Growth has been led by annuity businesses, mainly Asset and Private Wealth Management businesses .
• Our operating profit after tax in the year FY26 grew by 16% YoY to ■2,360 crores, led by a 33% growth in the profits of Asset and Private Wealth businesses. These businesses now contribute around 50% of the total operating profit, and we expect their share to continue to rise as these businesses continue to grow at a faster pace.
• Operating profit after tax for the fourth quarter grew by a strong 25%, and was the strongest in the 4 quarters of the last financial year. We exit the last quarter with an operating PAT run rate of ■661 crores. Our long -term credit rating was upgraded to AA+, with stable outlook. This is the highest rating ever granted to any non -bank domestic capital market player in India.
• Our total profit after t axes, including OCI for the fourth quarter and the full year is impacted due to mark -to-market on our investment book, which currently stands at around ■9,000 crores. These are unrealized losses and most of it has already been recouped in the month of Apri l 2026 .
• The strong operating performance has been delivered in the backdrop of head winded external environment, be it weak markets impacting mark -to-market in our AUM in multiple businesses coupled with multiple regulatory changes, like the F&O changes, r equirement of higher margins,

etc., impacted market breadth.
• Also, FY26 was a year of investments on all fronts in the group, be it people, brand or technology. We've not left any stone unturned to maintain our leadership position in our businesses.

Turni ng now to our Segmental Performances

Asset and Private Wealth Management Business

Our Asset Management and Private Wealth business continued momentum during the year with robust net flows of ■70,000 crores and an AUM of ■3.7 lakh crores, which is up by 34% year -on-year. The operating leverage from rising AUM has delivered a stronger pro fit growth, and should continue into the future.

Asset Management Business
• Our AMC AUM crossed ■1.5Lakh Crores with diversified across active, passive, AIF and PMS. Unique PAN catered by our AMC crossed 1 Crs in Mar ’26 vs 77 lacs in Mar’25 which shows strong confidence by retail investors in our franchise. This is around 16% client share of the Mutual Fund industry. The revival in the April month itself has

propelled our Average AUM to grow from 1.57 Lakh
Crs to Rs 1.8 Lakh Crs reflecting the continued momentum in the business.
• Our product bouquet is pretty young as significant flows comes only when a produ ct has 3 years track record. We launched 5 new MF Active Products in FY26 increasing our presence to 82% of Industry AUM. Importantly, only 6 of our funds have a vintage of over 3 years vs 42/29/26 funds

with similar vintage in the case of top 3 peers. We expect 8 funds to cross 3 years vintage by Mar’27 and 16 funds by Mar ’28. Some of these are best performing funds since inception in mainstream categories. This should help in strong flows as well as diversification of the AUM over the next 2 years.
• FY26 SIP flows crossed ■ 16,000 Cr. mark, up 78% on YoY basis with a market share of 4.7% resulting in a SIP AUM book of ~■ 30,000 cr as on Mar’26.
• Our latest AUM at ■1.8 lakh cr is already 15% higher than the FY26 avg. of ■1.57 lakh Crs. AUM growth will be sup ported by strong 18,000 cr of annualised SIP run rate . More products crossing 3 -year vintage and collections from proposed NFOs should help the discretionary flows as well.
• We are also growing via GIFT City route, targeting inbound and outbound flows.
• To Summar ise – AMC business will be key growth and ARR driver for MOFS L on the back of 4 factors
o Higher net flow market share than AUM market share
o Improving market share in net flows led by greater number of products crossing 3 -year vintage and launch of new products .
o SIP run -rate of around ■1,500 Cr. per month.
o Potential MTM after muted market returns for last 2 years

Alternates / Private Markets
• FY26 was eventful for our Alternates business too. We raised our largest growth capital fund IBEF V raising c lose to a billion dollars. This leads to 40% growth in fee accruing AUM from average AUM of ■15k Crs to closing AUM of ■21K Crs. This AUM growth will be further supported by a strong launch pipeline with our maiden Private Credit fund of ■3 ,000 Crs , first Commercial RE Fund and launch of Series VII of our Residential RE Fund.
• Alternates is a high -focus segment for us given the trillion -dollar AUMs in developed market. We have a strong franchise in growth capital and real estate and are confident to deliver industry leading IRRs to our clients in all the products that we offer. With recent launch of Private Credit and forthcoming launch of our Commercial RE Fund , we will be offering comprehensive product offerings in Alternates which is seeing increasing allo cation from family offices as well as institutions .
• To Summar ise – Alternates Asset Management Business too will a key growth and ARR driver for MOFS on the back of 3 factors
o Larger fund raises in every subsequent series . Each of our funds have doubled in size from Series I to Series V
o Entry into Adjacencies and newer categories
o More funds entering Variable additional returns recognition threshold which will boost our revenues run rate .

Asset Management now contributes 33% to Group’s Operating PAT in FY26 vs 26% in FY25 .

Private Wealth Management

• We have made large investment in senior leadership / RMs and we will continue to do so in a calibrated manner in FY27 as well . Focus is now on growing ARR AUM which is currently at ■46,000 Crs through various initiatives including advisory solutions, stren gthening leverage solutions as a value add for UHNI clients, exclusive co -investments leveraging group synergy, etc.

• Our 440+ RMs will also witness productivity improvement as 32% of them have a vintage of 3+ years.

All this will help in revenue growth along with cost to income improvement driving profitability via operating leverage.

Wealth Management Business

• Led by sharp focus on growing our distribution income & NII, our broking revenues in the wealth management segment revenue now st

ands at 35% compared to 60% 5 years ago.

• Distribution book grew by 41% to ■40,662 cr as of Mar'26 . We are confident that our di stribution book will continue to grow meaningfully as we harness the cross -sell potential of our huge client base .

• Our loan book in this segment rose 32% YoY, reaching ■6,094 cr. Our MTF market share is close to 7% and is expected to improve going forward.

• Our broking business continues to retain its leadership position as a full -service broker. We are the largest broker in cash segment on revenue market share. Our overall retail broking equity market share including commodity stood at 8.6% in FY26.

• To Summ arise - We expect our ADTO market share to improve as the global uncertainty subsides as we have witnessed historically. The distribution & lending book will continue to drive growth and increase its share in MOFS ARR revenue pie.

Capital Market Business

• With a $5 trillion m arket cap and growing, there is a base level of IB activity that the markets will see every year. While there may be huge volatility QoQ because of market conditions. Our IB business still has successfully comp leted 52 deals in FY26 with cumulative raise of ■ 83,600 cr and our fees income delivered a strong 39% revenue growth YoY basis to ■ 309 Cr. We are ranked #2 in the Capital Markets league table and #1 in QIP league table for FY26.

• In IE, we aspire to take our coverage up from the current 360 to nearly 500 companies.

• We have built a strong franchise and a diversified product portfolio. We have headroom to grow in some of the products like Advisory and M&A in the coming years. Our size per dea l is materially higher than in the past and with strong deal pipe line, we are well poised for growth in the coming year

Housing Finance Business

• In our Housing finance business concluded another solid year of performance. Disbursement (adjusted) grew 28% YoY to ■2,291 Crores. Consequently, AUM (adjusted) grew by 25% to ■6,100 Crs. MOHFL raised $100mn from Asian Development Bank (ADB), validating the stron g franchise.

• We expect Housing Finance business having formed a strong base and a very strong leadership team to witness strong growth over 2 -3 years. Business has a strong Capital Adequacy ratio and low leverage, giving us enough growth levers without external equity capital dependency.

Outlook with concluding remarks

• To conclude, the rise in wealth to over USD 100 Tn combined with financialisation of savings are powerful tailwinds in the rising weight of capital market sector within Indian market cap auguring well for the company. In this space, MOFSL's decadal track record of 33% compounded Operating PAT growth and average ROE of 23% has been delivered entirely through internal accruals, no dilution, rising market share in each busin ess, entering promising adjacencies in each of our businesses, rising share of annuity revenues to 60% and finally improving quality and predictability of our rising cash flows.

• FY25 & F Y26 marked regulatory tightening combined with weak markets. Despite t his, MOFSL delivered an Operating PAT growth of 16% in FY26 and 25% for Q 4F26.

• With regulatory headwinds in the base, continued resilience shown by Indian investors, future outlook continues to look promising.

We'll now open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from Mahek from Emkay Global.

Mahek - Participant:

So, I have a couple of questions. So first, with respect to the AMC business, right? So, if we look at the SIP market share, it has dipped a bit during the quarter. So just wanted to know your thoughts on the same and what initiatives are basically being taken to regain that market share?

Second would be on the revenue yields. So how should we look at the revenue yields going forward with respect to, one, the regulatory chan

ge in terms of TER? And second, how are you looking at the
alternate yield as well? Because if I look during the quarter, we have seen some bit of expansion in the yields. I think that would be largely on account o f new funds which are being launched. So, if you can clarify on that?

And third question would be on the Private Wealth Management segment. So, if we see the lending assets have seen strong inflows during the quarter. So, what has driven this growth in AU M and secondly, the inflows also? So, if you can just clarify on these things?

Prateek Agrawal, MD and CEO, Asset Management:

We are having a SIP run rate of ■1,400 + crores a month. There is a slight decline in passive MF side due to 1) Our international funds are no longer able to take new mon ey and 2) the microcap fund is also locked . On active MF side also, we have seen a small drop in SIP. SIP book growth is linke d to strong performance & as that comes back to us, especially in the main categories, you should again expect SIP books to climb. As we speak, they are at last year levels itself.

Our fees as a consequence of the TER changes continued to remain unimpacted. In fact, they have slightly improved for our cohort of AUM as that category did not get impact ed. On the alternate side, our retention rates have been maintained. If you see a comp ression in yields for us, it is on account of mix effect. As o ur fastest -growing part of business for last quarter was passives, where our retention is lower than actives, which is the second fastest -growing part of our business versus the alternate s busin ess where the growth was the slowest, but the yields were the highest. So, the mix effect does result in some downward pressure.

Ashish Shanker, CEO, Private Wealth Management :

On the lending side in Private Wealth, it's a stated strategy to provide solutions to ultra HNIs, family offices and HNIs to enhance yields. It's a combination of lending against securities & lending against investment assets that contribute to growth in a ssets as well as ARR revenues .

Mahek - Participant:

I had one more last question with respect to the other expenses, which is the admin and the other expenses. So, we have seen a sequential growth of around 20%. So, I just wanted to understand whether it is some sort of marketing or investment engagement program related expense or how should we look at it going forward in FY27?

Shalibhadra Shah – CFO:

Q4FY26 includes a predominant impact of higher marketing , brand promotion and CSR expenses. Bulk of which have actually been incurred in th is quarte r resulting in a delta slightly higher on a sequential basis . However, for FY26 , the overall other expenses are up about 10% YoY. Most of the other expenses include marketing and tech nology expense, where we have spen t ~5.5% of our net revenues for FY26 , which is a large part of the other expense s.

Deep Vakil - Participant:

Sir, a couple of questions. I mean, any guidance on the MTF book? I understand that we had around ■ 6,500 crores of MTF book as of 9 months FY26, which has been slowed down to ■ 5,700 crores as on March '26. So, any strategic thing that we are thinking aro und this? I mean, I understand that our major lending -- I mean, this is the major yield lending vehicle wherein majorly debt is needed in this book itself. So, any guidance, sir, on the MTF book and how are we looking at it in FY27?

Shalibhadra Shah – CFO:

If we look at our MTF book, it has grown by ~ 40% in FY26 , indicating a strong surge . Our cash market share is about 7% in FY26 and MTF market share is also a replica of that. We definitely have a very strong balance sheet to grow this book.

Over the last few years, there has been a very strong growth of our MTF assets. We expect a similar strong growth in the coming periods because we are the largest broker in terms of I

ndustry cash
brokerage revenue pie. Due to this, w e will carry an edge in terms of higher growth for our MTF book .

Deep Vakil - Participant:

Okay. And sir, I mean, any quarter -on-quarter impact, sir? I mean is it a strategic move that you have taken in this quarter to reduce maybe on a quarterly basis, then there will be an increase on the market stabilizes

Shalibhadra Shah – CFO:

It's more of a market impact . Across the industry, the book is marginally lower & it's a very marginal reduction in our book as well . We're very confident of growing this book in the future .

Deep Vakil - Participant :

Okay. And sir, any guidance on the broking income piece because I understand there was some degrowth in FY26. But for FY27 and half, I mean, FY27 I understand once market conditions stabili ses, volumes will return to normalcy. So, any kind of number that you can put to broking revenues, I mean, over FY27?

Shalibhadra Shah – CFO :

Broking revenue during FY26, especially starting from Jan '25 to Dec'25 was lower mainly because of the lower volumes and the impact of regulatory change s, which had come on the F&O segmen t and also the lower overall cash volumes in the industry.

However, if you look at Q4FY26 , the volumes have rebounded. Our overall ADTO market share is also up for the year by about 100 bps. In Q4FY26, brokerage revenue growth is ~33% YoY. Now with a higher

base in the current financial year over last financial yea r, we expect the brokerage line item to catch up for coming periods , given that the regulatory impact is behind and our volumes are up.

Deep Vakil - Participant :

Sure, sir. One last thing, sir. I mean, the MTM loss that we have had on the treasury book around ■1,000 - odd crores at consol idated level. So, sir, I mean, my understanding is that, I mean, post March 30, I mean, equities have valued and as you mentioned i n your PPT as well, majority of that loss has already been recouped. So, sir, that ■ 1,000 crores loss is unrealized, right? We have not booked any realized. There's no realized impact. It's unrealized gain, correct? Unrealized loss?

Shalibhadra Shah – CFO :

It is a notional mark -to-market loss . We revalue all our Long -only investments at mark -to-market based on the Ind AS requirements & that's why these are notional losses . We disclose Treasury performance and operating performance separately. As explai ned earlier, m ost of these MTM losses have been recouped back in the month of April 2026 .

Navin Agarwal, Group Managing Director :

The long -term 10 -year plus track record is that , this investment book has generated an IRR of 18%. This changes year -to-year because whe n there is a market drawdown, these compounded returns also look different. But in longer term, we've seen returns as high as 19% & as low as 15.5%. Whereas, in a longe r term, we've seen the compounding at 18%. When you add the post buyback or post dividend free cash flows to this book, it has actually compounded for the last 10 years at a rate of 40% per annum. The rising capital needs of the businesses, both due to scale and regulations have been internally funded on the back of this book .

One will see a lot of quarterly volatility in this book depending on the market volatility, unrealized gains / losses. That's why we separately report our operating profit after tax number for each business, causing no confusion about this line item with the operating businesses . All of these investments are actually collateralized with the lenders and serve as very large lines available for the operating businesses of the firm. Effectively, the collateral is also expanding at the rate of 40% per annum .

Moderator:

The next question is from the line of Nidhesh Jain from Investec.

Nidhesh Jain - Participant :

First question is on Asset Management business. Is there any update

on the investment team
leadership on the Asset Management side? Secondly, what is the guidance for net flows in the AMC business for FY '27?

Prateek Agrawal, MD and CEO, Asset Management:

Over the last period, we have increased the team size on both the alternate and mutual fund in terms of managers and research. Overall, the investment team, inclusive of passive is now over 50 members strong. As far as the leadership on the mutual fund side goes, we are evaluating both internal team members and external members & we will take a decision soon . In terms of net flows, they have declined in Q4FY26 . Jan ’26 was a bad month for our active net flows but passives did very well. Overall,

we collected over ■2,500 crores. Feb’26 was weaker on an overall leve l, as the gold and silver ETF product flows normalized. For Q4FY26 , our net flow market share was higher than the AUM market share.

Nidhesh Jain - Participant :

So just to clarify, net flow -- mutual fund net flow market share may be higher than AUM market share for the month of April?

Prateek Agrawal, MD and CEO, Asset Management:

Yes.

Nidhesh Jain - Participant :

Okay. That's good news. And secondly, so if you look at the capital market segment, we are seeing advent of digital brokers, and they a re now impacting a lot of segments. We are seeing our market share declining in cash and F&O, but they are also equally becoming very strong distributors on the mutual fund side.

So, in that light, how are we planning our businesses from a longer -term per spective? And how are we trying to build these businesses because what we see as a trend that customer is definitely moving towards those platforms.

And some of the numbers are quite clearing that 60%, 70% of the new SIPs are getting opened by these finte ch platforms. So that is a repercussion for all our businesses from a longer -term perspective. And how are we thinking to build business in that light?

Ajay Menon, CEO, Wealth Management :

Our Wealth Management business, that we are building on, have always been focus ed on the research and advisory model. If you look at our model, whether it is the franchisee segment, the direct side and the branch model, we are very well aligned with our research and advisory -led model, along with tech nology in the overall business. We are focusing on the quality of the customer, where we can add value . This has helped us to maintain our cash market revenue share of the overall industry revenue pie. We have align ed our strategy in a big way fo r the overall broking cum distribution model. Our Wealth distribution AUM has also been growing consistently and has gone 40% in the last year itself to ~■ 44,000 crores.

When one look at the discount model, the high value traders are in higher proposition in their overall revenue pie. We are also working upon to position ourselves for the high value trader which will primarily take care of the overall market share.

Moderator:

The next question is from the line of Dipanjan Ghosh from Citi

Dipanjan Ghosh - Participant :

A few questions from my side. First, on the Private Wealth business, if you were to look at your clientele base over the past 2 -3 years versus, let's say, what it was, let's say, 5 -6 years back. I just wanted to

understand so me sense of the clientele quality, both in terms of ticket size and in terms of occupation, business, domain of expertise, etc. If you can give some colour on that or maybe quantify some of those cohorts?

The second question is on the transactional revenu es’ ex of broking in the Private Wealth and maybe to some extent on the wealth business also. How do you see the pipeline going into FY 2027 given the backdrop of whatever has been going on globally?

And also, how do you really kind of manage your risk pr udence in this when you kind of sign

a deal for
the transactional section versus, let's say, focus on fees, how do you really manage that?

The third question is on the alternate segment. We are seeing some of the large Asset Management companies entering this segment in an aggressive manner or at least from their commentary, it seems that they will be aggressive.

Can you give some colour on the white spaces in this segment? I mean, your pipeline is robust in terms of new sales, but in terms of the white s paces in the segment, the supply side constraints, some of those -- if you can give some colour qualitatively. And lastly, one data keeping question. Is there any guidance or expectation around carry income for FY27 or FY28?

Ashish Shanker , CEO Private Wealth Management

Essentially, there are broadly 3 segments in the Private Wealth Management Business ; HNI segment (■50 Crs to ■100 Crs), UHNI segment (■100 Crs+) and Family Offices . We operate in all 3 segments & we've put significant capabilities and resources to improve the value proposition in the UHNI and family office segment. Whereas in the HNI segment, we are increasing footprint by having presence in many more locations where we see high growth of HNIs.

The best lead indicator to see the headline quality of assets is the AUM per RM. Our AUM per RM has been steadily increasing from ■ 300 Crs, couple of years back to ■450 Crs as on Mar’26 . This is on an increased base of RMs. So essentially, our penetration across segments is growing. At the back end, we have significantly enhanced the product and investment capabilities within Private Wealth Business to cater to all these segments. We have recruited people in equities, alternates, multi -asset solutions as well as certain bespoke transaction strategies.

The pipeline of transactions is very robust. In the near term, the markets could be cyclical and that could impact a particular asset class . But we have capabilities across asset classes. There ar e private debt transactions where we are seeing a lot of flows from family offices. Similarly, early last year, we saw a lot of flows in unlisted equity transactions. Whilst the sentiment may impact flows into a particular asset class temporarily , however, given the multi -asset capabilities that we have built, the transaction capabilities are becoming much smoother on a QoQ basis.

We draw a lot from the group capabilities. We've invested significantly at the group level as well to enhance capabilities in private credit on the real estate front, and we have a very strong private equity capability . Coupled with the capabilities on the Private Wealth side in the investment team and the group capabilities, the underwriting process is very strin gent and rigorous. Before deals would be taken to market or to clients, there is a lot of work that goes on before that.

Prateek Agrawal, MD and CEO, Asset Management:

On the alternate side, we have gained market share. We are amongst the top few in the industry with very distinct products with strong storylines. A lot of our products are turning into brands & are being asked by the investors for investing. We have a very differentiated product basket. On top of it, there are unique products where we mix listed with unlisted. Not too many houses have the capability of running that kind of a product.

Over and above the long -only investing in the alternate side, we also have quant -based investing. There is a strategy where we have some significant amount of money, which is now looking very strong. Overall, the alternate basket for us, is very relevant fo r investors.

On the mutual fund side, we have expanded our product basket tremendously. When a competition comes in, there is something which happens on year 1, & there is something which happens after year 3. We see as an industry, higher traction after a fund crosses 3 years of existence.

From a fix product basket, we are now over 17. As we speak, we have a contra fund launch going on. Gradually many products will start to complete 3 years which is 1) Small cap fund, which completes 3 years in December , 2) Large cap fund, will complete 3 years in January 2027 & post that every 2 months, there will be a meaningful product, which will complete 3 years. We think in the next leg of growth versus the last one, our inflows will be way more diversified versus w hat we had.

Shalibhadra Shah – CFO:

As far as the variable additional return is concerned, so we don't give out guidance. However, as explained in our last con call, we have multiple number of funds, which has reached in the last cohort of their life, where our IRRs are well above the hurdles, and we expect meaningful variable returns to accrue in the coming financial periods.

Dipanjan Ghosh - Participant :

Got it. Maybe just one small follow -up on my first question. You are a boutique wealth manager, which has gained scale over the years. In terms of this increasing clients or kind of increasing presence in ultra HNI and family offices, and your ability to kind of source large deals and execute large deals, I mean, what has changed in t erms of your -- how you're differentiating compared to, let's say, a small - scale wealth manager or some of the bank -based wealth outlets? I mean, what capabilities do you really have to kind of maintain or gain market share over medium to long term?

Ashis h Shanker , CEO Private Wealth Management:

Whilst our size has increased over time, our ambitions have never been boutique . Now, the size is reflecting our ambition, but the runway for growth is much larger from here. There are a lot of capabilities that help us bring these unique transactions to customers. At the group level capabilities, we have businesses across capital market s egments, whether it's alternatives or institutional equities. We have significant skin in the game in all our products allow ing us to source very proprietary transactions.

Similarly, if you look at some of the group products, whether it is capabilities th at we have created in private credit or private equity & the investment s we have in research across these businesses, allows us to do due diligence on many transactions. We also see many transactions which helps us source transactions across asset classes, whether it is real estate, private credit or private equity.

Moderator:

The next question is from the line of Lalit Mohan Deo from Equirus Securities.

Lalit Mohan Deo - Participant :

Sir, just two, three questions. So firstly, on the mutual fund business side, so we have seen that our market share in MF flows have come down from 7.5% to around 3%. So, any particular channel where we have seen a decline in the flows or is it broadly across channels over there? And while you have indicated that curr ently it is moving above AUM market share. So, is it around the current level? Or any other improve materially to the earlier levels?

Second was on the Private Wealth Management. So, this quarter, we have added a material number of families over there lik e more than 9,000. But also, could you give us more colour on within this family count, like how much of these families will be there where we have a material relationship of more than INR10 crores and where we can potentially increase further relations ov er there?

And lastly, from a 2 -year perspective, like given the current business construct, how should we look at -- from a revenue perspective and a profitable perspective across different segments? Like what could be the desired mix between different se gments?

Navin Agarwal, Group Managing Director :

Over the last 3/5/ 10 years, our annuity stream of revenue has consistently gone up. They are now at over 60% of the total revenues . The Asset Management and P

rivate Wealth Management Business
share of profitability because of their annuity nature too have consistently gone up, and that trend will continue to rise in FY27.

Prateek Agrawal, MD and CEO, Asset Management:

We saw drop in the gross flows as well, but that was small. We saw heightened redemption pressure in the month of Jan ’26 & Feb’26 that reduced in Mar ’26 and is actually below normal in Apr ’26. In Wealth channel highest pressure was seen . Retail and digital ch annels held out much better.

Ashish Shanker , CEO Private Wealth Management:

On our quality of clients, we work with 9,000 families, of which almost 50% have UHNI potential. The scale and quality of clients is steadily improving. One of the headline numbers that you should look at is , in spite of the denominator going up, which is the number of RMs, the AUM per RM has been steadily rising.

Lalit Mohan Deo - Participant :

Yes. Sir, just one last data keeping question. So, in the wealth business, we have seen, sir, some pickup in the TDI transaction income transaction distribution income. So, what would attribute to the same?

Shalibhadra Shah – CFO :

In Q4FY26, the transaction income in the wealth business is higher because of the distribution revenue s from Insurance . So, the delta coming out of the transaction revenues in distribution business can be largely attributed to the same.

Moderator:

Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Shalibhadra Shah for closing comments. Thank you, and over to you, sir.

Shalibhadra Shah – CFO :

On behalf of Motilal Oswal Financial Services, we thank every participant for attending the Q 4FY26 con-call. In case you have any further questions or clarifications, please do get in touch with our investor relations desk. Thank you and have a great day.

Please contact ir@motilaloswal.com for any queries.